CONDOMINIUM

DECLARATION

FOR

ISLAND COMMONS

A CONDOMINIUM

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Article 1. DEFINITIONS.

Section 1.1 Words Defined. For the purposes of this Declaration and any amendments hereto, the following definitions shall apply.

Allocated Interests means the allocation of Common Expense Liability, interest in Common Elements and voting for each of the Units in the Condominium determined in accordance with the formulas set forth in Section 5.4 and as specified in Schedule B.

Articles means the Articles of Incorporation for the Association.

Assessments means all sums chargeable by the Association against a Unit, including, without limitation: (a) general and special Assessments for Common Expenses and Specially Allocated Expenses; (b) interest and late charges on any delinquent account; and (c) costs of collection, including reasonable attorneys fees, incurred by the Association in connection with the collection of a delinquent Owner's account.

Association means the owners association identified in Article 10.

Board means the board of directors of the Association, as described in Article 11.

Building Common Elements means all portions of the Common Elements other than the Limited Common Elements.

Bylaws means the bylaws of the Association as they may from time to time be amended.

City means the City of Bainbridge Island, Washington.

Common Elements means all portions of the Condominium other than Units.

Common Expenses means expenditures made by or financial liabilities of the Association which are allocated to the Owners of both Units in accordance with Common Expense Liability pursuant to this Declaration.

Common Expense Liability means the liability for Common Expenses allocated to each Unit, as set forth in Schedule B.

Condominium means Island Commons, a condominium created under this Declaration and the Survey Map and Plans.

Condominium Act means the Washington Condominium Act, codified at RCW 64.34, as it may be from time to time amended.

Conveyance means any transfer of the ownership of a Unit, including a transfer by deed or by real estate contract.

Declarant means Bainbridge Island Commons, LLC, a Washington limited liability company, and its representatives, successors, and assigns.

Declaration means this Condominium Declaration for Island Commons, a condominium, as it may from time to time be amended.

Foreclosure means a forfeiture or judicial or nonjudicial foreclosure of a mortgage or a deed in lieu thereof.

Hotel Unit means the Unit with that designation as shown on the Survey Map and Plans.

Limited Common Element means a portion of the Common Elements which is allocated in Article 7 for the exclusive use of one Unit.

Managing Agent means the person designated by the Board under Section 11.3.

Mortgage means a mortgage or deed of trust secured by a Unit, but shall not include a mortgage or deed of trust on a Sub-Unit.

Mortgagee means any holder, insurer, or guarantor of a Mortgage.

Mixed-Use Condominium means the condominium to be created within the Mixed-Use Unit and its Limited Common Elements, consisting initially of 60 residential Sub-Units and two commercial Sub-Units and their respective limited common elements.

Mixed-Use Unit means the Unit with that designation as shown on the Survey Map and Plans.

Notice and Opportunity to be Heard means the procedure described in Section 11.5.

Owner or Unit Owner means the Declarant or other person who owns a Unit, but does not include any person who has an interest in a Unit solely as security for an obligation. With respect to the Mixed-Use Unit, the president or other authorized officer of the owners association for the Mixed-Use Condominium shall act as the Owner, unless otherwise specified herein.

Person means a natural person, corporation, partnership, limited partnership, limited liability company, trust, governmental subdivision or agency, or other legal entity.

Specially Allocated Expenses means those expenditures made by or financial liabilities of the Association which are allocated to the Owners of both Units on some basis other than Common Expense Liability, as set forth in Section 12.6.

Sub-Units means the condominium units to be created within the Mixed-Use Unit.

Survey Map and Plans means the survey map and plans filed simultaneously with the recording of this Declaration and any amendments, corrections, and addenda thereto subsequently filed.

Unit means a physical portion of the condominium designated for separate ownership, the boundaries of which are described in Section 5.2 and shown on the Survey Map and Plans.

Section 1.2 Form of Words. The singular form of words shall include the plural and the plural shall include the singular. Masculine, feminine, and gender-neutral pronouns shall be used interchangeably.

Section 1.3 Statutory Definitions. Some of the terms defined above are also defined in the Condominium Act. The definitions in the Declaration are not intended to limit or contradict the definitions in the Condominium Act. If there is any inconsistency or conflict, the definition in the Condominium Act will prevail.

Article 2. CONSTRUCTION AND VALIDITY OF DECLARATION.

The Declaration and the Condominium Act provide the framework by which the Condominium is created and operated. In the event of a conflict between the provisions of the Declaration and the Condominium Act, the Condominium Act shall prevail. In the event of a conflict between the provisions of this Declaration and the Bylaws, the Declaration shall prevail except to the extent the Declaration is inconsistent with the Condominium Act. The creation of the Condominium shall not be impaired and title to a Unit and its interest in the Common Elements shall not be rendered unmarketable or otherwise affected by reason of an insignificant failure of this Declaration or the Survey Map and Plans or any amendment thereto to comply with the Condominium Act.

Article 3. NAME OF CONDOMINIUM.

The name of the Condominium created by this Declaration and the Survey Map and Plans is Island Commons, a condominium.

Article 4. DESCRIPTION OF LAND.

The real property included in the Condominium and subjected to the Condominium Act is described in Schedule A.

Article 5. DESCRIPTION OF UNITS: ALLOCATED INTERESTS.

Section 5.1 Number and Identification of Units. The Condominium has two Units: the Mixed-Use Unit and the Hotel Unit. It is contemplated that the Declarant will be creating a condominium to be known initially as Island Crossing, a condominium, which will be comprised of the Mixed-Use Unit, including the Allocated Interests, the Limited Common Elements and appurtenances allocated to the Mixed-Use Unit under this Declaration.

Section 5.2 Unit Boundaries. The boundaries of the Units are shown on the Survey Map and Plans and are as follows:

5.2.1 The vertical boundaries of the Units are planes corresponding generally with the exterior surface of the perimeter walls of the Units.

5.2.2 The horizontal boundaries of the Units are as follows:

(a) The lower horizontal boundary is a plane corresponding generally with the unfinished upper surface of the concrete floor of the Units; and

(b) The upper horizontal boundary is the exterior surface of the roof of the Units.

All spaces, walls, fixtures and improvements within the boundaries of a Unit are a part of the Unit.

Section 5.3 Unit Data. The approximate floor area and levels of each Unit and the number of bathrooms (whole or partial), the number of rooms designated primarily as bedrooms; and the number of fireplaces located within each Unit are set forth in Schedule B. The location and configuration of each Unit are shown in the Survey Map and Plans.

Section 5.4 Allocated Interests. Schedule B sets forth the Allocated Interests of each of the Units in the Condominium for the purposes of Common Expense Liability, interest in the Common Elements and voting. The formula for making the allocations is the relative floor area of the Units as stated in Schedule B.

Article 6. COMMON ELEMENTS.

The Common Elements are all portions of the Condominium other than the Units. The Common Elements are those portions of the building and building systems which are used in common by both Units, consisting generally of all portions of the building below the lower boundaries of the Units, the land in the Condominium, the fire sprinkler system for the improvements in the Condominium and the irrigation system for the landscaping in the Condominium.

Article 7. LIMITED COMMON ELEMENTS.

Section 7.1 Description; Allocation. The Limited Common Elements allocated to the Units are shown on the Survey Map and Plans and described in Schedule C.

Section 7.2 Reallocation. A Limited Common Element may be reallocated between Units or a Common Element reallocated as a Limited Common Element or a Limited Common Element incorporated into an existing Unit only with the approval of all Unit Owners and Mortgagees. The reallocation or incorporation shall be reflected in an amendment to the Declaration and/or the Survey Map and Plans.

Section 7.3 Use. The Owner of the Unit to which a Limited Common Element is allocated shall have the right to the exclusive use of the Limited Common Element, which right shall extend to the Owner's tenants, family members and guests. The Declarant, as Owner of the Mixed-Use Unit and as declarant of the Mixed-Use Condominium, shall have the right to allocate Limited Common Elements allocated to the Mixed-Use Unit to owners of Sub-Units as limited common elements of those condominium units.

Article 8. PERMITTED USES: MAINTENANCE.

Section 8.1 Mixed-Use Unit. The Mixed-Use Unit is intended for and restricted to residential, office, retail and such other commercial purposes, as may be permitted under applicable ordinances and regulations of the City.

Section 8.2 Hotel Unit. The Hotel Unit is intended for and restricted to use as a hotel but may be used for residential, office, retail and such other commercial purposes, as may be permitted under applicable ordinances and regulations of the City.

Section 8.3 Maintenance, Repair and Replacement of Units, Common Elements, and Limited Common Elements Except as provided below, each Owner is responsible for the maintenance, repair, replacement and improvement of the Owner's Unit, the Limited Common Elements allocated to the Owner's Unit, any equipment serving only that Unit. Each Owner shall, at the Owner's sole expense, keep the Unit and its Limited Common Elements and equipment in a clean and sanitary condition, free of rodents and pests, and in first class order, condition, and repair. The Association is responsible for maintenance, repair and replacement of the Building Common Elements, but not the Limited Common Elements. Each Owner shall bear the expenses relating to any changes in utility service necessitated by the use of the Owner's Unit or Limited Common Elements. Alteration of the Units and the exterior of the buildings in the Condominium is subject to Board approval pursuant to Article 21.

Section 8.4 Use or Alteration of Common and Limited Common Elements. Use of the Common Elements and Limited Common Elements shall be subject to the provisions of this Declaration and the rules and regulations of the Board. Nothing shall be altered or constructed in or removed from any Common Element or Limited Common Element without the prior written approval of the Board pursuant to Article 21.

Section 8.5 Signs. Each Owner may install and maintain reasonable signage indentifying the Units and the businesses or residents within the Units. The signage shall comply with applicable City ordinances and any sign design criteria established by the Declarant or the Board. This Section shall not apply to the Declarant who may post such signs on the property as it deems necessary or appropriate for the sale or leasing of Sub-Units as long as the Declarant has a Sub-Unit for sale.

Section 8.6 Offensive Activities. No noxious or offensive activity shall be carried on in any Unit, Limited Common Element or Common Element, nor shall anything be done therein that may be or become an annoyance or nuisance to other Owners. In particular, the Owners of the Units shall not allow or permit any continuing vibration ("Vibration") or any offensive or obnoxious and continuing noise ("Noise") or any offensive or obnoxious and continuing odor ("Odor") to emanate from a Unit into another Unit, nor shall the Owner allow or permit any machine or other installation therein to constitute a nuisance or otherwise to unreasonably interfere with the safety or comfort of any of the Owners of other Units. Upon the failure of the Owner of a Unit to remedy Noise or Vibration after Notice and Opportunity to be Heard, the Board may at its option either: (1) cure such condition at the Owner's cost and expense; or (2) pursue any other available legal or equitable remedy. Upon the failure of the Owner to remedy Odor after Notice and Opportunity to be Heard, the Board may at its option either: (1) attempt to resolve the matter by agreement with the Owner; or (2) submit the matter to arbitration pursuant to Section 11.2. Construction, remodeling and maintenance of the Units, if done in accordance with rules and regulations adopted by the Board, shall not be deemed to be Vibration, Noise or Odor within the meaning of this subsection.

Section 8.7 Hazardous Substances. The Owner of each Unit shall not permit any Hazardous Substance, as defined below, to be improperly or illegally generated, processed, stored, transported, handled or disposed of on, under, in or through the Owner's Unit or the Property; and each Owner shall indemnify, defend, and hold harmless the other Owner or Owners and the Association from all fines, suits, procedures, claims and actions of any kind arising out of or in any way connected with any spills or discharges of Hazardous Substances or wastes arising from the operation or use of the Unit or the Property by the Owner or the tenants or invitees of the Unit. As used herein, the term "Hazardous Substance" means any hazardous, toxic or dangerous substance, waste or material which is or becomes regulated under any federal, state or local statute, ordinance, rule, regulation or other law now or hereafter in effect pertaining to environmental protection, contamination or cleanup, including without limitation any substance, waste or material which now or hereafter is designated as a "Hazardous Substance" under the Comprehensive Environmental Response, Compensation and Liability Act (42 U.S.C. § 9601 et seq.), or under any local or state rule or regulation; without limiting the foregoing, Hazardous Substances shall include, but not be limited to, any substance which after being released into the environment and upon exposure, ingestion, inhalation, or assimilation, either directly from the environment or indirectly by ingestion through food chains, will or may reasonably be anticipated to cause death, disease, behavior abnormalities, cancer and/or genetic abnormalities.

Article 9. ENTRY FOR REPAIRS OR MAINTENANCE.

The Association and its agents or employees may enter any Unit or the Limited Common Elements allocated thereto to effect repairs, improvements, replacements, maintenance or sanitation work deemed by the Board to be necessary in the performance of its duties, to do necessary work that the Owner has failed to perform, or to prevent damage to the Common Elements or to another Unit. Except in cases of great emergency that preclude advance notice, the Board shall cause the Unit occupant to be given Notice and an Opportunity to be Heard as far in advance of entry as is reasonably practicable. Such entry shall be made with as little inconvenience to the Owners and occupants as practicable. The Board may levy a special

Assessment against the Owner of the Unit for all or part of the cost of work that the Owner has failed to perform which may be collected and foreclosed by the Association in the same manner as Assessments are collected and foreclosed under Article 13.

Article 10. OWNERS ASSOCIATION.

Section 10.1 Form of Association. The Owners of Units shall constitute an owners association to be known as Island Commons Owners Association. The Association shall be a nonprofit corporation. It will be governed by a Board of two directors, one appointed by each Unit Owner. The rights and duties of the Board and of the Association shall be governed by the provisions of the Condominium Act, the Declaration and the Bylaws.

Section 10.2 Bylaws. The Board will adopt Bylaws to supplement the Declaration and to provide for the administration of the Association and the property and for other purposes not inconsistent with the Condominium Act or the Declaration.

Section 10.3 Qualification and Transfer. Each Owner of a Unit (including the Declarant) shall be a member of the Association and shall be entitled to one membership for each Unit owned, which membership shall be considered appurtenant to that member's Unit. Ownership of a Unit shall be the sole qualification for membership in the Association. A membership shall not be transferred in any way except upon the transfer of title to the Unit and then only to the transferee of title to the Unit. Any attempt to make a prohibited transfer shall be void. Any transfer of title to a Unit shall operate automatically to transfer the membership in the Association to the new Owner. Notwithstanding the foregoing, the owners association for the Mixed-Use Condominium, acting through its president or other authorized officer, shall be considered to be the Owner of that Unit for all purposes under this Declaration.

Section 10.4 Powers of the Association. In addition to those actions authorized elsewhere in the Declaration, the Association shall have the power to:

(a) Adopt and amend the Bylaws and the rules and regulations for the Condominium;

(b) Adopt and amend budgets for revenues, expenditures, and reserves for Common Expenses and Specially Allocated Expenses, and impose and collect Assessments from Owners;

(c) Hire and discharge or contract with Managing Agents and other employees, agents, and independent contractors;

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(d) Institute, defend, or intervene in litigation or administrative proceedings in its own name on behalf of itself or both Unit Owners on matters affecting the Condominium;

(e) Make contracts and incur liabilities;

(f) Regulate the use, maintenance, repair, replacement, and modification of the Common Elements;

(g) Cause additional improvements to be made as a part of the Common Elements;

(h) Acquire, hold, encumber, convey, and dispose of, in the Association's name, right, title, or interest to real or tangible and intangible personal property, and arrange for and supervise any addition or improvement to the Condominium;

(i) Grant easements, leases, licenses, and concessions through or over the Common Elements and petition for or consent to the vacation of streets and alleys;

(j) Impose and collect any payments, fees, or charges for the use, rental, or operation of the Common Elements and for services provided to Owners;

(k) Acquire and pay for all goods and services reasonably necessary or convenient for the efficient and orderly functioning of the Condominium;

(l) Impose and collect charges for late payment of Assessments as further provided in Article 13 and, after Notice and an Opportunity to be Heard by the Board or by such representative designated by the Board and in accordance with such procedures as provided in this Declaration, the Bylaws, or rules and regulations adopted by the Board, levy reasonable fines in accordance with a previously established schedule thereof adopted by the Board and furnished to the Owners for violations of this Declaration, the Bylaws, and rules and regulations of the Association;

(m) Impose and collect reasonable charges for the preparation and recording of amendments to this Declaration, resale certificates required by RCW 64.34.425 and statements of unpaid Assessments;

(n) Provide for the indemnification of its officers and Board and maintain directors' and officers' liability insurance;

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(o) Assign its right to future income, including the right to receive Assessments;

(p) Exercise any other powers conferred by this Declaration or the Bylaws;

(q) Exercise all other powers that may be exercised in this state by the same type of corporation as the Association; and

(r) Exercise any other powers necessary and proper for the governance and operation of the Association.

Section 10.5 Financial Statements and Records. The Association shall keep financial records in accordance with generally accepted accounting principles and in sufficient detail to enable the Association to comply with the resale certificate requirements set forth in RCW 64.34.425. All financial and other records shall be made reasonably available for examination by any Unit Owner and the Owner's authorized agents. At least annually, the Association shall prepare, or cause to be prepared, a financial statement of the Association in accordance with accrual or generally accepted accounting principles. Unless both Unit Owners vote to waive the audit for that year, the annual financial statement shall be audited at least annually by a certified public accountant who is not a member of the Board or an Owner. The financial statement shall be completed in time for the Association's annual meeting and in any event within 90 days following the end of the fiscal year.

Section 10.6 Inspection of Condominium Documents, Books and Records. The Association shall make available to owners, mortgagees, prospective purchasers and their prospective mortgagees, and the agents or attorneys of any of them, current copies of this Declaration, the Articles, the Bylaws, the rules and regulations of the Association, and other books, records, and financial statements of the Association. "Available" shall mean available for inspection upon request, during normal business hours or under other reasonable circumstances. The Association may require the requesting party to pay a reasonable charge to cover the cost of making the copies.

Article 11. THE BOARD.

Section 11.1 Selection of the Board and Officers. Each Owner shall designate one member to the Board. The Board shall elect officers in accordance with the procedures provided in the Bylaws.

Section 11.2 Powers and Actions. Except as provided in this Declaration, the Bylaws or the Condominium Act, the Board shall at all times act on behalf of the Association.

The Board may exercise all powers of the Association, except as otherwise provided in the Condominium Act, Declaration or the Bylaws.

Section 11.3 Managing Agent. The Board may contract with an experienced professional Managing Agent to assist the Board in the management and operation of the Condominium and may delegate such of its powers and duties to the Managing Agent as it deems to be appropriate, except as limited herein.

Section 11.4 Limitations on Board Authority. The Board shall not act on behalf of the Association to amend the Declaration in any manner that requires the vote or approval of the Unit Owners, to terminate the Condominium, or to elect members of the Board or determine the qualifications, powers, duties or terms of office of members of the Board.

Section 11.5 Right to Notice and Opportunity to Be Heard. Whenever this Declaration requires that an action of the Board be taken after "Notice and Opportunity to be Heard," the following procedure shall be observed: The Board shall give written notice of the proposed action to all Owners, tenants or occupants of Units whose interest would be significantly affected by the proposed action. The notice shall include a general statement of the proposed action and the date, time and place of the hearing, which shall be not less than five days from the date notice is delivered by the Board. At the hearing, the affected person shall have the right, personally or by a representative, to give testimony orally, in writing or both (as specified in the notice), subject to reasonable rules of procedure established by the Board to assure a prompt and orderly resolution of the issues. Such evidence shall be considered in making the decision but shall not bind the Board. The affected person shall be notified of the decision in the same manner in which notice of the meeting was given.

Article 12. BUDGET AND ASSESSMENTS.

Section 12.1 Fiscal Year. The Board may adopt such fiscal year for the Association as it deems to be convenient. Unless another year is adopted, the fiscal year will be the calendar year.

Section 12.2 Preparation of Budget. Not less than 30 days before the end of the fiscal year the Board shall prepare a budget for the Association for the coming year. In preparing its budget the Board shall estimate the Common Expenses and Specially Allocated Expenses of the Association to be paid during the year, may make suitable provision for accumulation of reserves, including amounts reasonably anticipated to be required for maintenance, repair, and replacement of the portions of Common Elements for which the Association is responsible, and shall take into account any surplus or deficit carried over from the preceding year and any expected income to the Association.

Section 12.3 Ratification of Budget. Within 30 days after adoption of any proposed budget for the Condominium, the Board shall provide a copy of the budget to the Owners and shall set a date for a meeting of the Owners to consider ratification of the budget not less than 14 nor more than 60 days after mailing of the budget. Unless at that meeting the Owners to which a majority of the votes in the Association are allocated reject the budget, the budget shall be ratified, whether or not a quorum is present. In the event the proposed budget is rejected or the required notice is not given, the periodic budget last ratified by the Owners shall be continued until such time as the Owners ratify a subsequent budget proposed by the Board. If the Board proposes a supplemental budget during any fiscal year, such budget shall not take effect unless ratified by the Owners in accordance with this Section.

Section 12.4 Supplemental Budget. If during the year the budget proves to be inadequate for any reason, including nonpayment of any Owner's Assessments, the Board may prepare a supplemental budget for the remainder of the year. A supplemental budget shall be ratified pursuant to Section 12.3.

Section 12.5 Assessments for Common Expenses and Specially Allocated Expenses. The amounts required by the Association for Common Expenses and Specially Allocated Expenses as reflected by the annual budget and any supplemental budgets shall be divided into installments to be paid each month over the period of time covered by the budget or supplemental budget. The monthly Assessment for each Unit is the total of (a) the Common Expense Liability of that Unit times the total monthly installment for Common Expenses for all Units; and (b) any Specially Allocated Expenses for the Unit. Monthly Assessments begin accruing for all Units upon the closing of the sale of the first Unit by the Declarant; provided that the Declarant may delay the commencement of Assessments for Common Expenses and pay all actual Common Expenses (but no allocations to reserves). To the extent that any Common Expense is caused by the misconduct of an Owner or tenant of any Unit, the Association may, after Notice and Opportunity to be Heard, assess that expense against that Unit.

Section 12.6 Specially Allocated Expenses. The expenses of the Association set forth in this section shall be specially allocated as a Specially Allocated Expense between the Unit Owners on some basis other than Common Expense Liability.

12.6.1 The cost of property insurance obtained by the Association shall be allocated to the Unit Owners in accordance with risk, which shall mean that the portion of the premium allocated to each Unit, its Limited Common Elements, improvements (to the extent insured by the Association) shall be allocated to the Owner of that Unit and the balance of the premium shall be a Common Expense.

12.6.2 Any governmentally imposed assessment shall be specially allocated to the Unit Owners on the same basis that it is charged by the governmental agency. Each

Unit Owner shall pay the amount owed with respect to the Owner's Unit either directly to the governmental agency or to the Association, as the Board may direct.

12.6.3 If any electricity is furnished to any portion of a Unit or its Limited Common Elements through a meter which also serves a Common Element, the Board shall specially allocate, on any reasonable basis, the cost of electricity for the Unit and/or its Limited Common Elements to the Owner of that Unit.

Section 12.7 Special Assessments. For those Common Expenses or Specially Allocated Expenses which cannot reasonably be calculated and paid on a monthly basis, the Board may levy special Assessments for such expenses against the Units.

Section 12.8 Creation of Reserves: Assessments. The Board may create reserve accounts for anticipated expenses for repairs, replacement and improvements which will occur in the future when the Board determines that such reserve accounts will facilitate the accumulation of funds to pay such expenses when they occur. The operation of reserve accounts and Assessments for reserve accounts shall be further governed by the Bylaws.

Section 12.9 Notice of Assessments. The Board shall notify each Owner in writing of the amount of the monthly general and special Assessments, including Specially Allocated Expenses, to be paid for the Owner's Unit and shall furnish copies of all budgets and the Common Expense Liability allocations which apply to the Unit, on which the Assessments are based. The Board shall furnish the same information to an Owner's mortgagee if so requested.

Section 12.10 Payment of Monthly Assessments. On or before the first day of each calendar month each Owner shall pay or cause to be paid to the treasurer or designated agent of the Association all Assessments against the Unit for that month. Any Assessment not paid by the first day of the calendar month for which it is due shall be delinquent and subject to late charges, interest charges and collection procedures as provided in Article 13.

Section 12.11 Proceeds Belong to Association. Assessments and other receipts received by the Association on behalf of the Condominium shall belong to the Association.

Section 12.12 Failure to Assess. Any failure by the Board or the Association to make the budgets and Assessments hereunder before the expiration of any year for the ensuing year shall not be deemed a waiver or modification in any respect of the provisions of this Declaration, or a release of the Owners from the obligation to pay Assessments during that or any subsequent year, and the monthly Assessments amounts established for the preceding year shall continue until new Assessments are established.

Section 12.13 Certificate of Unpaid Assessments. Upon the request of any Owner or Mortgagee of a Unit, the Board will furnish a certificate stating the amount, if any, of unpaid Assessments charged to the Unit. The certificate shall be conclusive upon the Board and the Association as to the amount of such indebtedness on the date of the certificate in favor of all purchasers and mortgagees of the Unit who rely on the certificate in good faith. The Board may establish a reasonable fee to be charged to reimburse it for the cost of preparing the certificate.

Section 12.14 Reconciliation of Assessments to Actual Expenses. The Association shall establish and maintain its accounts and records in such a manner that will enable it deposit the Assessments for Common Expenses and Specially Allocated Expenses, including allocations to reserves, and income to the Association to the account of the appropriate Units and make its expenditures from the appropriate accounts. In order that the Unit Owners are correctly assessed for the actual expenses of the Association, the accounts of the Association shall be reconciled at least annually; and any surpluses (or deficits) in the accounts shall be credited to the benefit of or paid to (or charged to the account of or assessed against) the Owners of the Units who paid the surplus (or owe the deficit).

Section 12.15 Recalculation of Assessments. If Common Expense Liabilities are reallocated, Common Expense Assessments, special Assessments, and any installment thereof not yet due shall be recalculated in accordance with the reallocated liabilities.

Article 13. LIEN AND COLLECTION OF ASSESSMENTS.

Section 13.1 Assessments Are a Lien: Priority. The Association has a lien on a Unit for any unpaid Assessment levied against a Unit from the time the Assessment is due. A lien under this Article shall be prior to all other liens and encumbrances on a Unit except: (a) liens and encumbrances recorded before the recording of this Declaration; (b) a mortgage on the Unit recorded before the date on which the Assessment sought to be enforced became delinquent; and (c) liens for real property taxes and other governmental assessments or charges against the Unit. Recording of this Declaration constitutes record notice and perfection of the lien for Assessments; however, the Association may record a notice of claim of lien for Assessments in the real property records of the county in which the Condominium is located.

Section 13.2 Lien May be Foreclosed; Judicial Foreclosure. The lien arising under this Article may be enforced judicially by the Association or its authorized representative in the manner set forth in RCW 61.12. The Association or its authorized representative shall have the power to purchase the Unit at the foreclosure sale and to acquire, hold, lease, mortgage, or convey the same. Upon an express waiver in the complaint of any right to a deficiency judgment in a judicial foreclosure action, the period of redemption shall be eight months. Nothing in this Section shall prohibit the Association from taking a deed in lieu of foreclosure, The holder of a mortgage or other purchaser of a Unit who obtains the right of possession of a Unit through foreclosure shall not be liable for any Assessments or installments thereof that became due prior to such right of possession. Such unpaid Assessments shall be deemed to be Common Expenses collectible from all the Owners, including such mortgagee or other purchaser of the Unit. Foreclosure of a mortgage does not relieve the prior Owner of personal liability for Assessments accruing against the Unit prior to the date of such sale.

Section 13.3 Assessments Are Personal Obligations. In addition to constituting a lien on the Unit, all sums assessed by the Association chargeable to any Unit, including all charges provided in this Article, shall be the personal obligation of the Owner of the Unit when the Assessments are made. Suit to recover personal judgment for any delinquent Assessments shall be maintainable without foreclosing or waiving the liens securing them.

Section 13.4 Extinguishment of Lien and Personal Liability. A lien for unpaid Assessments and the personal liability for payment of Assessments is extinguished unless proceedings to enforce the lien or collect the debt are instituted within three years after the amount of the Assessments sought to be recovered becomes due.

Section 13.5 Joint and Several Liability. In addition to constituting a lien on the Unit, each Assessment shall be the joint and several obligation of the Owner or Owners of the Unit to which the same are assessed as of the time the Assessment is due. In a voluntary conveyance, the grantee of a Unit shall be jointly and severally liable with the grantor for all unpaid Assessments against the grantor up to the time of the grantor's conveyance, without prejudice to the grantee's right to recover from the grantor the amounts paid by the grantee therefor. Suit to recover a personal judgment for any delinquent Assessment shall be maintainable in any court of competent jurisdiction without foreclosing or waving the lien securing such sums.

Section 13.6 Late Charges and Interest on Delinquent Assessments. The Association may from time to time establish reasonable late charges and a rate of interest to be charged on all subsequent delinquent Assessments or installments thereof. In the absence of another established nonusurious rate, delinquent Assessments shall bear interest from the date of delinquency at the maximum rate permitted under RCW 19.52.020 on the date on which the Assessments became delinquent.

Section 13.7 Recovery of Attorneys' Fees and Costs. The Association shall be entitled to recover any costs and reasonable attorneys' fees incurred in connection with the collection of delinquent Assessments, whether or not such collection activities result in suit being commenced or prosecuted to judgment. In addition, the Association shall be entitled to recover costs and reasonable attorneys' fees if it prevails on appeal and in the enforcement of a judgment.

Section 13.8 Remedies Cumulative. The remedies provided herein are cumulative and the Board may pursue them, and any other remedies which may be available under law although not expressed herein, either concurrently or in any order.

Article 14. FAILURE OF BOARD TO INSIST ON STRICT PERFORMANCE NO WAIVER.

The failure of the Board in any instance to insist upon the strict compliance with this Declaration or the Bylaws or rules and regulations of the Association, or to exercise any right contained in such documents, or to serve any notice or to institute any action, shall not be construed as a waiver or a relinquishment for the future of any term, covenant, condition, or restriction. The receipt by the Board of payment of an Assessment from an owner, with knowledge of a breach by the Owner, shall not be a waiver of the breach. No waiver by the Board of any requirement shall be effective unless expressed in writing and signed for the Board. This Article also extends to the Declarant.

Article 15. TORT AND CONTRACT LIABILITY.

Section 15.1 Actions. An action alleging a wrong done by the Association must be brought against the Association and not against any owner or any officer or director of the Association. An Owner is not precluded from bringing an action contemplated by this Section because she is a Unit Owner or a member or officer of the Association.

Section 15.2 Limitation of Liability for Utility Failure, etc. Except to the extent covered by insurance obtained by the Association, neither the Association, the Board, the Managing Agent, nor the Declarant shall be liable for the following: the failure of any utility or other service to be obtained and paid for by the Board; or for injury or damage to person or property caused by the elements, or resulting from electricity, water, rain, dust, or sand which may leak or flow from outside or from any parts of the building, or from any of their pipes, drains, conduits, appliances, or equipment, or from any other place; or for inconvenience or discomfort resulting from any action taken to comply with any law, ordinance, or orders of a governmental authority. No diminution or abatement of Assessments shall be claimed or allowed for any such utility or service failure, or for such injury or damage, or for such inconvenience or discomfort.

Section 15.3 No Personal Liability. So long as a Board member, Association committee member, Association officer, the Declarant or the Managing Agent has acted in good faith, without willful or intentional misconduct, upon the basis of such information as is then possessed by such person, no such person shall be personally liable to any owner, or to any other person, including the Association, for any damage, loss, or prejudice suffered or claimed on account of any act, omission, error, or negligence of such person.

Article 16. INDEMNIFICATION.

Each Board member, Association committee member, Association officer, the Declarant and the Managing Agent shall be indemnified by the Association against all expenses and liabilities, including attorneys fees, reasonably incurred by or imposed in connection with any proceeding to which such person may be a party, or in which such person may become involved, by reason of holding or having held such position, or any settlement thereof, whether or not such person holds such position at the time such expenses or liabilities are incurred, except to the extent such expenses and liabilities are covered by any type of insurance and except in such cases wherein such person is adjudged guilty of willful misfeasance in the performance of such person's duties; provided, that in the event of a settlement, the indemnification shall apply only when the Board approves such settlement and reimbursement as being for the best interests of the Association.

Article 17. INSURANCE.

Section 17.1 General Requirements. Commencing not later than the time of the first conveyance of a Unit to a person other than the Declarant, the Association and the Unit Owners shall maintain, to the extent reasonably available, insurance policies and bonds meeting the requirements of this Article, including (a) property insurance; (b) commercial general liability insurance; (c) fidelity insurance; (d) worker's compensation insurance to the extent required by applicable laws; (e) directors and officers liability insurance; and (f) such other insurance as the Board deems advisable. The Board shall review at least annually the adequacy of the Association's insurance coverage. Except as approved by the Board, all insurance shall be obtained from insurance carriers that are rated "A VIII" or better by A.M. Best and authorized to do business in the state of Washington.

Section 17.2 Property Insurance. The property insurance obtained by the Association shall, at the minimum and subject to such reasonable deductible as the Board may determine, provide all risk or special cause of loss coverage in an amount equal to the full replacement cost of the Common Elements, including all Limited Common Elements other than Limited Common Element decks or equipment serving only one Unit, and personal property of the Association, with an "Agreed Amount Endorsement." The Owners of the Units shall be responsible for obtaining property insurance for the Units and the fixtures, equipment and improvements within their respective Units. The property insurance obtained by the Owners shall, at the minimum and subject to such reasonable deductible as the Board may determine, provide all risk or special cause of loss coverage in an amount equal to the full replacement cost of the Units and the fixtures, equipment and improvements within their respective Units. If available on commercially reasonable terms, as determined by the Board, property insurance obtained by the Association and the Owners shall include earthquake coverage. The policies shall provide a separate loss payable endorsement in favor of the Mortgagee of each Unit. The Association or insurance trustee, if any, shall hold insurance proceeds from the Association's policy in trust for the Owners and their Mortgagees, as their interests may appear. Each Owner and the Owner's Mortgagee, if any, shall be beneficiaries of the Association's policy in accordance with the interest in the Common Elements appertaining to the Owner's Unit. Certificates of insurance shall be issued to each Owner and Mortgagee upon request.

Section 17.3 Commercial General Liability Insurance. The Association shall obtain liability insurance coverage for the Association, the Board and the Owners, with a "Severability of Interest Endorsement" or equivalent coverage which would preclude the insurer from denying the claim of an Owner because of the negligent acts of the Association or of another Owner, and shall cover liability of the insureds for property damage and bodily injury and death of persons arising out of the operation, maintenance, and use of the Common Elements and such other risks as are customarily covered with respect to mixed use projects of similar construction, location and use. Each Owner shall maintain general commercial liability insurance covering the Owner's Unit and Limited Common Elements appurtenant to the Owner's Unit and shall name the other Unit Owner and the Association as additional insureds. The limits of liability shall be in amounts reasonably required by Mortgagees for projects of similar construction, location and use, as determined by the Board, but shall be at least $1,000,000 combined single limit for bodily injury and property damage per occurrence and $2,000,000 general aggregate.

Section 17.4 Insurance Trustee; Power of Attorney. The named insured under the policies obtained by the Association referred to in Section 17.2 and Section 17.3 shall be the Association, as trustee for each of the Owners in accordance with their respective interests in the Common Elements. The insurance proceeds may be made payable to any trustee with which the Association enters into an insurance trust agreement, or any successor trustee, who shall have exclusive authority to negotiate losses under the policies and administer insurance proceeds. Subject to the provisions of Section 17.7, the proceeds must be disbursed first for the repair or restoration of the damaged property, and Unit Owners and lienholders are not entitled to receive payment of any portion of the proceeds unless there is a surplus of proceeds after the property has been completely repaired or restored or the Condominium is terminated. Each Owner appoints the Association, or any insurance trustee or successor trustee designated by the Association, as attorney-in-fact for the purpose of purchasing and maintaining such insurance, including the collection and appropriate disposition of the proceeds thereof, the negotiation of losses and execution of releases of liability, the execution of all documents and the performance of all other acts necessary to accomplish such purposes.

Section 17.5 Additional Policy Provisions. The insurance obtained pursuant to Section 17.2 and Section 17.3 shall contain the following provisions and limitations:

17.5.1 Each Unit Owner is an insured person under the policy with respect to liability arising out of the Owner's interest in the Common Elements or membership in the Association.

17.5.2 Such policies shall not provide for contribution by or assessment against Mortgagees or become a lien on the property superior to the lien of a first mortgage.

17.5.3 If, at the time of the loss under the policy, there is other insurance in the name of the Unit Owner covering the same risk covered by the policy, the Association's policy provides primary insurance.

17.5.4 Coverage shall not be prejudiced by (a) any act, omission or neglect of the Owners of Units when such act or neglect is not within the scope of the Owner's authority on behalf of the Association, or (b) failure of the Association to comply with any warranty or condition with regard to any portion of the premises over which the Association has no control.

17.5.5 A waiver of subrogation by the insurer as to any and all claims against the Association, the Owner of any Unit or Sub-Unit, and their respective members of the Owner's household, employees, or tenants, and of any defenses based upon co-insurance or upon invalidity arising from the acts of the insured.

17.5.6 A provision or endorsement that provides that there is no requirement to replace or rebuild in the event of a loss.

17.5.7 A standard mortgagee clause which shall:

(a) Provide that any reference to a mortgagee in the policy shall mean and include all Mortgagees of any Unit or Unit lease or sublease in their respective order of preference, whether or not named therein;

(b) Provide that such insurance as to the interest of any Mortgagee shall not be invalidated by any act or neglect of the Board or Owners or any persons under any of them;

(c) Waive any provision invalidating such mortgage clause by reason of the failure of any Mortgagee to notify the insurer of any hazardous use or vacancy, any requirement that the Mortgagee pay any premium thereon, and any contribution clause; and

(d) Provide that, without affecting any protection afforded by such mortgagee clause, any proceeds payable under such policy shall be payable to the Association or the insurance trustee.

Section 17.6 Fidelity Insurance. The required fidelity insurance shall afford coverage to protect against dishonest acts on the part of officers, directors, trustees, volunteers, and employees of the Association and all other persons who handle or are responsible for handling funds of or administered by, the Association. The Managing Agent shall maintain fidelity insurance for its officers, employees, and agents who handle or who are responsible for handling funds of, or funds administered by the Association. All such fidelity insurance shall name the Association as an obligee and shall be not less than the estimated maximum of funds, including reserve funds, in custody of the Association at any time during the term of each policy, but, in no event, shall the aggregate amount of insurance be less than three months' aggregate Assessments. The policy shall contain waivers of any defense based upon the exclusion of persons who serve without compensation from any definition of "employee" or similar expression.

Section 17.7 Use of Insurance Proceeds. Any portion of the Condominium which the Association or a Unit Owner is required to insure under this Article which is damaged or destroyed shall be repaired or replaced promptly by the Association pursuant to Article 18 unless: (a) the Condominium is terminated; (b) repair or replacement would be illegal under any state or local health or safety statute or ordinance; or (c) Owners of both Units and all Mortgagees vote not to rebuild. The cost of repair or replacement the portion of the Condominium required to be insured by the Association in excess of insurance proceeds and available reserves shall be a Common Expense; and the cost of repair or replacement of the portions of the Condominium required to be insured by each Unit Owner in excess of insurance proceeds shall be borne by the Unit Owner. If all of the damaged or destroyed portions of the Condominium are not repaired or replaced: (i) The insurance proceeds attributable to the damaged Common Elements shall be used to restore the damaged area to a condition compatible with the remainder of the Condominium; (ii) the insurance proceeds attributable to Units and Limited Common Elements which are not rebuilt shall be distributed to the Owners of those Units and the Owners of the Units to which those Limited Common Elements were allocated, or to lienholders, as their interests may appear; and (iii) the remainder of the proceeds shall be distributed to all the Unit Owners or lienholders, as their interests may appear, in proportion to the interest in Common Elements of each Unit. Notwithstanding the provisions of this Section, the Act governs the distribution of insurance proceeds if the Condominium is terminated.

Article 18. DAMAGE AND REPAIR OR DAMAGE TO PROPERTY.

Section 18.1 Initial Board Determination. In the event of damage to any Common Element covered by the Association's insurance policy, the Board shall promptly, and in all events within 30 days after the date of damage, make the following determinations with respect thereto, employing such advice as the Board deems advisable:

18.1.1 The nature and extent of the damage, together with an inventory of the improvements and property directly affected thereby.

18.1.2 A reasonably reliable estimate of the cost to repair the damage.

18.1.3 The amount of available reserves or other Association funds, although the Board is not required to use any reserves or other Association funds.

18.1.4 The expected insurance proceeds, if any, to be available from insurance covering the loss based on the amount paid or initially offered by the insurer.

18.1.5 The amount, if any, by which the estimated cost of repair exceeds expected insurance proceeds and available reserves or other Association funds, and the amount of the Assessments that would have to be made against each Unit if the excess cost were to be paid as a Common Expense and assessed against all the Units in proportion to their Common Expense Liabilities.

Section 18.2 Notice of Damage. The Board shall promptly, and in all events within 30 days after the date of damage, shall file a proof of loss statement with the insurance company if the loss is covered by insurance and abide by all terms and conditions of its insurance policies, unless the Board determines it would not be in the best interest of the Association to file a proof of loss. The Board shall then provide each Owner with a written notice describing the damage and summarizing the initial Board determinations made under Section 18.1. If the damage affects a material portion of the Condominium, the Board shall also send the notice to each Mortgagee; and if the damage affects a Unit, the Board shall send the notice to the Mortgagee of that Unit. If the Board fails to do so within the 30-day period, any Owner or Mortgagee may make the determinations required under Section 18.1 and give the notice required under this Section.

Section 18.3 Definitions: Damage, Substantial Damage, Repair, Emergency Work. As used in this Article:

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18.3.1 Damage shall mean all kinds of damage, whether of slight degree or total destruction.

18.3.2 Repair shall mean restoring the improvements to substantially the condition they were in before they were damaged, with each Unit and the Common Elements and having substantially the same boundaries as before. Modifications to conform to applicable governmental rules and regulations or available means of construction may be made.

18.3.3 Emergency Work shall mean work that the Board deems reasonably necessary to avoid further damage or substantial diminution in value to the improvements and to protect the Owners from liability from the condition of the site.

Section 18.4 Execution of Repairs.

18.4.1 The Board shall promptly repair the damage and use the available insurance proceeds therefor as provided in Section 17.7. If the cost of repair exceeds expected insurance proceeds and available reserves or other Association funds, the Board shall impose an Assessment against all Units in proportion to their Common Expense Liabilities in an amount sufficient to pay the excess costs.

18.4.2 Board shall have the authority to employ architects and engineers, advertise for bids, let contracts to contractors and others, and take such other action as is reasonably necessary to make the repairs. Contracts for the repair work shall be awarded when the Board, by means of insurance proceeds and sufficient Assessments, has provided for paying the cost.

18.4.3 The Board may enter into a written agreement with a reputable financial institution or trust or escrow company that the institution or company shall act as an insurance trustee to adjust and settle any claim for casualty loss in excess of $50,000, or for the institution or company to collect the insurance proceeds and carry out the provisions of this Article.

18.4.4 The Board shall promptly, and in all events within 30 days after the date of damage, call a special Owners' meeting to consider repairing the damage. If the Board fails to do so within 30 days, then notwithstanding the provisions of Section 10.4 and the Bylaws, any Owner or Mortgagee of a Unit may call and conduct the meeting.

18.4.5 Except for emergency work, no repairs shall be commenced until the conclusion of the special Owners' meeting.

18.4.6 At the special meeting, the following consent requirements will apply:

(a) The Owners shall be deemed to have elected to repair the damage substantially to the condition existing immediately prior to the damage unless the Owners of both Units and all Mortgagees agree otherwise.

(b) Failure to conduct the special meeting provided for under 18.4.4 within 90 days after the date of damage shall be deemed a unanimous decision to repair the damage substantially to the condition existing immediately prior to the damage.

Section 18.5 Damage to Units. In the event of damage to a Unit, the Unit Owner shall, unless otherwise agreed by the Owners of both Units, promptly repair the damage and restore the Unit to the condition existing prior to the damage, subject to such alterations as the Owner may make pursuant to Article 21.

Section 18.6 Effect of Decision Not to Repair. In the event of a decision under Subsection 18.4.6 not to repair the damage, the Board may nevertheless expend so much of the insurance proceeds and common funds as the Board deems reasonably necessary for emergency work (which emergency work may include but is not necessarily limited to removal of the damaged improvements and clearing, filling, and grading the land), and the remaining funds, if any, and the property shall thereafter be held and distributed as provided in Section 17.7.

Article 19. CONDEMNATION.

Section 19.1 Consequences of Condemnation; Notices. If any Unit or portion thereof of the Common Elements or Limited Common Elements or any portion thereof is made the subject matter of any condemnation or eminent domain proceeding or is otherwise sought to be acquired by a condemning authority, notice of the proceeding or proposed acquisition shall promptly be given to each Owner and Mortgagee and the provisions of this Article shall apply.

Section 19.2 Power of Attorney. Each Owner appoints the Association as attorney-in-fact for the purpose of representing the owners in condemnation proceedings and negotiations, settlements and agreements with the condemning authority for acquisition of Common Elements or any part thereof, from the condemning authority. The Board may appoint a trustee to act on behalf of the Owners in carrying out the foregoing functions in lieu of the Association. Should the Association not act, based on their right to act pursuant to this Section, the affected owners may individually or jointly act on their own behalf.

Section 19.3 Condemnation of a Unit. If a Unit is acquired by condemnation, or if part of a Unit is acquired by condemnation leaving the Unit Owner with a remnant of a Unit which may not practically or lawfully be used for any purpose permitted by this Declaration, the award must compensate the Owner for the Owner's Unit and its appurtenant interest in the Common Elements, whether or not any Common Elements are acquired. The proceeds from the condemnation of a Unit shall be paid to the Owner or lienholder of the Unit, as their interests may appear. Upon acquisition, unless the decree otherwise provides, that Unit's Allocated Interests are automatically reallocated to the remaining Units in proportion to the respective Allocated Interests of those Units before the taking, and the Association shall promptly prepare, execute, and record an amendment to this Declaration reflecting the reallocations. Any remnant of a Unit remaining after part of a Unit is taken under this Section is thereafter a Common Element.

Section 19.4 Condemnation of Part of a Unit. Except as provided in Section 19.3, if part of a Unit is acquired by condemnation, the award must compensate the Unit Owner for the reduction in value of the Unit and its appurtenant interest in the Common Elements, whether or not any Common Elements are acquired. The proceeds from the condemnation awarded to the Unit Owner shall be paid to the Owner or lienholders of the Unit, as their interests may appear. Upon acquisition, unless the decree otherwise provides: (a) that Unit's Allocated Interests are reduced in proportion to the reduction in the size of the Unit; and (b) the portion of the Allocated Interests divested from the partially acquired Unit are automatically reallocated to that Unit and the remaining Units in proportion to the respective Allocated Interests of those Units before the taking, with the partially acquired unit participating in the reallocation on the basis of its reduced Allocated Interests.

Section 19.5 Condemnation of Common Element or Limited Common Element. If part of the Common Elements is acquired by condemnation the portion of the award attributable to the Common Elements taken shall be paid to the Owners based on their respective interests in the Common Elements, or to lienholders, as their interests may appear. Any portion of the award attributable to the acquisition of a Limited Common Element shall be allocated to the Owner of the Unit to which that Limited Common Element was allocated at the time of the acquisition, or to lienholders, as their interests may appear. If the Board determines that a particular Owner's interest in the Common Elements is diminished with respect to other Owners, by the acquisition of a Common Element, the Declaration may be amended to adjust that Owner's Common Expense Liability allocation, or to remove the allocation of a Limited Common Element to that Owner's Unit, as the case may be.

Section 19.6 Reconstruction and Repair. Any reconstruction and repair necessitated by condemnation shall be governed by the procedures specified in Article 18.

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Article 20. EASEMENTS AND ENCROACHMENTS.

Section 20.1 Easements. Each Unit has an easement in and through each other Unit and the Common Elements and Limited Common Elements for all support elements and utility, wiring, plumbing, heating and air conditioning, and service elements, and for reasonable access thereto, as required to effectuate and continue the proper operation of the Unit and its Limited Common Elements. In addition, the Mixed-Use Unit shall have a nonexclusive easement over, across and through the Limited Common Element courtyard of the Hotel Unit, as shown on the Survey Map and Plans, for pedestrian ingress and egress.

Section 20.2 Encroachments. To the extent not provided by the definition of "Unit" in the Declaration and in the Condominium Act, each Unit and all Common Elements and Limited Common Elements are hereby declared to have an easement over all adjoining Units and Common Elements and Limited Common Elements for the purpose of accommodating any present or future encroachment as a result of engineering errors, construction, reconstruction, repairs, settlement, shifting, or movement of any portion of the property, or any other similar cause, and any encroachment due to building overhang or projection. There shall be valid easements for the maintenance of the encroaching Units and Common Elements and Limited Common Elements so long as the encroachments shall exist, and the rights and obligations of Owners shall not be altered in any way by the encroachment; provided, however, that in no event shall a valid easement for encroachment be created in favor of a Unit if the encroachment was caused by the willful act or gross negligence of the Owner. The encroachments described in this Section shall not be construed to be encumbrances affecting the marketability of title to any Unit.

Section 20.3 Easement Specifically Reserved by the Declarant. The Declarant reserves an access easement over, across, and through the Common Elements of the Condominium for the purpose of completing any unfinished Units or other improvements in the Condominium, exhibiting and preparing Sub-Units for sale, making repairs required pursuant to any contract of sale, and discharging the Declarant's obligations or exercising Special Declarant Rights.

Article 21. PROCEDURES FOR SUBDIVIDING OR ALTERING UNITS.

Section 21.1 Subdivision of Units. A Unit may not be subdivided either by agreement or legal proceedings without the consent of Owners of both Units and an amendment to this Declaration and the Survey Map and Plans. The creation of a condominium within a Unit shall not be deemed a subdivision of the Unit.

Section 21.2 Improvement or Alteration of Units. No Unit may be altered in any way except in accordance with this Article. Each Unit Owner may make such improvements or alterations to the Owner's Unit and its Limited Common Elements as the Owner deems appropriate; provided that, without the approval of the Board (which may not be unreasonably withheld), a Unit Owner may not make any improvement or alteration to (a) the other Unit, (b) the Common Elements, (c) the mechanical or electrical systems serving the other Unit or both Units or (d) the exterior of the buildings.

Section 21.3 Procedure After Approval. Upon approval of a proposal under this Article, the Owner making it may proceed according to the proposed plans and specifications; provided that the Board may in its discretion require that provisions for the protection of other Unit or Common Elements or that reasonable deadlines for completion of the work be inserted in the contracts for the work.

Article 22. AMENDMENT OF DECLARATION SURVEY MAP AND PLANS, ARTICLES OR BYLAWS.

Except in cases of amendments that may be executed by the Declarant under the Declaration or the Condominium Act, the Declaration, the Survey Map and Plans, the Articles and the Bylaws may be amended only with the written consent of both Unit Owners and all Mortgagees. Upon the adoption of an amendment to the Declaration or the Survey Map and Plans, it shall become effective when it is recorded or filed in the real property records in the county in which the Condominium is located. The amendment shall be indexed in the name of the Condominium and shall contain a cross-reference by recording number to the Declaration and each previously recorded amendment thereto. Such amendments shall be prepared, executed, recorded and certified on behalf of the Association by any officer of the Association designated for that purpose or, in the absence of designation, by the president of the Association. No action to challenge the validity of an amendment adopted by the Association pursuant to this Article may be brought more than one year after the amendment is recorded. An amendment to the Articles shall be effective upon filing the amendment with the Secretary of State. An amendment to the Bylaws shall be effective upon adoption.

Article 23. TERMINATION OF CONDOMINIUM.

Except as provided in Article 18 and Article 19, the Condominium may be terminated only by agreement of the Owners of both Units and all Mortgagees.

Article 24. NOTICES; MORTGAGEE'S APPROVAL RIGHTS.

Section 24.1 Form and Delivery of Notices. Unless provided otherwise in this Declaration, all notices given under the provisions of this Declaration or the Bylaws or rules or regulations of the Association shall be in writing and may be delivered either personally or by mail. If delivery is made by mail, the notice shall be deemed to have been delivered upon being deposited in the United States mail, first class, postage prepaid, addressed to the person entitled to such notice at the most recent address known to the Board. Notice to the Owner of any Unit shall be sufficient if mailed to the Unit if no other mailing address has been given to the Board. Mailing addresses may be changed by notice in writing to the Board.

Section 24.2 Notices to Mortgagees. The Association shall send to each Mortgagee timely written notice of (a) any proposed material amendment of this Declaration or Survey Map and Plans, including any amendment changing (1) the boundaries of the mortgaged Unit, (2) the exclusive easement rights, if any, appertaining to the mortgaged Unit, (3) the Allocated Interests of the mortgaged Unit, or (4) the purposes to which the mortgaged Unit is restricted; (b) any proposed termination of condominium status, transfer or mortgage of any part of the Common Elements; (c) any condemnation loss or casualty loss that affects a material portion of the Condominium or that affects the mortgaged Unit; (d) any lapse, cancellation, or material modification of any insurance policy maintained by the Association pursuant to Article 17; (e) any proposed action that would require the consent of Mortgagees pursuant to this Declaration; (f) any delinquency that has continued for 60 days in the payment of Assessments or charges owed by an Owner of the mortgaged Unit; and (g) any other default in the performance of any obligation under this Declaration by the Owner of the mortgaged Unit. With respect to Mortgages held on Sub-Units, notices shall be provided to only to those Mortgagees entitled to receive notices under the condominium declaration for the Mixed-Use Condominium.

Section 24.3 Approval by Mortgagees. A Mortgagee who receives a written request to consent to termination who does not deliver or post to the requesting party a negative response within thirty (30) days shall be deemed to have approved such request, provided the request was delivered by certified or registered mail, return receipt requested. With respect to Mortgages held on Sub-Units, the approval of the requisite number of Mortgagees provided in condominium declaration for the Mixed-Use Condominium for comparable actions will meet the requirement for Mortgagee approval for the Mixed-Use Unit under this Declaration.

Article 25. SEVERABILITY.

The provisions of this Declaration shall be independent and severable, and the unenforceability of any one provision shall not affect the enforceability of any other provision, if the remaining provision or provisions comply with the Condominium Act.

Article 26. EFFECTIVE DATE.

This Declaration shall take effect upon recording.

Article 27. REFERENCE TO SURVEY MAP AND PLANS.

The Survey Map and Plans were filed with the Auditor of Kitsap County, Washington, simultaneously with the recording of this Declaration under File No. 200604200002, in Volume 7 of Condominiums, pages 115 through 132.

Article 28. ASSIGNMENT BY DECLARANT.

The Declarant reserves the right to assign, transfer, sell, lease, or rent all or a portion of the property then owned by it and reserves the right to assign all or any of its rights, duties, and obligations created under this Declaration.

DATED: April 18, 2006.

BAINBRIDGE ISLAND COMMONS, LLC, a Washington limited liability company

By BIC MANAGEMENT, LLC, a Washington limited liability company, its Manager

By BASE CAPITAL, L.L.C., a Washington limited liability company, its Manager

By H. Thomas Wick

H. Thomas Wick, its Managing Member

STATE OF WASHINGTON)
) ss.
COUNTY OF KING)

I certify that I know or have satisfactory evidence that H. Thomas Wick signed this instrument, on oath stated that he was authorized to execute the instrument and acknowledged it as the Managing Member of BASE CAPITAL, L.L.C., a Washington limited liability company, the Manager of BIC MANAGEMENT, LLC, a Washington limited liability company, the manager of BAINBRIDGE ISLAND COMMONS, LLC, a Washington limited liability company, to be the free and voluntary act of such parties for the uses and purposes mentioned in the instrument.

Dated this 18th day of April, 2006.

Gina L. Minifie
(Signature of Notary)

Gina L. Minifie
(Legibly Print or Stamp Name of Notary)
Notary public in and for the state of Washington, residing at Duvall
My appointment expires 3-19-10

GINA L. MINIFIE
COMMISSION EXPIRES
NOTARY
PUBLIC
3-19-10
STATE OF WASHINGTON

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SCHEDULE A

ISLAND COMMONS, A CONDOMINIUM

Description of Land

RESULTANT PARCEL 2 OF BOUNDARY LINE ADJUSTMENT RECORDED UNDER AUDITOR'S FILE NO. 3061934, BEING DESCRIBED AS FOLLOWS:
THAT PORTION OF THE SOUTHWEST QUARTER OF THE SOUTHWEST QUARTER OF SECTION 23, TOWNSHIP 25 NORTH, RANGE 2 EAST, W.M., IN KITSAP COUNTY, WASHINGTON, DESCRIBED AS FOLLOWS:
COMMENCING AT THE SOUTHWEST CORNER OF SAID SECTION 23; THENCE SOUTH 88°50'51" EAST ALONG THE SOUTHERLY LIMITS OF SAID SECTION 23, A DISTANCE OF 659.41 FEET TO THE SOUTHWEST CORNER OF THE SOUTHEAST QUARTER OF THE SOUTHWEST QUARTER OF THE SOUTHWEST QUARTER OF SAID SECTION 23, THENCE NORTH 1°14'23" EAST ALONG THE WESTERLY LIMITS OF SAID SUBDIVISION, A DISTANCE OF 30.00 FEET TO THE NORTHERLY MARGIN OF HIGH SCHOOL ROAD NE AND THE TRUE POINT OF BEGINNING; THENCE ALONG SAID NORTHERLY ROAD MARGIN, SOUTH 88°50'51" EAST , A DISTANCE OF 195.00 FEET; THENCE CONTINUING ALONG SAID NORTHERLY ROAD MARGIN NORTH 87°05'23" EAST, A DISTANCE OF 50.66 FEET; THENCE NORTH 14'20'26" EAST A DISTANCE OF 80.31 FEET; THENCE NORTH 1°14'22" EAST A DISTANCE OF 449.63 FEET; THENCE NORTH 88°48'53" WEST A DISTANCE OF 263.73 FEET; THENCE SOUTH 1°14'23" WEST A DISTANCE OF 531.56 FEET TO THE TRUE POINT OF BEGINNING;

TOGETHER WITH AN EASEMENT FOR ACCESS AND UTILITIES AS ESTABLISHED BY DOCUMENT RECORDED ON SEPTEMBER 23, 1998 UNDER AUDITOR'S FILE NO. 3119954, BEING A PORTION OF THE SOUTHWEST QUARTER OF THE SOUTHWEST QUARTER, SECTION 23, TOWNSHIP 25 NORTH, RANGE 2 EAST, W.M., IN KITSAP COUNTY, WASHINGTON.

SCHEDULE B

ISLAND COMMONS, A CONDOMINIUM

Unit Descriptions; Allocated Interests

Unit	Unit Floor Area	Levels	Allocated Interests
Mixed-Use	56,043	1, 2, 3, 4	65.11%
Hotel	32,473	LL, 1, 2, 3, 4	34.89%
Total:			100.00%

- LL-Lower parking level

SCHEDULE C

ISLAND COMMONS, A CONDOMINIUM

Limited Common Elements

1. The Limited Common Elements allocated to the Mixed-Use Unit are the following:

   1.1 The portion of the garage shown as MLCE on the Survey Map and Plans, containing 96 parking spaces.

   1.2 The portion of the first floor terrace shown as MLCE on the Survey Map and Plans.

   1.3 The portion of the second floor terrace shown as MLCE on the Survey Map and Plans.

   1.4 The decks adjacent to Sub-Units.

   1.5 Any fixtures or equipment serving only the Mixed-Use Unit or its Limited Common Elements.

   1.6 Any other areas shown as MLCE on the Survey Map and Plans.

2. The Limited Common Elements allocated to the Hotel Unit are the following:

   2.1 The portion of the garage shown as HLCE on the Survey Map and Plans, containing 46 parking spaces.

   2.2 The portion of the first floor terrace shown as HLCE on the Survey Map and Plans.

   2.3 The portion of the second floor terrace shown as HLCE on the Survey Map and Plans.

   2.4 Any fixtures or equipment serving only the Hotel Unit or its Limited Common Elements.

   2.5 Any other areas shown as HLCE on the Survey Map and Plans.

200604200001
Page: 38 of 38
04/20/2006 08:43A
PACIFIC NW TITLE DECL $69.00 Kitsap Co, WA

ISLAND COMMONS

A condominium situate in
SW.1/4 SW.1/4 SEC. 23, TWP. 25N., RG. 2E., W.M.
City of Bainbridge Island, Washington

DECLARATION

KNOW ALL MEN BY THESE PRESENTS, THAT THE UNDERSIGNED OWNER IN FEE SIMPLE OF THE PROPERTY HEREON SHOWN HEREBY DECLARES THIS SURVEY MAP AND PLANS AND DEDICATES THE SAME FOR CONDOMINIUM PURPOSES AND CERTIFY THAT ALL STRUCTURAL COMPONENTS AND MECHANICAL SYSTEMS OF ALL BUILDINGS CONTAINING OR COMPRISING UNITS HEREBY CREATED ARE SUBSTANTIALLY COMPLETED. THIS PLAN OR ANY PORTION THEREOF SHALL BE RESTRICTED BY THE TERMS OF THE DECLARATION FILED UNDER KITSAP COUNTY AUDITOR'S FILE NO. 200604200001

DECLARANT:
BAINBRIDGE ISLAND COMMONS, LLC,
a Washington limited liability company
By BIC MANAGEMENT, LLC,
a Washington limited liability company, its Manager
By BASE CAPITAL, L.L.C., a Washington limited liability company, its Manager

By H. Thomas Wick
H. Thomas Wick, its Managing Member

ACKNOWLEDGEMENT

STATE OF WASHINGTON)
) ss.
COUNTY OF KING)

I certify that I know or have satisfactory evidence that H. Thomas Wick signed this instrument, on oath stated that he was authorized to execute the instrument and acknowledged it as the Managing Member of BASE CAPITAL, L.L.C., a Washington limited liability company, the Manager of BIC MANAGEMENT, LLC, a Washington limited liability company, the manager of BAINBRIDGE ISLAND COMMONS, LLC, a Washington limited liability company, to be the free and voluntary act of such parties for the uses and purposes mentioned in the instrument.

Dated this 14th day of April, 2006.

Lisa Ann Denneoy
(Signature of Notary)

Lisa Ann Denneoy
(Legibly Print or Stamp Name of Notary)
Notary public in and for the state of Washington,
residing at Sammamish
My appointment expires 1-9-09

GENERAL NOTES:

1.) BUILDING DIMENSION LOCATIONS ARE MEASURED AT RIGHT ANGLES FROM THE PROPERTY LINE AT LOCATIONS INDICATED.

2.) BUILDING DIMENSIONS SHOWN ARE BUILDING FOUNDATION WALL.

3.) UNIT DIMENSIONS SHOWN ARE APPROXIMATE AND FOR REFERENCE ONLY. THE EXISTING LOCATIONS OF THE EXTERIOR FACE OF THE PERIMETER WALLS OF THE UNITS SHALL BE THE LIMITS OF OWNERSHIP.

4.) FLOOR ELEVATIONS SHOWN ARE APPROXIMATE AND FOR REFERENCE ONLY. THE EXISTING LOCATION OF THE UPPER SURFACE OF THE FLOOR, EXCLUSIVE OF CARPETING, SHALL BE THE LIMITS OF OWNERSHIP.

5.) CEILING ELEVATIONS SHOWN ARE APPROXIMATE AND FOR REFERENCE ONLY. THE EXISTING LOCATION OF THE LOWER SURFACE OF THE FINISHED CEILING SHALL BE THE LIMITS OF OWNERSHIP.

LEGAL DESCRIPTION

RESULTANT PARCEL 2 OF BOUNDARY LINE ADJUSTMENT RECORDED UNDER AUDITOR'S FILE NO. 3061934, BEING DESCRIBED AS FOLLOWS:
THAT PORTION OF THE SOUTHWEST QUARTER OF THE SOUTHWEST QUARTER OF SECTION 23, TOWNSHIP 25 NORTH, RANGE 2 EAST, W.M., IN KITSAP COUNTY, WASHINGTON, DESCRIBED AS FOLLOWS:
COMMENCING AT THE SOUTHWEST CORNER OF SAID SECTION 23; THENCE SOUTH 88°50'51" EAST ALONG THE SOUTHERLY LIMITS OF SAID SECTION 23, A DISTANCE OF 659.41 FEET TO THE SOUTHWEST CORNER OF THE SOUTHEAST QUARTER OF THE SOUTHWEST QUARTER OF THE SOUTHWEST QUARTER OF SAID SECTION 23; THENCE NORTH 01°14'23" EAST ALONG THE WESTERLY LIMITS OF SAID SUBDIVISION, A DISTANCE OF 30.00 FEET TO THE NORTHERLY MARGIN OF HIGH SCHOOL ROAD NE AND THE TRUE POINT OF BEGINNING; THENCE ALONG SAID NORTHERLY ROAD MARGIN, SOUTH 88°50'51" EAST, A DISTANCE OF 195.00 FEET; THENCE CONTINUING ALONG SAID NORTHERLY ROAD MARGIN NORTH 87°05'23" EAST, A DISTANCE OF 50.66 FEET; THENCE NORTH 14 20'26" EAST A DISTANCE OF 80.31 FEET; THENCE NORTH 0°14'22" EAST A DISTANCE OF 449.63 FEET; THENCE NORTH 88°48'53" WEST A DISTANCE OF 263.73 FEET; THENCE SOUTH 01°14'23" WEST A DISTANCE OF 531.56 FEET TO THE TRUE POINT OF BEGINNING;
TOGETHER WITH AN EASEMENT FOR ACCESS AND UTILITIES AS ESTABLISHED BY DOCUMENT RECORDED ON SEPTEMBER 23, 1998 UNDER AUDITOR'S FILE NO. 3119954, BEING A PORTION OF THE SOUTHWEST QUARTER OF THE SOUTHWEST QUARTER, SECTION 23, TOWNSHIP 25 NORTH, RANGE 2 EAST, W.M., IN KITSAP COUNTY, WASHINGTON.

SURVEYOR'S CERTIFICATE

I HEREBY CERTIFY THAT THIS SURVEY MAP AND PLANS FOR ISLAND COMMONS, A CONDOMINIUM ARE BASED UPON AN ACTUAL AS-BUILT SURVEY OF THE PROPERTY HEREIN DESCRIBED; THAT THE BEARINGS AND DISTANCES OF PROPERTY LINES AND HORIZONTAL AND VERTICAL UNIT BOUNDARIES ARE CORRECTLY SHOWN; THAT ALL HORIZONTAL AND VERTICAL BOUNDARIES OF THE UNITS ARE SUBSTANTIALLY COMPLETED; AND THAT ALL INFORMATION REQUIRED BY RCW 64.34.232 IS SUPPLIED.

Steve Ottmar 4-12-2006
STEVEN E. OTTMAR P.L.S.
A.E.S. CONSULTANTS, INC.
P.O. BOX 930
SILVERDALE, WA. 98383
CERTIFICATE NO. 20795

STEVEN E. OTTMAR
STATE OF WASHINGTON
20795
REGISTERED
PROFESSIONAL LAND SURVEYOR
EXPIRES 11/10/06

RECORDING CERTIFICATE

FILED FOR RECORD AT THE REQUEST OF Bainbridge Island Commons THIS 20th DAY OF April, 2006, AT 43 MINUTES PAST 8 A.M. AND RECORDED IN VOLUME 7 OF CONDOMINIUMS, PAGES 115-132, RECORDS OF KITSAP COUNTY, WASHINGTON.
AUDITOR'S FILE NUMBER: 200604200002

Karen Flynn
KITSAP COUNTY AUDITOR

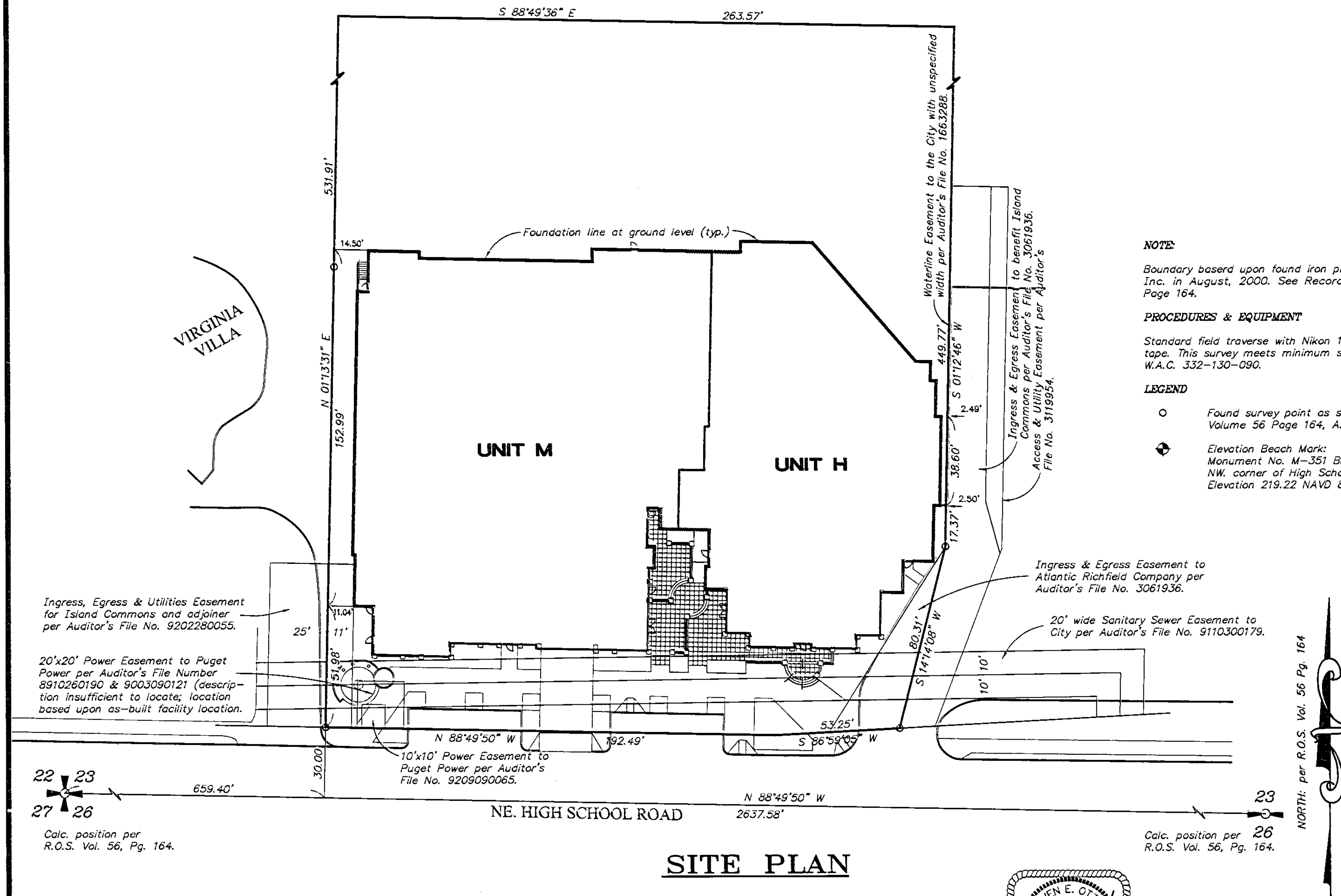
Susan B. Lucio
BY: DEPUTY

AES
CONSULTANTS, INC.
P.O. BOX 930 · SILVERDALE, WA. 98383 · (360)692-6400

Drawn By:	R.L.J.
Date:	3/28/06
Checked By:	S.E.O.
Job No.	3930

ISLAND COMMONS

A condominium situate in
SW.1/4 SW.1/4 SEC. 23, TWP. 25N., RG. 2E., W.M.
City of Bainbridge Island, Washington



NOTE

Boundary basered upon found iron pipes set by Mclearnsberry Inc. in August, 2000. See Record-of-Survey Volume 56 Page 164.

PROCEDURES & EQUIPMENT

Standard field traverse with Nikon 1" Total Station and steel tape. This survey meets minimum standards as set forth in W.A.C. 332-130-090.

LEGEND

○ Found survey point as set for Record-of-Survey Volume 56 Page 164, A.F.#200111130037.

Elevation Beach Mark: Monument No. M-351 Brass cap in conc. @ NW. corner of High School Road & Madison Road. Elevation 219.22 NAVD 88.

SITE PLAN

STEVEN E. OTTMAR, STATE OF WASHINGTON, REGISTERED PROFESSIONAL LAND SURVEYOR, 20795, EXPIRES 11/10/06

4-12-2006

GRAPHIC SCALE

30 0 15 30 60 120

(IN FEET)
1 inch = 30 ft.

AES CONSULTANTS, INC.
P.O. BOX 930 · SILVERDALE, WA. 98383 · (360)692-6400

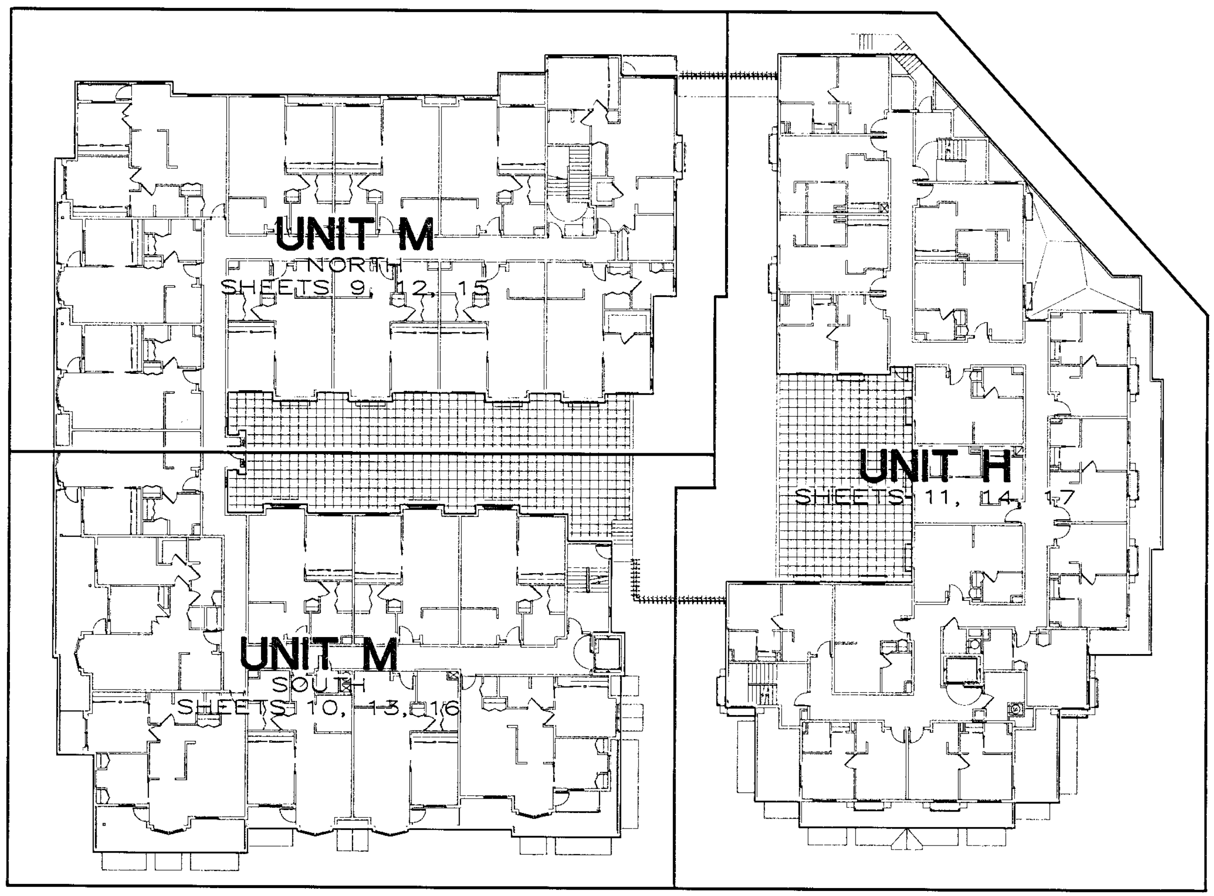
Drawn By:	R.L.J.
Date:	3/28/06
Checked By:	S.E.O.
Job No.	3930

Sheet 2 of 18

200604200002 V7 P116

ISLAND COMMONS

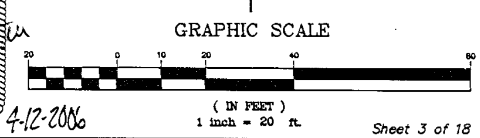
A condominium situate in
SW.1/4 SW.1/4 SEC. 23, TWP. 25N., RG. 2E., W.M.
City of Bainbridge Island, Washington



INDEX MAP

STEVEN E. OTTMAR · STATE OF WASHINGTON · 20795 · REGISTERED PROFESSIONAL LAND SURVEYOR · EXPIRES 11/10/06

4-12-2006



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Drawn By:	R.L.J.
Date:	3/28/06
Checked By:	S.E.O.
Job No.	3930

Sheet 3 of 18

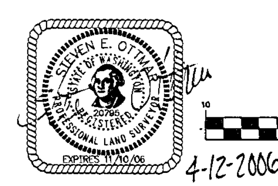
20060420002   V7 P117

ISLAND COMMONS

A condominium situate in
SW.1/4 SW.1/4 SEC. 23, TWP. 25N., RG. 2E., W.M.
City of Bainbridge Island, Washington

UNIT–M EAST ELEVATION

(LOOKING WEST)



GRAPHIC SCALE

(IN FEET)
1 inch = 10 ft.

Sheet 4 of 18

AES CONSULTANTS, INC.
P.O. BOX 930 · SILVERDALE, WA 98383 · (360)692-6400

Drawn By:	R.L.J.
Date:	3/28/06
Checked By:	S.E.O.
Job No.	3930

200604200002 V7 P118

ISLAND COMMONS

A condominium situate in
SW.1/4 SW.1/4 SEC. 23, TWP. 25N., RG. 2E., W.M.
City of Bainbridge Island, Washington

UNIT-H EAST ELEVATION
(LOOKING WEST)

STEVEN E. OTTMAR
STATE OF WASHINGTON
20795
REGISTERED PROFESSIONAL LAND SURVEYOR
EXPIRES 11/10/06
4-12-2006

GRAPHIC SCALE
10 0 5 10 20 40
(IN FEET)
1 inch = 10 ft.

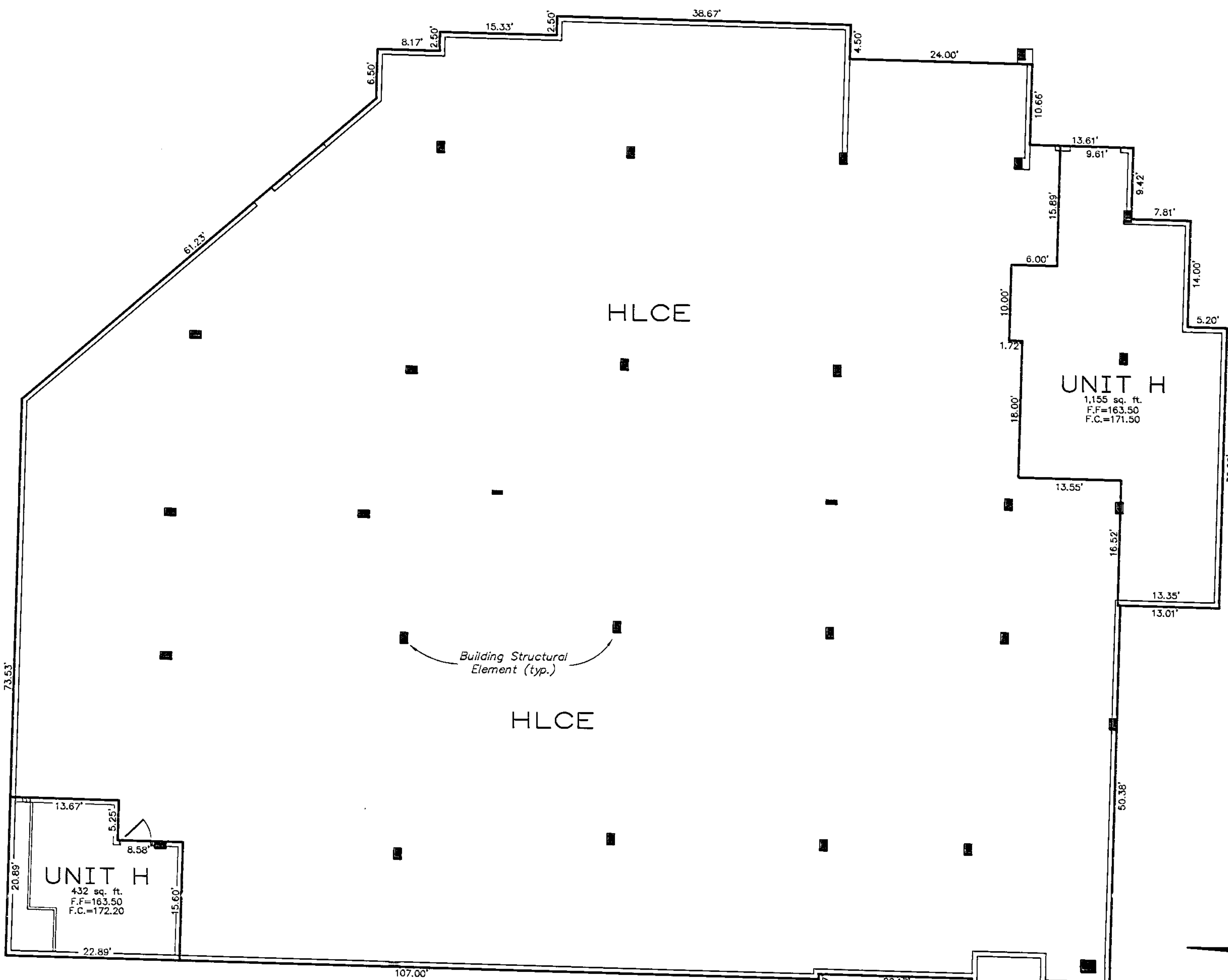
AES CONSULTANTS, INC.
P.O. BOX 930 · SILVERDALE, WA 98383 · (360)692-6400

Drawn By:	R.L.J.
Date:	3/28/06
Checked By:	S.E.O.
Job No.	3930

200604200002 V7 P119

ISLAND COMMONS

A condominium situate in
SW.1/4 SW.1/4 SEC. 23, TWP. 25N., RG. 2E., W.M.
City of Bainbridge Island, Washington



LEGEND

CE	COMMON ELEMENT
HLCE	UNIT H LIMITED COMMON ELEMENT
MLCE	UNIT M LIMITED COMMON ELEMENT
F.F.	FINISH FLOOR ELEVATION
F.C.	FINISH CEILING ELEVATION

NORTH: per R.O.S. Vol. 56 Pg. 164

GRAPHIC SCALE

10 0 5 10 20 40

(IN FEET)
1 inch = 10 ft.

AES CONSULTANTS, INC.
P.O. BOX 930 · SILVERDALE, WA 98383 · (360)692-6400

Drawn By:	R.L.J.
Date:	3/28/06
Checked By:	S.E.O.
Job No.	3930

PARKING LOWER LEVEL

UNIT–H

200604200002 V7 P120

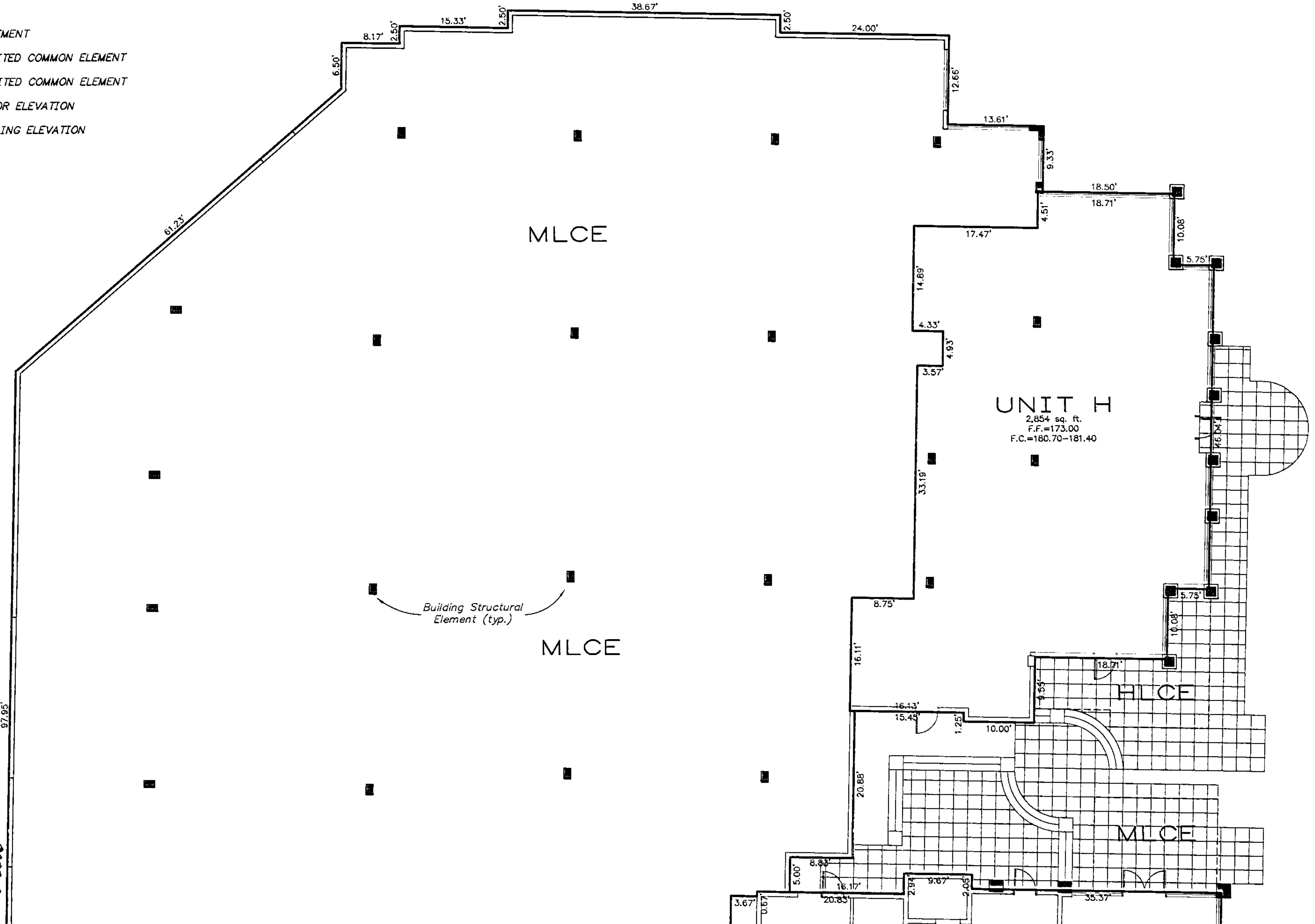
ISLAND COMMONS

A condominium situate in
SW.1/4 SW.1/4 SEC. 23, TWP. 25N., RG. 2E., W.M.
City of Bainbridge Island, Washington

NORTH: per R.O.S. Vol. 56 Pg. 164

LEGEND

CE	COMMON ELEMENT
HLCE	UNIT H LIMITED COMMON ELEMENT
MLCE	UNIT M LIMITED COMMON ELEMENT
F.F.	FINISH FLOOR ELEVATION
F.C.	FINISH CEILING ELEVATION



4-16-2006

STEVEN E. OTTMAR
STATE OF WASHINGTON
20795
REGISTERED PROFESSIONAL LAND SURVEYOR
EXPIRES 11/10/06

GRAPHIC SCALE

(IN FEET)
1 inch = 10 ft.

AES
CONSULTANTS, INC.
P.O. BOX 930 · SILVERDALE, WA 98383 · (360)692-6400

Drawn By:	R.L.J.
Date:	3/28/06
Checked By:	S.E.O.
Job No.	3930

PARKING 1ST. FLOOR
UNIT-H

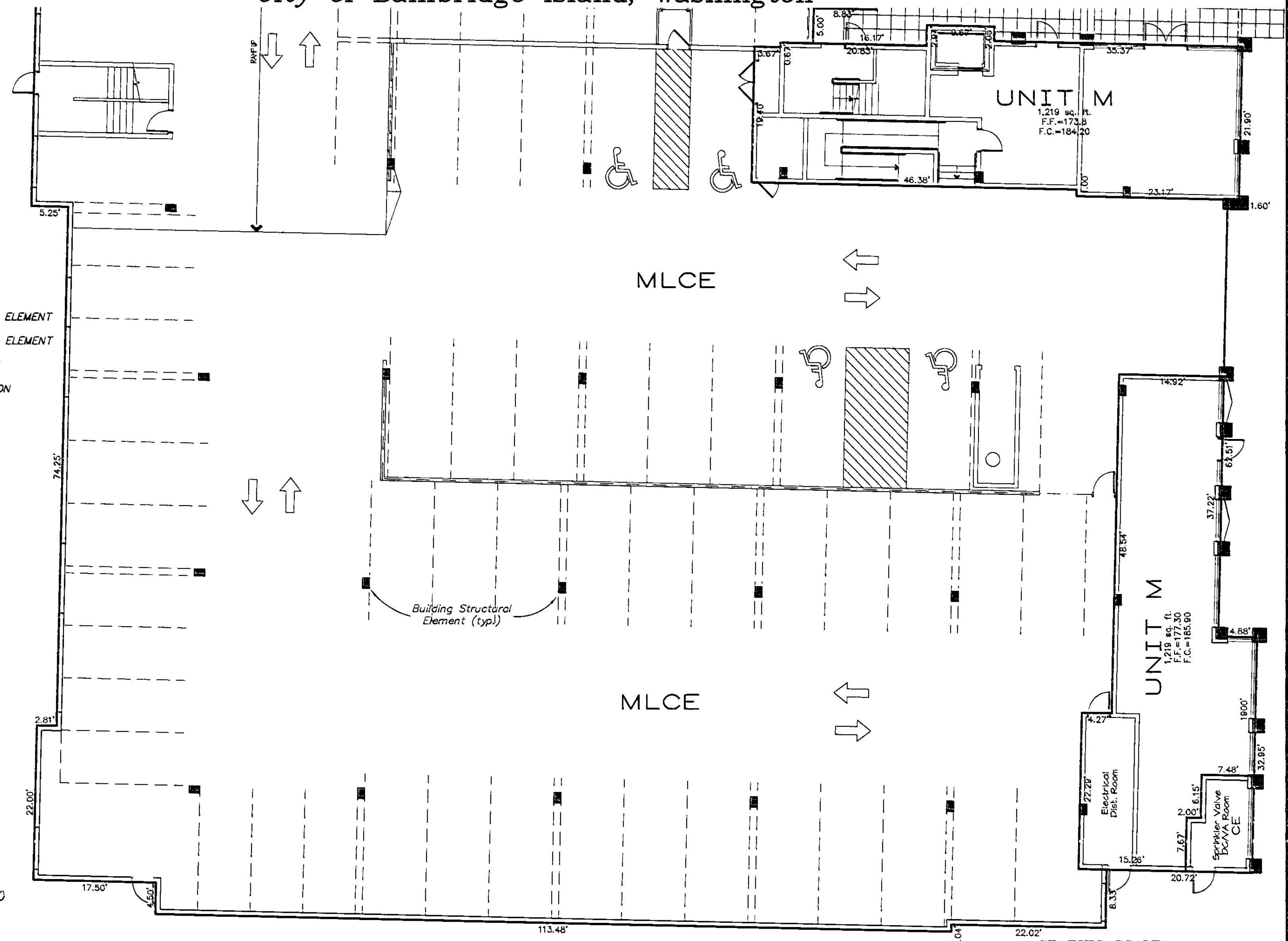
Sheet 7 of 18

200604200002 V7 P121

ISLAND COMMONS

A condominium situate in
SW.1/4 SW.1/4 SEC. 23, TWP. 25N., RG. 2E., W.M.
City of Bainbridge Island, Washington

NORTH: per R.O.S. Vol. 56 Pg. 164



LEGEND

CE	COMMON ELEMENT
HLCE	UNIT H LIMITED COMMON ELEMENT
MLCE	UNIT M LIMITED COMMON ELEMENT
F.F.	FINISH FLOOR ELEVATION
F.C.	FINISH CEILING ELEVATION

STEVEN E. OTTMAR
STATE OF WASHINGTON
20796
REGISTERED
PROFESSIONAL LAND SURVEYOR
EXPIRES 11/10/06

4-15-2006

AES CONSULTANTS, INC.
P.O. BOX 930 · SILVERDALE, WA 98383 · (360)692-6400

Drawn By:	R.L.J.
Date:	3/28/06
Checked By:	S.E.O.
Job No.	3930

PARKING 1ST. FLOOR
UNIT–M

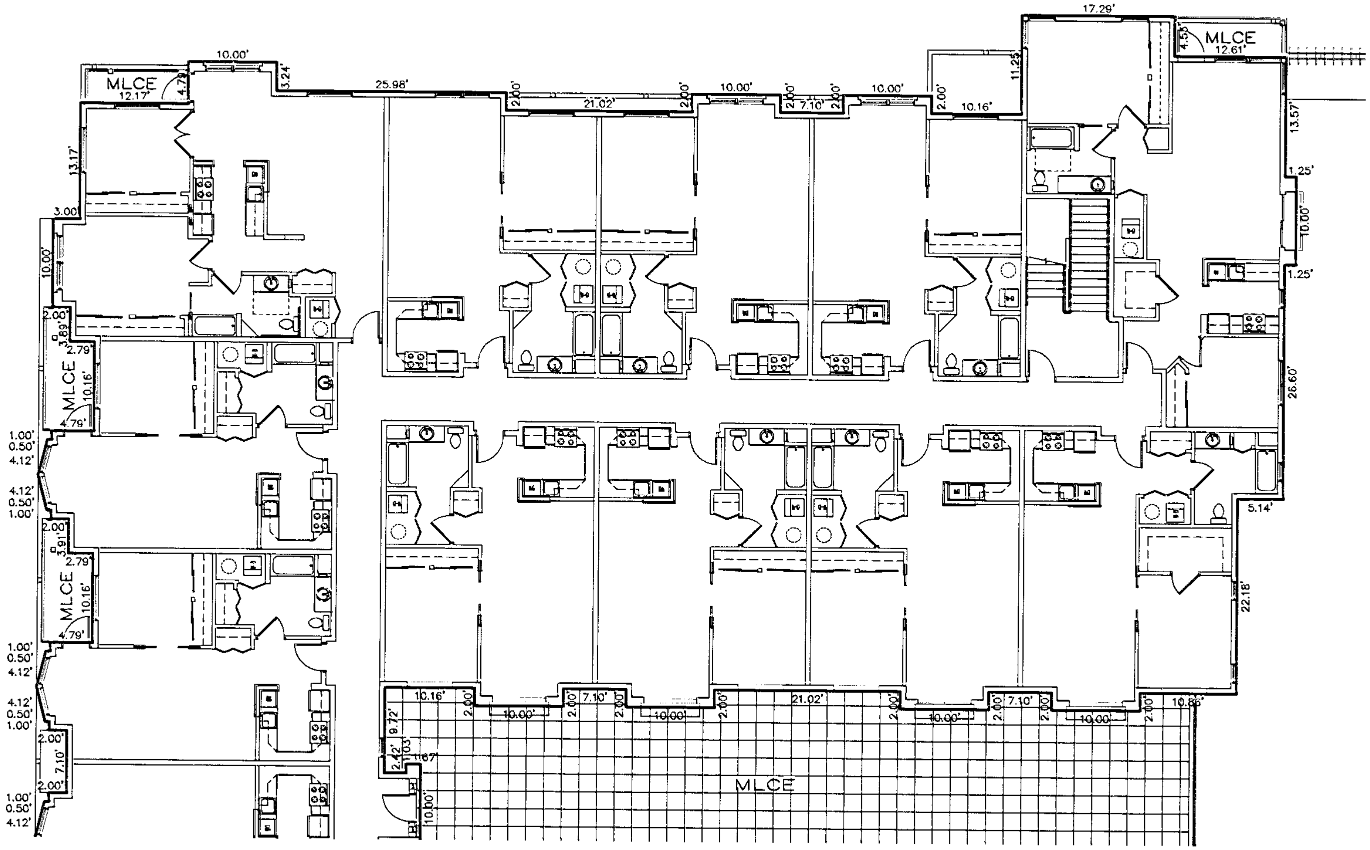
GRAPHIC SCALE
10 0 5 10 20 40
(IN FEET)
1 inch = 10 ft.

Sheet 8 of 18

200604200002 V7 P122

ISLAND COMMONS

A condominium situate in
SW.1/4 SW.1/4 SEC. 23, TWP. 25N., RG. 2E., W.M.
City of Bainbridge Island, Washington



LEGEND

CE	COMMON ELEMENT
MLCE	UNIT M LIMITED COMMON ELEMENT

2ND. FLOOR NORTH

UNIT–M
FINISH FLOOR ELEV.=189.58
17,900 SQ.FT. (TOTAL 2ND. FLOOR)

GRAPHIC SCALE
(IN FEET)
1 inch = 10 ft.

STEVEN E. OTTMAR, STATE OF WASHINGTON, 20795, REGISTERED PROFESSIONAL LAND SURVEYOR, EXPIRES 11/10/06

4-16-2006

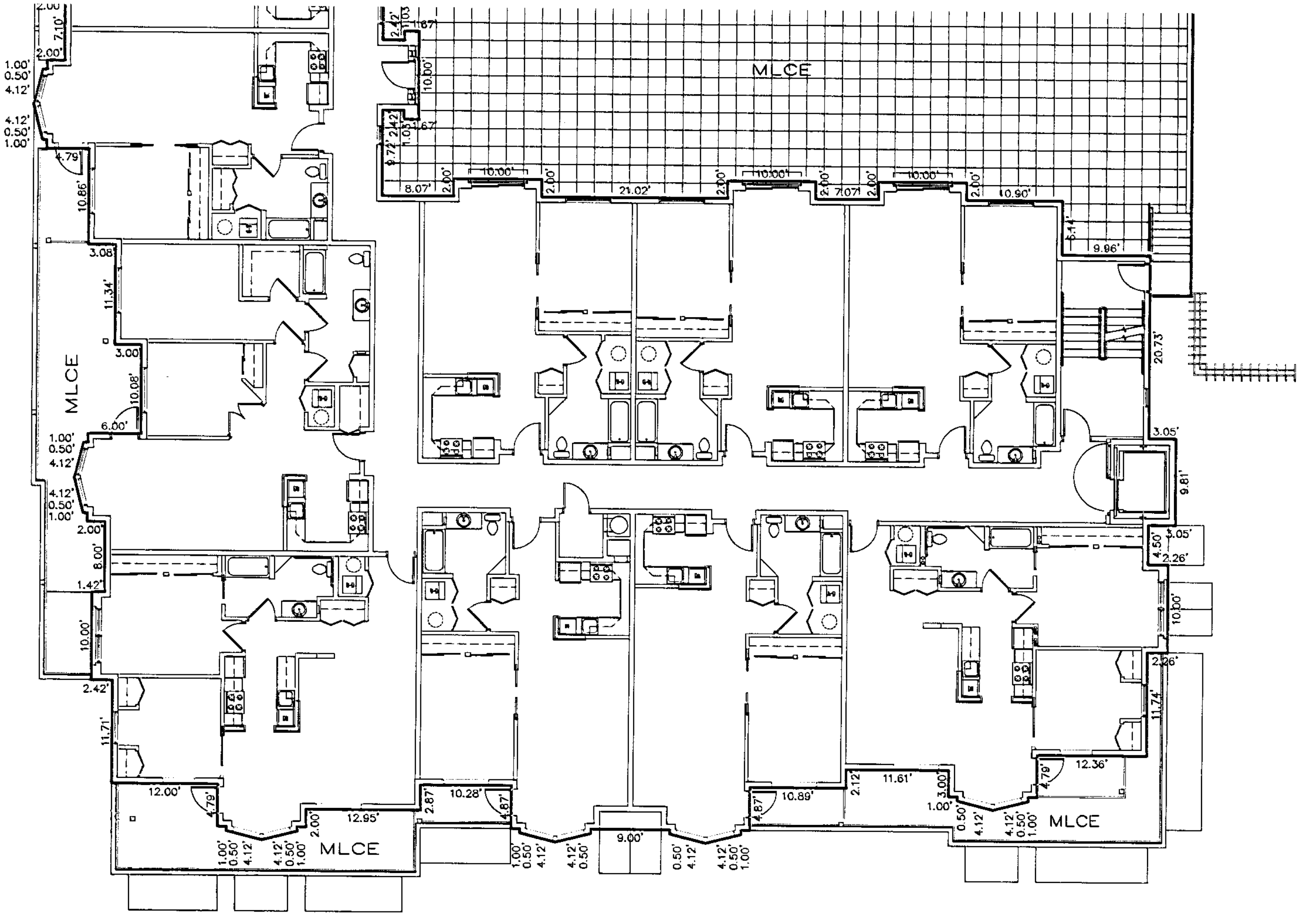
AES CONSULTANTS, INC.
P.O. BOX 930 · SILVERDALE, WA. 98383 · (360)692-6400

Drawn By:	R.L.J.
Date:	3/28/06
Checked By:	S.E.O.
Job No.	3930

200604200002 V7 P123

ISLAND COMMONS

A condominium situate in
SW.1/4 SW.1/4 SEC. 23, TWP. 25N., RG. 2E., W.M.
City of Bainbridge Island, Washington



LEGEND

CE	COMMON ELEMENT
MLCE	UNIT M LIMITED COMMON ELEMENT

NORTH: per R.O.S. Vol. 56 Pg. 164

2ND. FLOOR SOUTH

UNIT–M
FINISH FLOOR ELEV.=189.58
17,900 SQ.FT. (TOTAL 2ND. FLOOR)

AES CONSULTANTS, INC.
P.O. BOX 930 · SILVERDALE, WA 98383 · (360)692-6400

Drawn By:	R.L.J.
Date:	3/28/06
Checked By:	S.E.O.
Job No.	3930

STEVEN E. OTTMAR
STATE OF WASHINGTON
20795
REGISTERED PROFESSIONAL LAND SURVEYOR
EXPIRES 11/10/06

4-12-2006

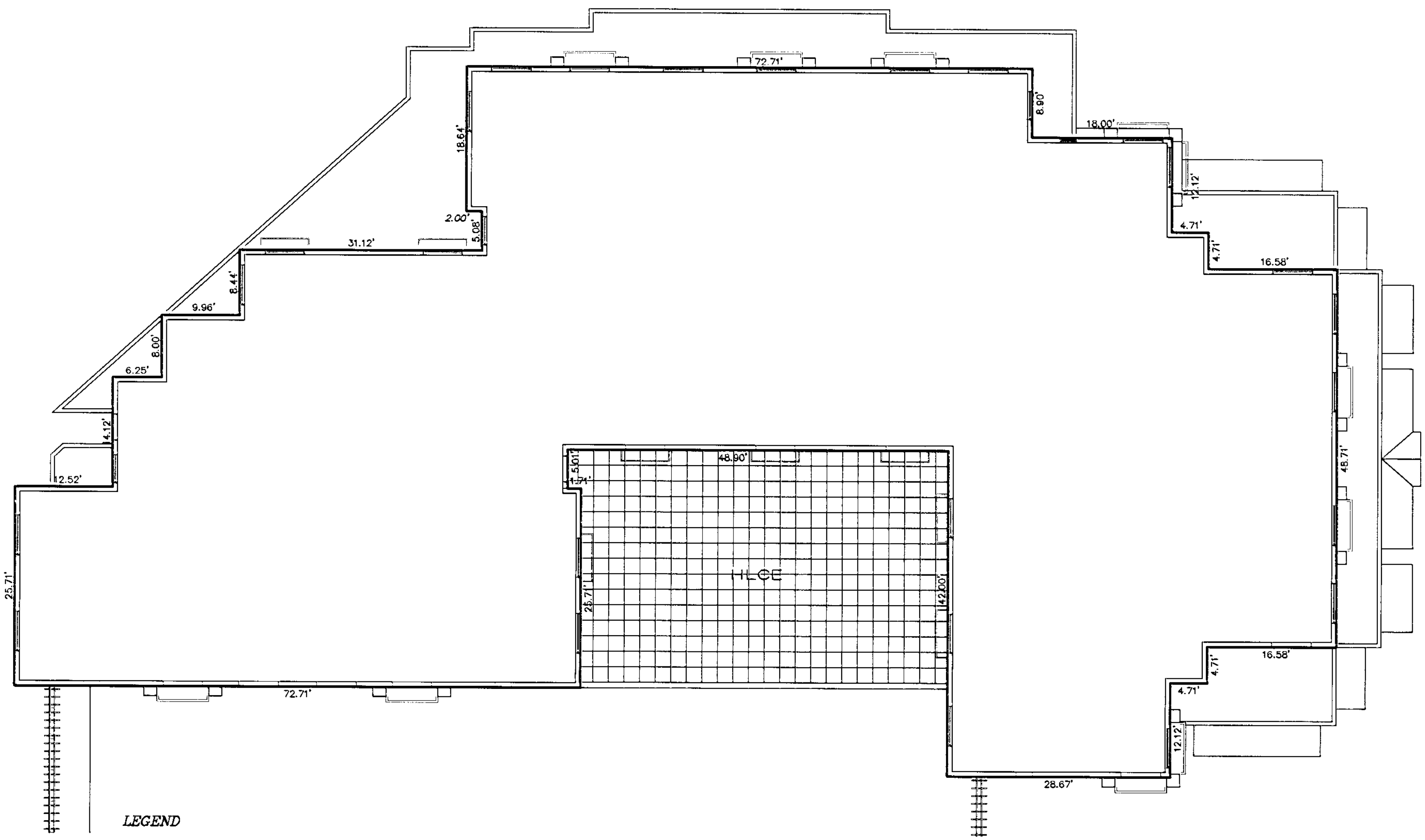
GRAPHIC SCALE
(IN FEET)
1 inch = 10 ft.

Sheet 10 of 18

200604200002 V7 P124

ISLAND COMMONS

A condominium situate in
SW.1/4 SW.1/4 SEC. 23, TWP. 25N., RG. 2E., W.M.
City of Bainbridge Island, Washington



LEGEND

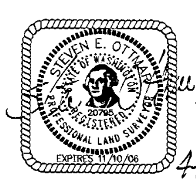
CE COMMON ELEMENT

HLCE UNIT H LIMITED COMMON ELEMENT

2ND. FLOOR

UNIT–H
FINISH FLOOR ELEV.=183.01
9,344 SQ.FT. (TOTAL 2ND. FLOOR)

NORTH: per R.O.S. Vol. 56 Pg. 164



4-12-2006

GRAPHIC SCALE

10 0 5 10 20 40

(IN FEET)
1 inch = 10 ft.

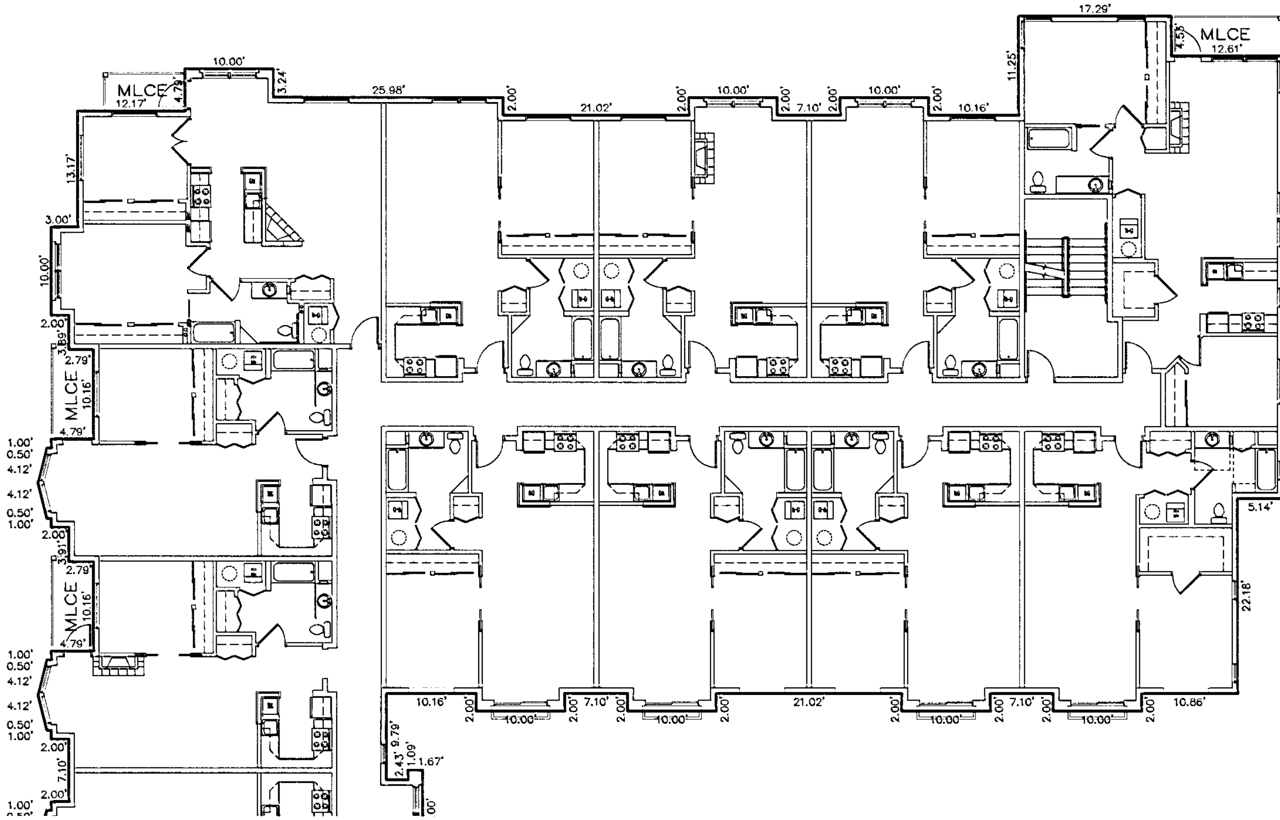
AES CONSULTANTS, INC.
P.O. BOX 930 · SILVERDALE, WA 98383 · (360)692-6400

Drawn By:	R.L.J.
Date:	3/24/06
Checked By:	S.E.O.
Job No.	3930

200604200002 V7 P125

ISLAND COMMONS

A condominium situate in
SW.1/4 SW.1/4 SEC. 23, TWP. 25N., RG. 2E., W.M.
City of Bainbridge Island, Washington



LEGEND

CE	*COMMON ELEMENT*
MLCE	*UNIT M LIMITED COMMON ELEMENT*

NORTH: per R.O.S. Vol. 56 Pg. 164

3RD. FLOOR NORTH

UNIT–M
FINISH FLOOR ELEV.=198.75
17,897 SQ.FT. (TOTAL 3RD. FLOOR)

AES CONSULTANTS, INC.
P.O. BOX 930 · SILVERDALE, WA. 98383 · (360)692-6400

Drawn By:	R.L.J.
Date:	3/28/06
Checked By:	S.E.O.
Job No.	3930

STEVEN E. OTTMAR · STATE OF WASHINGTON · 20790 · REGISTERED PROFESSIONAL LAND SURVEYOR · EXPIRES 11/10/06

4-11-2006

GRAPHIC SCALE

10 0 5 10 20 40

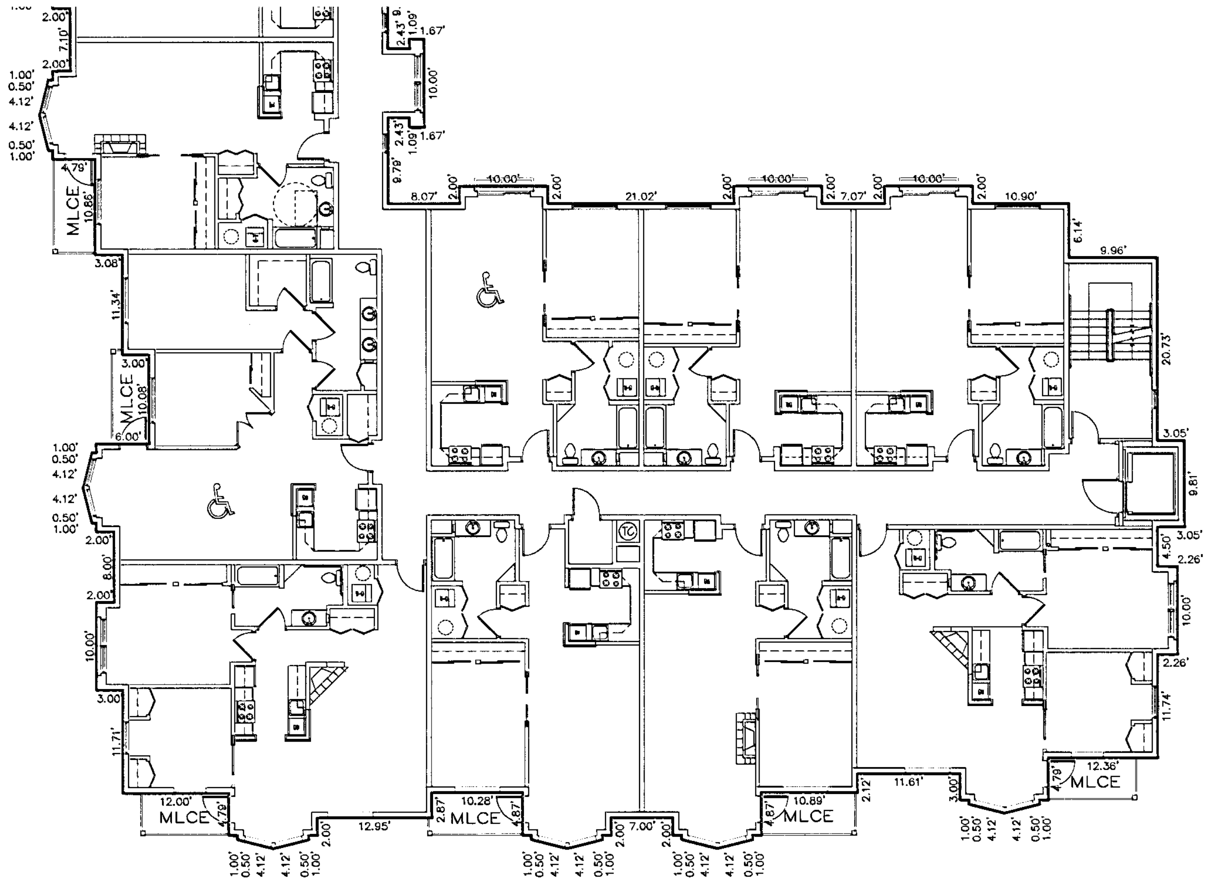
(IN FEET)
1 inch = 10 ft.

Sheet 12 of 18

200604200002 V7 P126

ISLAND COMMONS

A condominium situate in
SW.1/4 SW.1/4 SEC. 23, TWP. 25N., RG. 2E., W.M.
City of Bainbridge Island, Washington



LEGEND

CE	*COMMON ELEMENT*
MLCE	*UNIT M LIMITED COMMON ELEMENT*

NORTH: per R.O.S. Vol. 56 Pg. 164

3RD. FLOOR SOUTH

UNIT–M
FINISH FLOOR ELEV.=198.75
17,897 SQ.FT. (TOTAL 3RD. FLOOR)

GRAPHIC SCALE

10 0 5 10 20 40

(IN FEET)
1 inch = 10 ft.

STEVEN E. OTTMAR · STATE OF WASHINGTON · 20795 · REGISTERED · PROFESSIONAL LAND SURVEYOR · EXPIRES 11/10/06

4-12-2006

AES CONSULTANTS, INC.

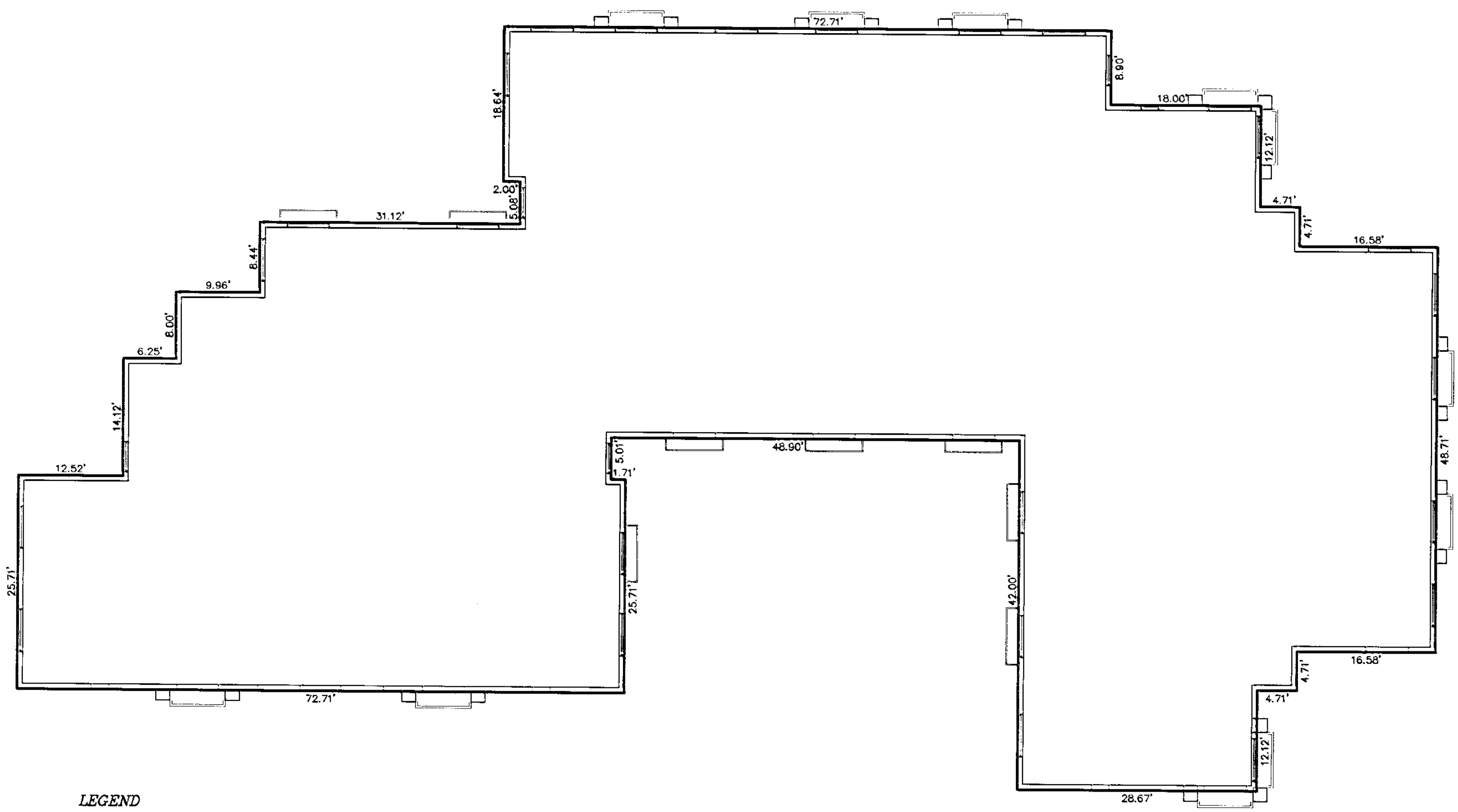
P.O. BOX 930 · SILVERDALE, WA. 98383 · (360)692-6400

Drawn By:	R.L.J.
Date:	3/28/06
Checked By:	S.E.O.
Job No.	3930

200604200002 V7 P127

ISLAND COMMONS

A condominium situate in
SW.1/4 SW.1/4 SEC. 23, TWP. 25N., RG. 2E., W.M.
City of Bainbridge Island, Washington



LEGEND

CE	COMMON ELEMENT
HLCE	UNIT H LIMITED COMMON ELEMENT

3RD. FLOOR

UNIT–H
FINISH FLOOR ELEV.=192.27
9,344 SQ.FT. (TOTAL 3RD. FLOOR)

NORTH: per R.O.S. Vol. 56 Pg. 164

GRAPHIC SCALE

(IN FEET)
1 inch = 10 ft.

STEVEN E. OTTEMAR, STATE OF WASHINGTON, 20795, REGISTERED PROFESSIONAL LAND SURVEYOR, EXPIRES 11/10/06

4-12-2006

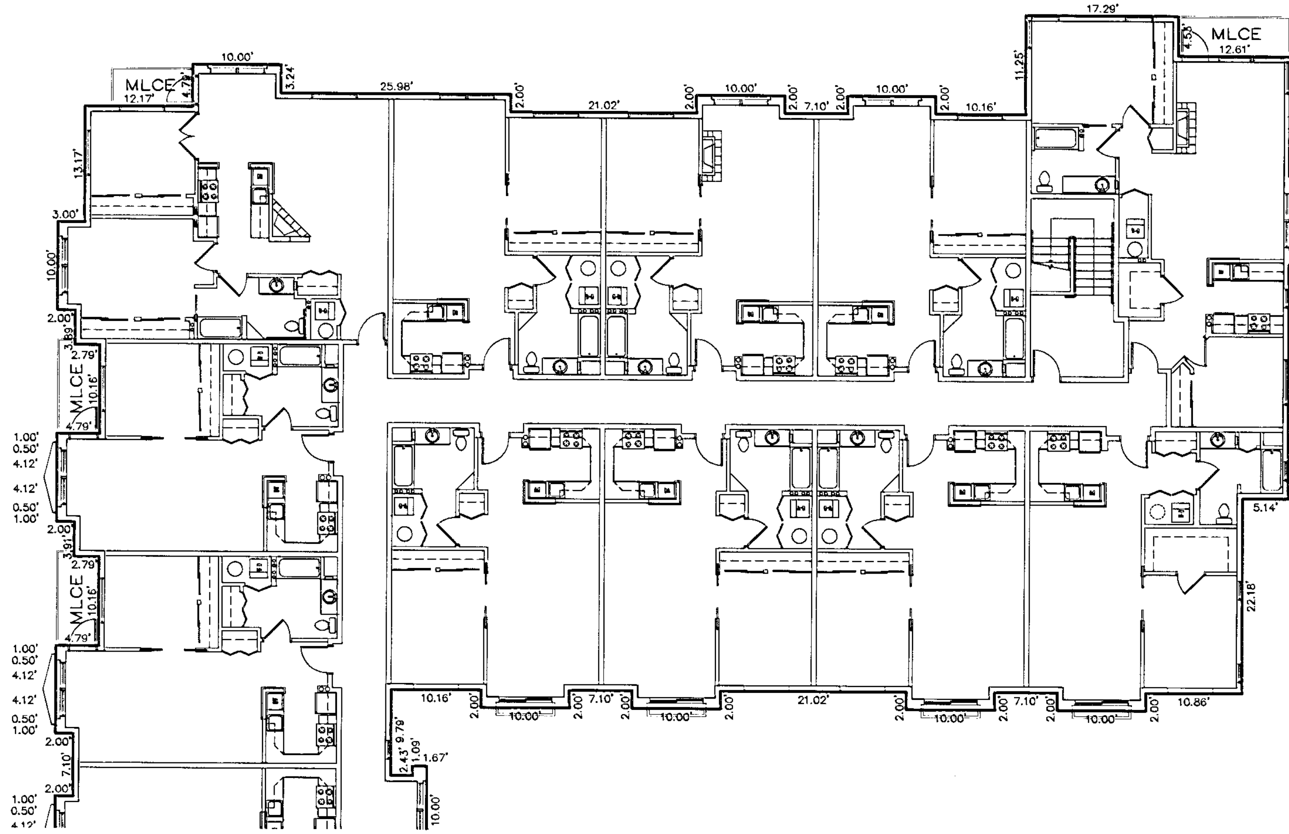
AES CONSULTANTS, INC.
P.O. BOX 930 · SILVERDALE, WA 98383 · (360)692-6400

Drawn By:	R.L.J.
Date:	3/28/06
Checked By:	S.E.O.
Job No.	3930

200604200002 V7 P128

ISLAND COMMONS

A condominium situate in
SW.1/4 SW.1/4 SEC. 23, TWP. 25N., RG. 2E., W.M.
City of Bainbridge Island, Washington



LEGEND

CE	COMMON ELEMENT
MLCE	UNIT M LIMITED COMMON ELEMENT

NORTH: per R.O.S. Vol. 56 Pg. 164

4TH. FLOOR NORTH

UNIT–M
FINISH FLOOR ELEV.=208.07
17,808 SQ.FT. (TOTAL 4TH. FLOOR)

AES CONSULTANTS, INC.
P.O. BOX 930 · SILVERDALE, WA. 98383 · (360)692-6400

Drawn By:	R.L.J.
Date:	3/28/06
Checked By:	S.E.O.
Job No.	3930

STEVEN E. OTTMAR · STATE OF WASHINGTON · REGISTERED · 20795 · PROFESSIONAL LAND SURVEYOR · EXPIRES 11/10/06

4-12-2006

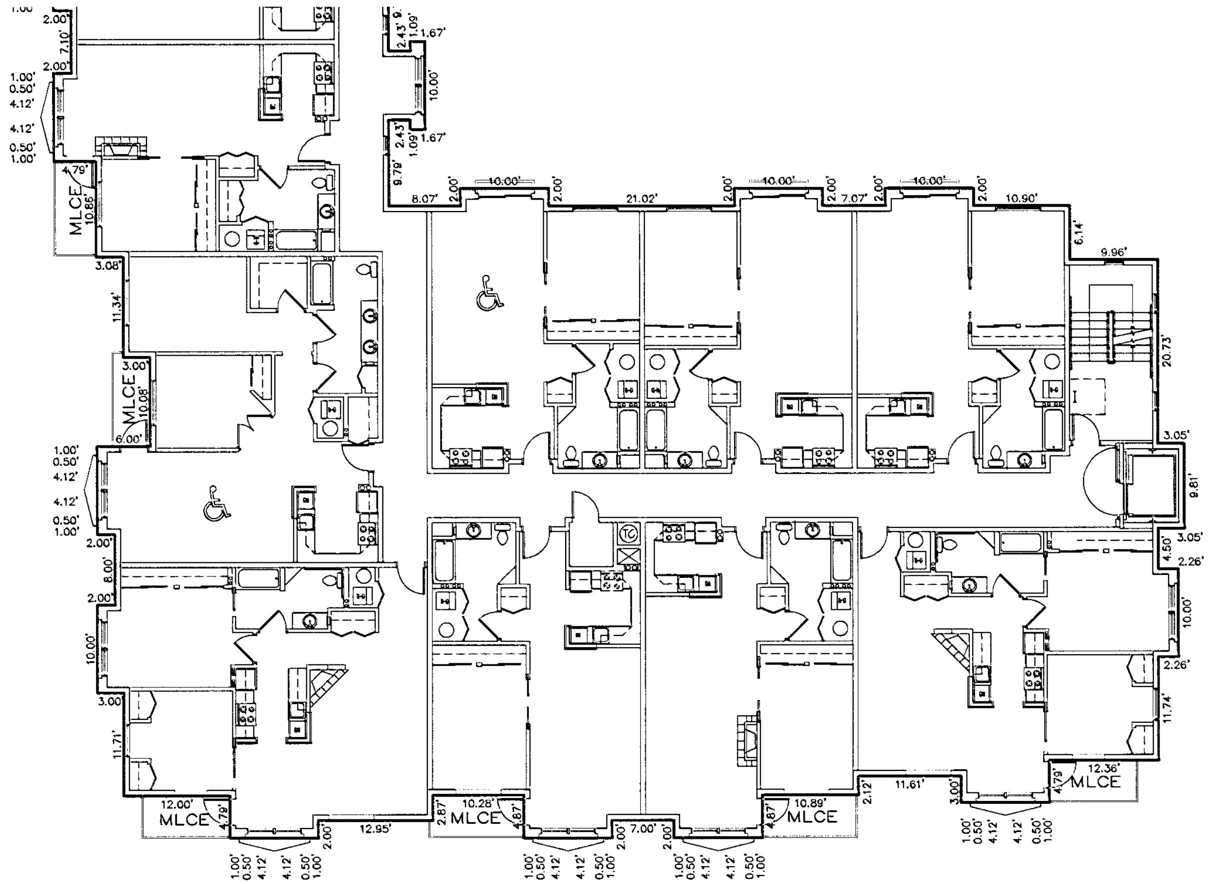
GRAPHIC SCALE
10 0 5 10 20 40
(IN FEET)
1 inch = 10 ft.

Sheet 15 of 18

200604200002 V7 P129

ISLAND COMMONS

A condominium situate in
SW.1/4 SW.1/4 SEC. 23, TWP. 25N., RG. 2E., W.M.
City of Bainbridge Island, Washington



LEGEND

CE	COMMON ELEMENT
MLCE	UNIT M LIMITED COMMON ELEMENT

NORTH: per R.O.S. Vol. 56 Pg. 164

4TH. FLOOR SOUTH

UNIT–M
FINISH FLOOR ELEV.=208.07
17,808 SQ.FT. (TOTAL 4TH. FLOOR)

GRAPHIC SCALE
10 0 5 10 20 40
(IN FEET)
1 inch = 10 ft.

STEVEN E. OTTMAR
STATE OF WASHINGTON
20795
REGISTERED
PROFESSIONAL LAND SURVEYOR
EXPIRES 11/10/06

4-12-2006

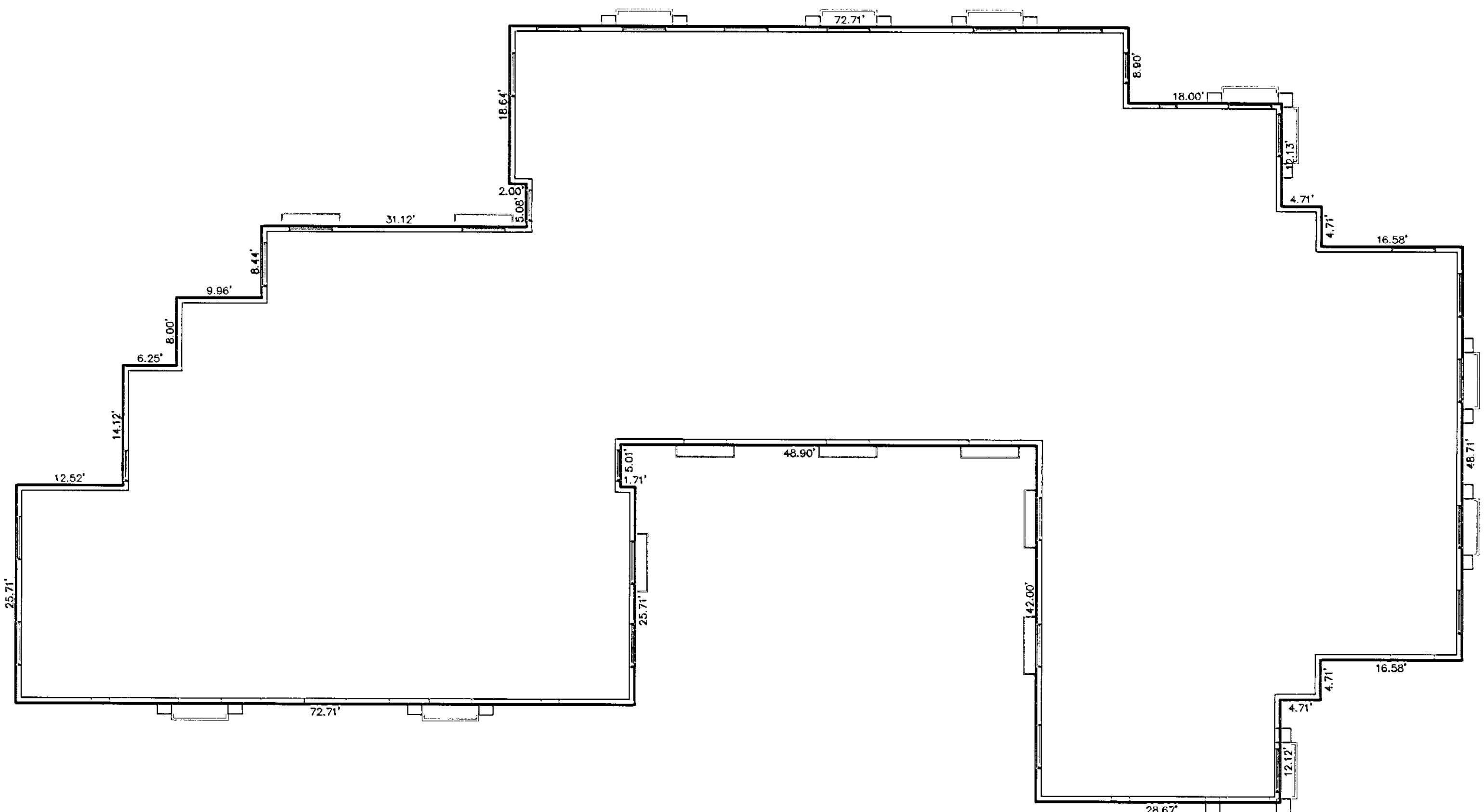
AES CONSULTANTS, INC.
P.O. BOX 930 · SILVERDALE, WA 98383 · (360)692-6400

Drawn By:	R.L.J.
Date:	3/28/06
Checked By:	S.E.O.
Job No.	3930

200604200002 V7 P130

ISLAND COMMONS

A condominium situate in
SW.1/4 SW.1/4 SEC. 23, TWP. 25N., RG. 2E., W.M.
City of Bainbridge Island, Washington



LEGEND

CE	COMMON ELEMENT
HLCE	UNIT H LIMITED COMMON ELEMENT

4TH. FLOOR

UNIT-H
FINISH FLOOR ELEV.=201.58
9,344 SQ.FT. (TOTAL 4TH. FLOOR)

NORTH: per R.O.S. Vol. 56 Pg. 164

GRAPHIC SCALE

10 0 5 10 20 40

(IN FEET)
1 inch = 10 ft.

STEVEN E. OTTMAR
STATE OF WASHINGTON
20795
REGISTERED
PROFESSIONAL LAND SURVEYOR
EXPIRES 11/10/06

4-12-2006

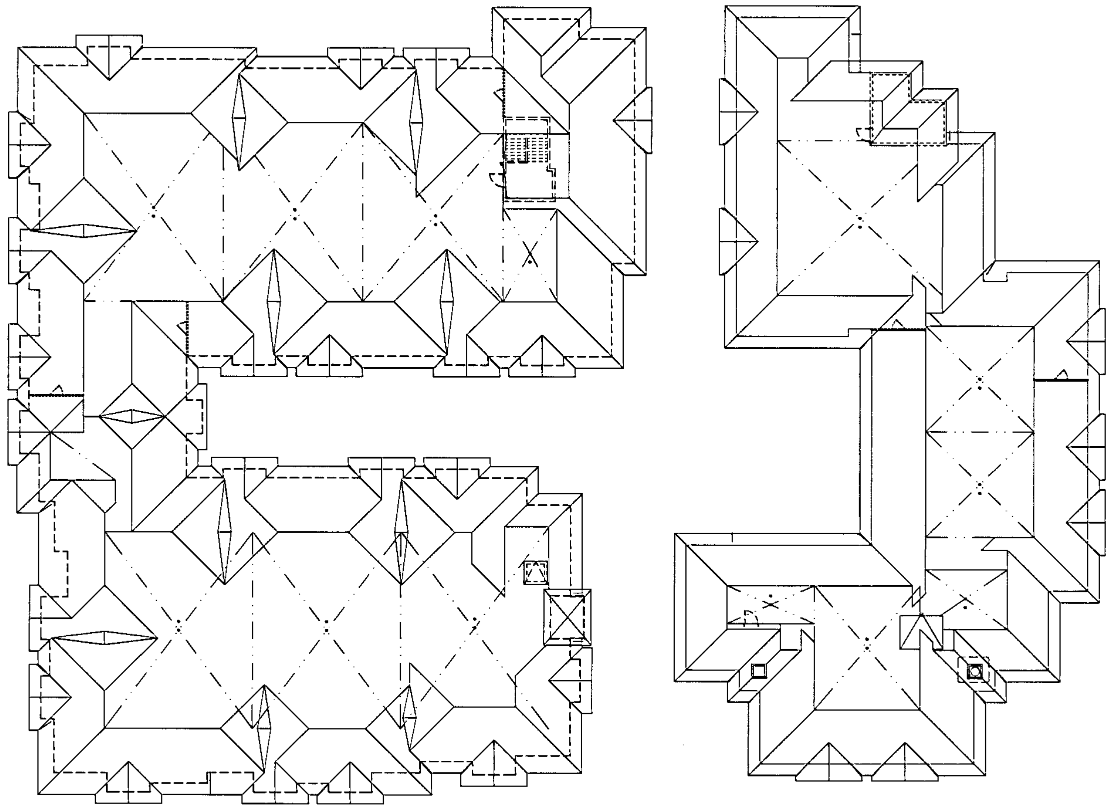
AES
CONSULTANTS, INC.
P.O. BOX 930 · SILVERDALE, WA 98383 · (360)692-6400

Drawn By:	R.L.J.
Date:	3/28/06
Checked By:	S.E.O.
Job No.	3930

200604200002 V7 P131

ISLAND COMMONS

A condominium situate in
SW.1/4 SW.1/4 SEC. 23, TWP. 25N., RG. 2E., W.M.
City of Bainbridge Island, Washington



ROOF
UNIT–M

ROOF
UNIT–H

NORTH: per R.O.S. Vol. 56 Pg. 164

GRAPHIC SCALE
10 0 5 10 20 40
(IN FEET)
1 inch = 10 ft.

STEVEN E. OTTMAR, STATE OF WASHINGTON, 20795, REGISTERED PROFESSIONAL LAND SURVEYOR, EXPIRES 11/10/06
4-6-2006

AES CONSULTANTS, INC.
P.O. BOX 930 · SILVERDALE, WA 98383 · (360)692-6400

Drawn By:	R.L.J.
Date:	3/28/06
Checked By:	S.E.O.
Job No.	3930

Sheet 18 of 18

200604200002 V7 P132

Foster Pepper & Shefelman PLLC
Attention: Gary N. Ackerman
1111 Third Avenue, Suite 3400
Seattle, Washington 98101-3299

200604200017
Page: 1 of 58
04/20/2006 09:17A
PACIFIC NW TITLE DECL $89.00 Kitsap Co, WA

CONDOMINIUM DECLARATION FOR ISLAND CROSSINGS, A CONDOMINIUM

Grantor/Declarant: BAINBRIDGE ISLAND COMMONS, LLC, a Washington limited liability company
Additional names on pg. N/A

Grantee: CONDOMINIUM DECLARATION FOR ISLAND CROSSINGS, A CONDOMINIUM
Additional names on pg. N/A

Abbreviated Legal Description: SW ¼, SW ¼, SEC. 23, TWP. 25 N., RGE. 2 E, W.M., CITY OF BAINBRIDGE ISLAND, WASHINGTON
Official legal description on Schedule A

Assessor's Tax Parcel ID#: 232502-3-022-2006

Reference # (if applicable): N/A
Additional numbers on pg. N/A

Article 1. DEFINITIONS.

Section 1.1 Words Defined. For the purposes of this Declaration and any amendments hereto, the following definitions shall apply.

Allocated Interests means the allocation of Common Expense Liability, Interest in Common Elements and voting for each of the Units in the Condominium determined in accordance with the formula set forth in Section 5.4 and as listed in Schedule B.

Articles means the Articles of Incorporation for the Association.

Assessments means all sums chargeable by the Association against a Unit, including, without limitation: (a) general and special Assessments for Common Expenses and Specially Allocated Expenses; (b) charges and fines imposed by the Association; (c) interest and late charges on any delinquent account; and (d) costs of collection, including reasonable attorney's fees, incurred by the Association in connection with the collection of a delinquent Owner's account.

Association means the owners association identified in Article 12.

Board means the board of directors of the Association, as described in Article 14.

Bylaws means the bylaws of the Association as they may from time to time be amended.

City means the City of Bainbridge Island, Washington.

Commercial Unit means any Unit so designated in Schedule B.

Common Elements means all portions of the Condominium other than the Units.

Common Expenses means expenditures made by or financial liabilities of the Association related to the Common Elements and the general operation of the Association which are allocated to all Units in accordance with Common Expense Liability pursuant to this Declaration, including allocations to reserves, assessments owing to the owners association for Island Commons, and the following utility service to the Units: garbage removal.

Common Expense Liability means the liability for Common Expenses allocated to each Unit, as set forth in Schedule B.

Condominium means Island Crossings, a condominium, created under this Declaration and the Survey Map and Plans.

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Page: 2 of 58
04/20/2006 09:17A
PACIFIC NW TITLE DECL $89.00 Kitsap Co, WA

Condominium Act means the Washington Condominium Act, codified at RCW 64.34, as it may be from time to time amended.

Conveyance means any transfer of the ownership of a Unit, including a transfer by deed or by real estate contract.

Declarant means Bainbridge Island Commons, LLC, a Washington limited liability company, and its representatives, successors, and assigns.

Declarant Control means the right of the Declarant or persons designated by the Declarant to appoint and remove officers and members of the Board pursuant to Article 13.

Declaration means this Condominium Declaration for Island Crossings, a condominium, as it may from time to time be amended.

Development Right means any right reserved by the Declarant in Section 10.1.

Eligible Mortgagee means the Mortgagee that has filed with the secretary of the Association a written request that it be given copies of notices of any action by the Association that requires the consent of Mortgagees.

FHLMC means the Federal Home Loan Mortgage Corporation.

FNMA means the Federal National Mortgage Association.

Foreclosure means a forfeiture or judicial or nonjudicial foreclosure of a Mortgage or a deed in lieu thereof.

HUD means the Department of Housing and Urban Development.

Identifying Number means the number or letter of the Unit, as listed in Schedule B and shown on the Survey Map and Plans.

Island Commons means the condominium by that name created by the Island Crossings Declaration.

Island Commons Declaration means the Condominium Declaration for Island Commons recorded under Kitsap County Recording No. 200604200001.

Limited Common Element means a portion of the Common Elements allocated in Article 7 for the exclusive use of one or more but fewer than all of the Units.

Managing Agent means the person designated by the Board under Section 14.3.

Mixed-Use Unit means the condominium unit so designated in Island Commons.

Mortgage means a mortgage, deed of trust or real estate contract.

Mortgagee means any holder, insurer or guarantor of a Mortgage on a Unit.

Notice and Opportunity to be Heard means the procedure described in Section 14.5.

Owner or Unit Owner means the Declarant or other person who owns a Unit, but does not include any person who has an interest in a Unit solely as security for an obligation.

Person means a natural person, corporation, partnership, limited partnership, limited liability company, trust, governmental subdivision or agency, or other legal entity.

Residential Unit means any Unit so designated in Schedule B.

Special Declarant Rights means rights reserved for the benefit of the Declarant as specified in Section 10.2.

Specially Allocated Expenses means certain expenditures or liabilities of the Association which are specially allocated among Units pursuant to Section 15.6; including the following utility service to the Units: water and sewer.

Survey Map and Plans means the survey map and plans filed simultaneously with the recording of this Declaration and any amendments, corrections, and addenda thereto subsequently filed.

Transition Date means the date upon which the period of Declarant Control terminates as determined in Article 13.

Unit means a physical portion of the Condominium designated for separate ownership, the boundaries of which are described in Section 5.2 and shown on the Survey Map and Plans.

VA means the Veterans Administration.

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Section 1.2 Form of Words. The singular form of words shall include the plural and the plural shall include the singular. Masculine, feminine, and gender-neutral pronouns shall be used interchangeably.

Section 1.3 Statutory Definitions. Some of the terms defined above are also defined in the Condominium Act. The definitions in this Declaration are not intended to limit or contradict the definitions in the Condominium Act. If there is any inconsistency or conflict, the definition in the Condominium Act will prevail.

Article 2. CONSTRUCTION AND VALIDITY OF DECLARATION.

The Declaration and the Condominium Act provide the framework by which the Condominium is created and operated. In the event of a conflict between the provisions of this Declaration and the Condominium Act, the Condominium Act shall prevail. In the event of a conflict between the provisions of this Declaration and the Bylaws, the Declaration shall prevail except to the extent the Declaration is inconsistent with the Condominium Act. The creation of the Condominium shall not be impaired and title to a Unit and its interest in the Common Elements shall not be rendered unmarketable or otherwise affected by reason of an insignificant failure of this Declaration or the Survey Map and Plans or any amendment thereto to comply with the Condominium Act.

Article 3. NAME OF CONDOMINIUM.

The name of the Condominium created by this Declaration and the Survey Map and Plans is Island Crossings, a condominium.

Article 4. DESCRIPTION OF REAL PROPERTY.

The real property included in the Condominium and subjected to the Condominium Act is described in Schedule A.

Article 5. DESCRIPTION OF UNITS; ALLOCATED INTERESTS.

Section 5.1 Number and Identification of Units. The Condominium has 60 Residential Units, and three Commercial Units. The Identifying Number of each Unit is set forth in Schedule B and shown on the Survey Map and Plans.

Section 5.2 Unit Boundaries. The boundaries of the Units are the perimeter walls, floors, and ceilings of the Units, including within the Unit all wallboard, plasterboard, plaster, paneling, tiles, wallpaper, paint, finished flooring, and any other materials constituting any part of the finished surfaces thereof; provided, that the Unit shall not include those Common Elements specified in Section 6.1. With respect to the Residential Units, the boundary for the perimeter walls is the plane formed by the interior surface of the perimeter stud walls. With respect to the Commercial Units, the boundary for the perimeter walls is the unfinished surface of the perimeter walls. All spaces, interior partitions, fixtures, betterments and improvements within the boundaries of each Residential Unit which were installed by the Declarant or by an Owner and intended to be a permanent part of the Unit, other than Common Elements described in Section 6.1, are a part of the Unit.

Section 5.3 Unit Data. Schedule B sets forth the following data for each Unit:

a. The approximate area;
b. The number of bathrooms, whole or partial;
c. The number of rooms designated primarily as bedrooms;
d. Whether the Unit has a fireplace;
e. The level upon which the Unit is located;
f. Any parking spaces allocated to the Unit; and
g. The Allocated Interests of the Unit.

The location of each Unit is shown in the Survey Map and Plans.

Section 5.4 Allocated Interests. Schedule B sets forth the Allocated Interests of each of the Units in the Condominium, for purposes of Common Expense Liability, interest in the Common Elements and voting. The formula for making the allocations is relative Unit area.

Article 6. COMMON ELEMENTS.

Section 6.1 Description. The Common Elements are all portions of the Condominium other than the Units, including all portions of the walls, floors, or ceilings which are not a part of or within the Unit boundaries provided in Section 5.2. The Common Elements also include any chute, flue, duct, wire, conduit, bearing wall, bearing column, or any other fixture which lies partially within and partially outside the designated boundaries of a Unit which serves more than one Unit or any portion of a Common Element.

Section 6.2 Use. Each Owner shall have the right to use the Common Elements in common with all other Owners and a right of access from the Owner's Unit across the Common Elements to the public streets. The right to use the Common Elements extends not only to each Owner, but also to his agents, servants, tenants, family members, invitees, and licensees. The right to use the Common Elements shall be governed by the provisions of the Condominium Act, this Declaration, the Bylaws, and the rules and regulations of the Association.

Article 7. LIMITED COMMON ELEMENTS.

Section 7.1 Description. The Limited Common Elements allocated to each Unit or to certain Units are (a) the deck or patio, if any, adjacent to and accessible from the Unit and (b) any parking space allocated to the Unit pursuant to Section 8.1. In addition, the residential lobby, elevator, trash chute, corridors and stairs to the Residential Units and any other areas labeled Residential Limited Common Element on the Survey Map and Plans are allocated jointly to the Owners of the Residential Units.

Section 7.2 Use. Each Owner shall have the exclusive right to use the Limited Common Elements allocated or assigned solely to the Owner's Unit. Each Owner of a Residential Unit shall have the right to use the Residential Limited Common Elements in common with all other Owners of Residential Units. The right to use the Limited Common Elements extends not only to each Owner of a Unit, but also to the Owner's agents, servants, tenants, family members, guests, customers, clients, invitees, and licensees. The Board may adopt rules and regulations governing the use of the Limited Common Elements which are not inconsistent with this Declaration.

Section 7.3 Reallocation. A Limited Common Element may be reallocated between Units only with the written approval of the Board and by an amendment to this Declaration executed by the Owners of the Units to which the Limited Common Element was and will be allocated. The Board shall approve the request of the Owner or Owners under this Section within 30 days, or within such other period provided by this Declaration, unless the proposed reallocation does not comply with the Condominium Act or this Declaration. The failure of the Board to act upon a request within such period shall be deemed the disapproval thereof. The amendment shall be recorded in the names of the parties and of the Condominium. A Common Element may be reallocated as a Limited Common Element or a Limited Common Element may be incorporated into an existing Unit with the approval of 67 percent of the Owners, including the Owner of the Unit to which the Limited Common Element will be allocated or incorporated. Such reallocation or incorporation shall be reflected in an amendment to this Declaration and the Survey Map and Plans.

Article 8. PARKING.

Section 8.1 Allocation to Units. There are 96 covered parking spaces in the portion of the garage allocated to the Condominium under the Island Commons Declaration. They are identified by number in the Survey Map and Plans. Each of the 60 Residential Units shall be allocated at least one parking space as a Limited Common Element. Of the remaining 36 parking spaces, the Declarant shall designate 14 parking spaces (the "Shared Parking Spaces") to be shared between the Commercial Units and the Residential Units as follows:

8.1.1 The Commercial Units shall have the exclusive right to use five of the Shared Parking Spaces, as allocated by the Declarant (the "Commercial Parking Spaces"), during normal business hours, i.e. between the hours of 8 a.m. and 6 p.m. Monday through Saturday or as otherwise established by the Declarant by amendment to this Section ("Business Hours");

8.1.2 The guests of Residential Unit Owners and the customers, clients or business invitees of the businesses conducted within the Commercial Units shall have the right to use (a) the Shared Parking Spaces, other than the Commercial Parking Spaces, at all times and (b) the Commercial Parking Spaces at all times other than Business Hours on a first come, first served basis, subject to rules and regulations of the Association adopted with the consent of the Owners of all Commercial Units;

8.1.3 Unless otherwise established by the Declarant by amendment to this Section or in Schedule B prior to conveyance of a Commercial Unit or by agreement of the Owners of all Commercial Units thereafter, use of the Commercial Parking Spaces during Business Hours by customers, clients or business invitees of the Commercial Units shall be one a first-come first-served basis;

8.1.4 Use of the Shared Parking Spaces by residents and overnight parking may be prohibited or limited by rules or regulations adopted by the Board.

The Declarant reserves the right to allocate the remaining 22 parking spaces to individual Residential Units as Limited Common Elements. The Declarant shall make the allocations permitted in this Section in Schedule B or by amendment to Schedule B signed only by the Declarant. The Declarant's right to allocate unallocated parking spaces or change Business Hours shall terminate on the earlier of (a) two years after it has conveyed all Units or (b) five years after recording this Declaration, at which time any unallocated parking spaces shall become a Shared Parking Space.

Section 8.2 Rental of Parking Spaces. An Owner may rent a parking space allocated to the Owner's Unit as a Limited Common Element to the occupant of another Unit in the Condominium, but such rental shall be terminated automatically and without notice upon the transfer of title of the Unit to which it is a Limited Common Element.

Section 8.3 Use of Parking Spaces and Garage. The parking spaces are to be used for the parking of currently licensed and operable passenger motor vehicles and may be used for parking trailers or recreational vehicles, or for other purposes only to the extent expressly allowed by rules and regulations adopted by the Board. Working on vehicles in the garage is prohibited. Until all Units have been sold, the Declarant shall have the right to control the use of any unassigned parking spaces, including the use of unassigned covered parking spaces for sales or marketing purposes. The Board may direct that any vehicle or other thing improperly parked or kept in a parking space be removed at the risk and cost of the owner thereof. Subject to Board approval, Owners may install and thereafter maintain, at their sole cost, a storage locker above their respective Limited Common Element parking spaces.

Article 9. PERMITTED USES; MAINTENANCE; CONVEYANCES.

Section 9.1 Residential Units; Timesharing Prohibited. The Residential Units are intended for and restricted to residential use, on an ownership, rental, or lease basis, and for social, recreational, or other reasonable activities normally incident to such use, including use as a home office that does not involve use by nonresident employees or regular visits by customers or clients, except as provided for Units owned by the Declarant in Article 10. Timesharing of Units, as defined in RCW 64.34, is prohibited.

Section 9.2 Commercial Units. The Commercial Units are intended for and restricted to use as retail sales, office and/or commercial uses, including use as a restaurant, as permitted under applicable City ordinances, except as provided below:

9.2.1 The Commercial Units shall not be used for conducting: food processing (except as used in conjunction with other permitted uses); manufacturing activities; medical laboratory; wholesale or retail sales of pornographic literature, photographs or movies; card room; dance hall, pool hall; video arcade or other similar form of amusement center; musical school or studio; adult motion picture theater; laundry; dry-cleaning, dyeing or rug cleaning plant; jail; hotel, apartment hotel and motel; taxidermy shop; retail pet shop or animal clinic; work release center; drug rehabilitation center or social service agency.

9.2.2 The delivery or shipment of merchandise, supplies, and fixtures to and from the Commercial Units shall be accomplished in a manner that shall not unreasonably interfere with the quiet enjoyment or the security of the Residential Units; provided, however, it is understood there may be deliveries to the Commercial Units outside of normal business hours.

9.2.3 The Owner of a Commercial Unit shall not allow or permit any continuing vibration ("Vibration") or any offensive or obnoxious and continuing noise ("Noise") or any offensive or obnoxious and continuing odor ("Odor") to emanate from the Unit into the Residential Units, nor shall the Owner allow or permit any machine or other installation therein to constitute a nuisance or otherwise to unreasonably interfere with the safety or comfort of any of the Owners of other Units. Upon the failure of the Owner of the Commercial Unit to remedy Vibration, Noise or Odor after Notice and Opportunity to be Heard, the Board may at its option either: (1) cure such condition at the Owner's cost and expense; or (2) pursue any other available legal or equitable remedy. Upon the failure of the Owner to remedy Odor after Notice and Opportunity to be Heard, the Board may at its option either: (1) attempt to resolve the matter by agreement with the Owner; or (2) submit the matter to arbitration by a panel of three independent arbitrators, in which case one arbitrator shall be chosen by the Board, the second arbitrator shall be chosen by the Owner, and the third arbitrator shall be chosen by the other two arbitrators. Construction, remodeling and maintenance of the Commercial Unit and activities reasonably necessary to accomplish the same shall not be deemed to be Vibration, Noise or Odor within the meaning of this subsection. Conditions in existence at the time of purchase of any Residential Unit shall not be deemed to be Vibration, Noise or Odor within the meaning of this subsection.

9.2.4 The Owner of a Commercial Unit shall not use nor occupy the Unit nor do or permit anything to be done thereon in any manner which shall make it impossible for the Association to carry any insurance required or reasonably deemed to be necessary, or which will invalidate or unreasonably increase the cost thereof or which will cause structural injury to the building, or which would constitute a public or private nuisance or which will violate any laws, regulations, ordinances or requirements of the federal, state or local governments or of any other governmental authorities having jurisdictions over the property.

9.2.5 The Owner of a Commercial Unit shall bear the expenses relating to any changes in electrical, gas, water or other utility services necessitated by the use of the Unit.

9.2.6 The Commercial Units shall comply with all applicable ordinances.

9.2.7 Owners of Commercial Units shall have the right to use the portion of the Common Element courtyard directly adjacent to the Owner's Unit for outdoor seating (tables, chairs and planters), sidewalk sales or similar uses relating to the business being conducted within the Unit; provided that (i) a minimum seven foot corridor for access to the building is maintained, (ii) the specifications for the outdoor furniture and planters shall be subject to prior Board approval and (iii) the use of the area shall be subject to such reasonable requirements or regulations as the Board may establish to ensure that the use of the area is attractive, complementary to the building, clean and quiet and does not impede access to building by residents of the Condominium. The Owner of the Unit shall pay all costs associated such use, shall keep the area in a neat, clean and orderly condition and shall indemnify and hold the Association and the other Unit Owners harmless from liability or damage that may result therefrom.

Section 9.3 Leases of Units. No lease or rental of a Residential Unit may be for less for than the entire Unit. The Owner of a Commercial Unit may lease all or any portion of the Commercial Unit for any lawful purpose not prohibited by Section 9.2. Rental or lease of Residential Units for less than 30 days is prohibited. All leases or rental agreements for Units shall provide that their terms shall be subject in all respects to the provisions of this Declaration and the Bylaws and rules and regulations of the Association and that any failure by the tenant to comply with the terms of such documents, rules, and regulations shall be a default under the lease or rental agreement. If any lease or rental agreement under this Section does not contain the foregoing provisions, such provisions shall nevertheless be deemed to be part of the lease and binding upon the Owner and the tenant by reason of their being stated in this Declaration. The Board may adopt a rule that requires any Owner desiring to rent a Residential Unit to have any prospective tenant (other than a relative of the Owner) screened, at the Owner's cost, by a tenant screening service designated or approved by the Board and to furnish the report of the tenant screening service to the Board or its designee prior to Owner's entering into a lease with the prospective tenant. All leases and rental agreements shall be in writing. Owners of Residential Units shall deliver to the Association copies of all leases and rental agreements for their Units before the tenancy commences. If any lessee or occupant of a Residential Unit violates or permits the violation by his guests and invitees of any provisions hereof or of the Bylaws or of the rules and regulations of the Association, and the Board determines that such violations have been repeated and that a prior notice to cease has been given, the Board may give notice to the lessee or occupant of the Unit and the Owner thereof to forthwith cease such violations; and if the violation is thereafter repeated, the Board shall have the authority, on behalf and at the expense of the Owner, to evict the tenant or occupant if the Owner fails to do so after Notice from the Board and an Opportunity to be Heard. The Board shall have no liability to an Owner or tenant for any eviction made in good faith. The Association shall have a lien against the Owner's Unit for any costs incurred by it in connection with such eviction, including reasonable attorneys' fees, which may be collected and foreclosed by the Association in the same manner as Assessments are collected and foreclosed under Article 16. Other than as stated in this Section, there is no restriction on the right of any Owner to lease or otherwise rent his Unit.

Section 9.4 Maintenance of Units, Common Elements, and Limited Common Elements; Association Records. Except as provided below, the Association is responsible for maintenance, repair, and replacement of the Common Elements and the Limited Common Elements, and each Owner is responsible for maintenance, repair and replacement of the Owner's Unit. Costs shall be allocated to the Unit Owners pursuant to Section 15.6. Each Owner shall, at the Owner's sole expense, keep the interior of the Owner's Unit and its equipment, appliances, and appurtenances in a clean and sanitary condition, free of rodents and pests, and in good order, condition, and repair and shall do all redecorating and painting at any time necessary to maintain the good appearance and condition of the Unit. Each Owner shall keep the Limited Common Elements allocated to the Owner's Unit in a neat and clean condition in accordance with such rules and regulations as may be adopted by the Association. Each Owner shall replace any broken or damaged glass in the windows, glass doors or exterior doors of the Unit, including replacement of failed thermopane seals in such windows. Each Owner shall be responsible for the maintenance, repair, or replacement of any plumbing fixtures, water heater, air conditioning unit, deck drains, fireplace, fireplace flue, fans, heating or other equipment which serve only that Unit, whether or not located in the Unit. The Association shall be responsible for washing the exterior of the windows of the Residential Units and shall assess the cost against the Owners of the Residential Units in proportion to their Common Expense Liability, as provided in Section 15.6; and the Owners of the Commercial Units shall be responsible for washing the windows of their respective Units. The Owners of the Commercial Units shall be responsible for all costs of installation, maintenance, repair and replacement of signage for the businesses conducted within their respective Units and for repairing any damage to the Common Elements resulting therefrom. The Association may, as a Common Expense, provide for the inspection of any portion of a Unit or Limited Common Element, the failure of which to maintain properly may cause damage to the Common Elements, Limited Common Elements or another Unit or cause unnecessary Common Expenses, including, but not limited to, fireplace and flue, deck drains, bathtubs, sinks, toilets, hot water tank, smoke alarms and plumbing and electrical fixtures. The Association shall provide at least three days' notice to the occupant of the Unit and shall specify in the notice what items are to be inspected and a time for the inspection. If the inspection discloses the need for repair or replacement, the Association may either require the responsible Owner to make the repair or replacement or to make the repair or replacement itself and allocate the cost thereof to the Owner. The Association shall maintain complete records of all inspections, maintenance, repairs and replacements done by it or its agents or contractors with respect to the Common Elements, Limited Common Elements or Units.

Section 9.5 Exterior Appearance. In order to preserve a uniform exterior appearance of the buildings, the Board shall provide for the maintenance, repair, and replacement of the exterior of the buildings. No Owner may modify or decorate the exterior of a building, deck, screens, doors, windows, awnings, or other portions of any Unit visible from outside the Unit without the prior written consent of the Board or in accordance with rules or regulations of the Association. Except as provided in Section 9.6, no solar panels, radio or television antennas, or other appliances may be installed on the exterior of the building without the prior written consent of the Board. The color of all portions of curtains, blinds or draperies visible from outside the Units shall be white or cream. Owners shall not replace the glass or screens in the windows or doors of the Units except with materials of similar color and quality to those originally installed.

Section 9.6 Protected Antennas. Owners may not install antennas, dishes or other receiving devices in or on any portion of the Common Elements or Limited Common Elements, except as provided in this Section. Each Owner shall have the right to install a Protected Antenna (as defined by the provisions of 47 C.F.R. § 1.4000 ("FCC Rule") as it now exists or is hereafter amended or replaced, or any other federal, state or local law, code, rule or regulation that preempts, prohibits or limits restrictions on, or conditions to, the installation, maintenance or repair of telecommunications equipment desired by an Owner) (but no other kind of antenna, dish or receiving device) within a Limited Common Element area allocated to the Owner's Unit, subject to such reasonable rules and regulations as the Board may adopt; provided, however, the Association may prohibit the installation of a Protected Antenna by Owners if the Association provides a reasonable alternative location or central antenna system that complies with the FCC Rule or any other law, ordinance, rule or regulation that permits such prohibition. If the provisions of this Section conflict with any applicable federal, state or local law, ordinance, rule or regulation, the terms of such law, ordinance, rule or regulation shall prevail, but the conditions and limitations set forth in this Section shall be enforced to the maximum extent permitted by law. Notwithstanding the foregoing, the Owner of a Commercial Unit may also install, maintain and replace a satellite antenna on the roof of the building and wiring to the Unit; provided that (a) the antenna is no greater than one meter high and one meter in diameter, is located in an area that minimizes (i) interference with other electrical equipment on the roof or in the building and (ii) aesthetic and/or view impacts to or from the building and (b) the Owner of the Unit shall be responsible for all costs of installation, operation, maintenance, repair and replacement of the satellite antenna and wiring, including any damage to the roof or other portions of the building resulting from such installation, maintenance, repair or replacement. If a Commercial Unit Owner desires to an installation under this Section, the Owner shall submit plans and specifications therefor to the Board for approval. The Board shall promptly (within not more than 30 days) approve the installation unless it determines that the installation, as proposed, would adversely affect the on-going structural integrity of the building or any of its mechanical, electric or other building systems and that the adverse effect has not been adequately addressed in the plans and specifications for the improvements.

Section 9.7 Effect on Insurance. Nothing shall be done or kept in any Unit or in any Common Element or Limited Common Element that will increase the rate of insurance on the property without the prior written consent of the Board. Nothing shall be done or kept in any Unit or in any Common Element or Limited Common Element that will result in the cancellation of insurance on any part of the property, or that would be in violation of any laws.

Section 9.8 Use or Alteration of Common Elements and Limited Common Elements; Commercial Unit Installations. Use of the Common Elements and Limited Common Elements shall be subject to the provisions of this Declaration and the rules and regulations of the Board. Except as provided in this Declaration or in rules and regulations adopted by the Board, nothing shall be altered or constructed in or removed from any Common Element or Limited Common Element without the prior written consent of the Board.

Section 9.9 Signs. No sign of any kind shall be displayed to the public view on or from any Residential Unit, Limited Common Element, Common Element or sidewalk adjacent to the Condominium without the prior consent of the Board. The Board may erect, on the Common Elements, a master directory listing Units that are for sale or lease or may regulate the size and location of signs advertising Units for sale or lease. The Owners of the Commercial Units may install, maintain and replace signage for the tenants or other occupants of the Commercial Units in accordance with City code. This Section shall not apply to the Declarant who may post such signs on the property as it deems necessary or appropriate for the sale of Units in the Condominium as long as the Declarant has a Unit for sale.

Section 9.10 Pets. Domesticated animals or birds (herein referred to as "pets") may be kept in Residential Units subject to rules and regulations adopted by the Board; provided that no Owner may keep more than two dogs, two cats or one dog and one cat in a Unit. No pet may weigh more than 30 pounds. The Board may prohibit dangerous breeds of dogs. Pets are not be allowed on any Common Element or Limited Common Element unless they are on a leash or held and are being walked to or from the Unit to a public street or sidewalk. The Board may, after Notice and Opportunity to be Heard, at any time require the removal of any pet which it finds, in its sole discretion, is disturbing other Owners unreasonably, and may exercise this authority for specific pets even though other pets are permitted to remain. The Board's decision to require removal of a pet under this Section shall be final and shall not be subject to judicial review. The owner of any pet in the Condominium shall be responsible for any damage to person or property caused by the pet and shall indemnify and hold the Association and the Board harmless from any and all liability arising from or caused by the pet.

Section 9.11 Quiet Enjoyment. No Owner shall permit anything to be done or kept in the Owner's Unit, Limited Common Elements or Common Elements which would interfere with the right of quiet enjoyment of the other residents of the Condominium. In particular, sound system loudspeakers shall not be rigidly attached to the party wall with another Unit or to the ceilings, walls, shelves or cabinets in a Unit in a manner that will induce vibrations into the structure of the building.

Section 9.12 Trash Removal. Each Owner shall be responsible for removing all trash or garbage from the Unit and depositing it promptly in proper receptacles as designated by the Association in accordance with such rules and regulations as the Board may adopt.

Section 9.13 Offensive Activities Prohibited. No noxious or offensive activity shall be carried on in any Unit, Limited Common Element or Common Element, nor shall anything be done therein that may be or become an annoyance or nuisance to other Owners. Owners shall not permit any condition to exist that will induce, breed or harbor infectious plant diseases or noxious insects or vermin.

Section 9.14 Hazardous Substances. The Owner of each Unit shall not permit any Hazardous Substance to be generated, processed, stored, transported, handled or disposed of on, under, in or through the Owner's Unit or the Property; and each Owner shall indemnify, defend, and hold harmless the other Owner or Owners and the Association from all fines, suits, procedures, claims and actions of any kind arising out of or in any way connected with any spills or discharges of Hazardous Substances or wastes arising from the operation or use of the Unit or the Property by the Owner or the tenants or invitees of the Unit. As used herein, the term "Hazardous Substance" means any hazardous, toxic or dangerous substance, waste or material which is or becomes regulated under any federal, state or local statute, ordinance, rule, regulation or other law now or hereafter in effect pertaining to environmental protection, contamination or cleanup, including without limitation any substance, waste or material which now or hereafter is designated as a "Hazardous Substance" under the Comprehensive Environmental Response, Compensation and Liability Act (42 U.S.C. § 9601 et seq.), or under any local or state rule or regulation. Without limiting the foregoing, Hazardous Substances shall include, but not be limited to, any substance which after being released into the environment and upon exposure, ingestion, inhalation, or assimilation, either directly from the environment or indirectly by ingestion through food chains, will or may reasonably be anticipated to cause death, disease, behavior abnormalities, cancer and/or genetic abnormalities.

Section 9.15 Conveyance by Owners; Notice Required. The right of an Owner to convey a Unit shall not be subject to any right of approval, disapproval, first refusal, or similar restriction by the Association or the Board, or anyone acting on their behalf. An Owner intending to convey a Unit shall deliver a written notice to the Board, at least two weeks before closing, specifying (a) the Unit being sold; (b) the name and address of the purchaser, of the closing agent, and of the title insurance company insuring the purchaser's interest; and (c) the estimated closing date. The Board shall have the right to notify the purchaser, the title insurance company, and the closing agent of the amount of unpaid Assessments and charges outstanding against the Unit, whether or not such information is requested. Promptly upon the conveyance of a Unit, the new Unit Owner shall notify the Association of the date of the conveyance and the Unit Owner's name and address. The Association shall notify each insurance company that has issued an insurance policy under Article 20 of the name and address of the new Owner and request that the new Owner be made a named insured under such policy. At the time of the first conveyance of each Unit, every Mortgage, lien or other encumbrance affecting that Unit and any other Unit or Units or real property, other than the percentage of undivided interest of that Unit in the Common Elements, shall be paid and satisfied of record, or the Unit being conveyed and its undivided interest in the Common Elements shall be released therefrom by partial release duly recorded or the purchaser of that Unit shall receive title insurance from a licensed title insurance company against such Mortgage, lien or other encumbrance.

Article 10. DEVELOPMENT RIGHTS; SPECIAL DECLARANT RIGHTS.

Section 10.1 Development Rights. The Declarant reserves the Development Right allocate parking spaces to Units as Limited Common Elements pursuant to Section 8.1. The Declarant's right to allocate parking spaces to Units as Limited Common Elements (and take the other actions permitted in that section) shall terminate on the earlier of two years after the last conveyance of a Unit or five years after the recording of this Declaration.

Section 10.2 Special Declarant Rights. The Declarant reserves the following Special Declarant Rights so long as the Declarant owns a Unit: (a) to complete improvements to the Condominium; (b) to maintain sales offices, management offices, interior and exterior signs advertising the Condominium, and models in Units which are not occupied and are for sale by the Declarant, in Units owned by the Declarant, and in the Common Elements of the Condominium; (c) to conduct sales events and other activities relating to the marketing of Units in the Common Elements of the Condominium; (d) to maintain model units in Units owned or leased by the Declarant, (e) to use easements through the Common Elements for the purpose of making improvements within the Condominium; and (f) to elect, appoint or remove any officer of the Association or any member of the Board during the period of Declarant Control as provided by Article 13.

Section 10.3 Declarant Inspections and Repairs. The Declarant shall have the right, but not the obligation, to conduct inspections and tests from time to time of all or any parts of the Condominium in order to ascertain the physical condition of the improvements in the Condominium and to determine whether maintenance, repairs or replacements of any such improvements are indicated. The Declarant shall pay all costs of such inspections and tests made pursuant to this Section, shall have the right to make such repairs at it deems appropriate, shall restore the affected portion of the property to its condition immediately prior thereto, and shall indemnify the Association and Owners of any affected Units from any damage resulting therefrom. The Declarant shall have such rights of entry on, over, under, across and through the property as may be reasonably necessary to exercise the rights described in this Section. The Declarant shall provide reasonable advance notice to the Association of the inspections and repairs, shall permit representative of the Association to be present during the inspections and repairs and shall provide the Association copies of the inspection reports.

Section 10.4 Transfer. The rights described in this Article shall not be transferred except by instrument evidencing the transfer executed by the Declarant or the Declarant's successor and the transferee and recorded in the county in which the Condominium is located.

The rights and liabilities of the parties involved in such a transfer and of all persons who succeed to any Special Declarant Right are set out in RCW 64.34.316.

Article 11. ENTRY FOR REPAIRS OR MAINTENANCE.

The Association and its agents or employees may enter any Unit and the Limited Common Elements allocated thereto to effect repairs, improvements, replacements, maintenance or sanitation work deemed by the Board to be necessary in the performance of its duties, to do necessary work that the Owner has failed to perform, or to prevent damage to the Common Elements, the Limited Common Elements or to another Unit. Except in cases of great emergency that preclude advance notice, the Board shall cause the Unit occupant to be given Notice and an Opportunity to be Heard at least three days in advance of entry. Such entry shall be made with as little inconvenience to the Owners and occupants as practicable. The Board may levy a special Assessment against the Owner of the Unit for all or part of the cost of work that the Owner has failed to perform which may be collected and foreclosed by the Association in the same manner as Assessments are collected and foreclosed under Article 16. The Board may require Owners and tenants to furnish duplicate keys to their Units to the Board or the Board's designated agent.

Article 12. OWNERS ASSOCIATION.

Section 12.1 Form of Association. The Owners of Units shall constitute an owners association to be known as Island Crossings Owners Association. The Association shall be organized as a nonprofit corporation, no later than the date the first Unit in the Condominium is conveyed. It will be governed by the Board the number of members of which shall be specified in the Bylaws. The rights and duties of the Board and of the Association shall be governed by the provisions of the Condominium Act, this Declaration and the Bylaws.

Section 12.2 Bylaws. The Board will adopt Bylaws to supplement this Declaration and to provide for the administration of the Association and the property and for other purposes not inconsistent with the Condominium Act or this Declaration. The Bylaws shall specify, among other things, that the Owners of the Commercial Units shall have the right to elect at least one person to the Board at all times.

Section 12.3 Qualification and Transfer. Each Owner of a Unit (including the Declarant) shall be a member of the Association and shall be entitled to one membership for each Unit owned, which membership shall be considered appurtenant to that member's Unit. Ownership of a Unit shall be the sole qualification for membership in the Association. A membership shall not be transferred in any way except upon the transfer of title to the Unit and then only to the transferee of title to the Unit; provided, that if a Unit has been sold on contract, the contract purchaser shall exercise the rights of the Owner for purposes of the Association, this Declaration, and the Bylaws, except as hereinafter limited, and shall be the voting representative unless otherwise specified. Any attempt to make a prohibited transfer shall be void. Any transfer of title to a Unit shall operate automatically to transfer the membership in the Association to the new Owner.

Section 12.4 Powers of the Association. In addition to those actions authorized elsewhere in this Declaration, the Association shall have the power to:

12.4.1 Adopt and amend the Bylaws and the rules and regulations;

12.4.2 Adopt and amend budgets for revenues, expenditures, and reserves, and impose and collect Assessments for Common Expenses and Specially Allocated Expenses from Owners;

12.4.3 Hire and discharge or contract with Managing Agents and other employees, agents, and independent contractors;

12.4.4 Institute, defend, or intervene in litigation or administrative proceedings in its own name on behalf of itself or two or more Unit Owners on matters affecting the Condominium; provided, however, that the approval of Owners holding at least 67% of the votes in the Association shall be required before the Association may institute, commence or intervene in any litigation or administrative proceeding, including arbitration, other than litigation or other proceedings against Owners for collection of delinquent Assessments or for enforcement of this Declaration or rules and regulations of the Association; but Owner approval shall not be required for settlement of such litigation or administrative proceedings;

12.4.5 Make contracts and incur liabilities;

12.4.6 Regulate the use, maintenance, repair, replacement, and modification of Common Elements and Limited Common Elements;

12.4.7 Cause additional improvements to be made as a part of the Common Elements and Limited Common Elements;

12.4.8 Acquire, hold, encumber, convey, and dispose of, in the Association's name, right, title, or interest to real or tangible and intangible personal property, and arrange for and supervise any addition or improvement to the Condominium; provided that (a) if the estimated cost of any separate property acquisition or addition or improvement to the Condominium exceeds $10,000, the approval of the Owners holding a majority of the votes in the Association shall be required; and (b) the beneficial interest in any property acquired by the Association pursuant to this Subsection shall be owned by the Owners in the same proportion as their respective interests in the Common Elements and shall thereafter be held, sold, leased, mortgaged or otherwise dealt with as the Board shall determine.

12.4.9 Act as the owner of the Mixed-Use Unit for all purposes under the Island Commons Declaration, including, but not limited to, providing for the operation, maintenance, repair and replacement of those portions of Island Commons that are the responsibility of the owner of the Mixed-Use Unit, payment of assessments to the owners association for Island Commons, election of a board member and taking any other action required of or permitted to the owner of the Mixed-Use Unit by the Island Commons Declaration or the articles or bylaws for the owners association for Island Commons;

12.4.10 Grant easements, leases, licenses, and concessions through or over the Common Elements and petition for or consent to the vacation of streets and alleys;

12.4.11 Impose and collect any payments, fees, or charges for the use, rental, or operation of the Common Elements and for services provided to Owners;

12.4.12 Impose and collect reasonable fees relating to conveyance or change in occupancy of the Units, such as move-in/move-out fees and transfer fees;

12.4.13 Acquire and pay for all goods and services reasonably necessary or convenient for the efficient and orderly functioning of the Condominium;

12.4.14 Impose and collect charges for late payment of Assessments as further provided in Article 16 and, after Notice and an Opportunity to be Heard by the Board or by such representative designated by the Board and in accordance with such procedures as provided in this Declaration, the Bylaws, or rules and regulations adopted by the Board, levy reasonable fines in accordance with a previously established schedule thereof adopted by the Board and furnished to the Owners for violations of this Declaration, the Bylaws, and rules and regulations of the Association;

12.4.15 Impose and collect reasonable charges for the preparation and recording of amendments to this Declaration, resale certificates required by RCW 64.34.425 and statements of unpaid Assessments;

12.4.16 Provide for the indemnification of its officers and Board and maintain directors' and officers' liability insurance;

12.4.17 Assign its right to future income, including the right to receive Assessments;

12.4.18 Provide or pay, as a Common Expense, the following utility service to the Units: garbage removal;

12.4.19 Provide or pay, as a Specially Allocated Expense, pursuant to Section 15.6, the following utility services to the Units: water and sewer;

12.4.20 Exercise any other powers conferred by this Declaration or the Bylaws;

12.4.21 Exercise all other powers that may be exercised in this state by the same type of corporation as the Association; and

12.4.22 Exercise any other powers necessary and proper for the governance and operation of the Association.

Section 12.5 Association Annual Inspections. At least annually, the Association shall have the Condominium inspected by a qualified engineer or architect (the "Inspector") in order to ascertain the physical condition of the improvements in the Condominium and to determine whether maintenance, repairs or replacements of any such improvements are indicated. The inspection shall cover, at a minimum, the building envelope, including the roof, balconies, patio, windows and doors, elevator, plumbing lines, storm and sanitary sewer lines and other building systems. Promptly after completion of the inspection, the Inspector shall prepare a written report of the inspection to the Board (the "Annual Inspection Report"). Until December 31, 2011, the Board shall promptly send a copy of each Annual Inspection Report to the Declarant at the following address:

Bainbridge Island Commons, LLC
411 108th Avenue, Suite 1970
Bellevue, Washington 98004

or to such other address as the Declarant may by notice to the Association designate. If the Board fails to furnish an Annual Inspection Report to the Declarant, as required above, or if the Annual Inspection Report is deemed insufficient by the Declarant, the Declarant shall have the right, upon ten days' notice to the Association, to have the improvements in the Condominium inspected by an inspector selected by Declarant at the cost of the Association; in which event, the Declarant shall furnish a copy of its report to the Board.

Section 12.6 Financial Statements and Records. The Association shall keep financial records in accordance with accrual based accounting principles and in sufficient detail to enable the Association to comply with the resale certificate requirements set forth in RCW 64.34.425. All financial and other records shall be made reasonably available for examination by any Unit Owner and the Owner's authorized agents. At least annually, the

Association shall prepare, or cause to be prepared, a financial statement of the Association in accordance with accrual based or generally accepted accounting principles. The annual financial statement shall be audited at least annually by a certified public accountant who is not a member of the Board or an Owner and shall be completed within 120 days following the end of the fiscal year. Any Mortgagee shall, upon request, be entitled to receive a copy of the annual financial statement within a reasonable time. The Board, or persons having 35% of the voting power of the Association, may require that an audit of the Association and management books be presented at any special meeting. An Owner, at the Owner's expense, may at any reasonable time conduct an audit of the books of the Board and Association.

Section 12.7 Inspection of Condominium Documents, Books and Records. The Association shall make available to Owners, Mortgagees, prospective purchasers and their prospective Mortgagees, the Declarant and the agents or attorneys of any of them, current copies of this Declaration, the Articles, the Bylaws, the rules and regulations of the Association, and other books, records, and financial statements of the Association. "Available" shall mean available for inspection upon request, during normal business hours or under other reasonable circumstances. The Association may require the requesting party to pay a reasonable charge to cover the cost of making the copies.

Article 13. DECLARANT CONTROL PERIOD.

Section 13.1 Declarant Control Until Transition Date. Until the Transition Date, the Declarant shall have the right to appoint and remove all members of the Board; provided that (1) not later than 60 days after Units to which 25 percent of the votes in the Association are allocated are conveyed to Owners other than the Declarant, at least one member and not less than 25 percent of the members of the Board must be elected by Owners other than the Declarant; and (2) not later than sixty days after Units to which 50 percent of the votes in the Association are allocated are conveyed to Owners other than the Declarant, not less than one-third of the members of the Board must be elected by Owners other than the Declarant.

Section 13.2 Transition Date. Declarant Control of the Association shall terminate on the Transition Date. The Transition Date shall be no later than the earlier of: (a) 60 days after conveyance of 75 percent of the Units to Owners other than the Declarant; (b) three years after the first conveyance of a Unit; (c) two years after last conveyance of a Unit; or (d) the date on which the Declarant records an amendment to this Declaration pursuant to which the Declarant voluntarily surrenders the right to further appoint and remove officers and members of the Board. If the Declarant voluntarily surrenders control pursuant to (d) above, the Declarant may require that for the duration of the period of Declarant Control, specified actions of the Association or the Board, as described in a recorded instrument executed by the Declarant, be approved by the Declarant before they become effective.

Section 13.3 Declarant's Transfer of Association Control. Within 60 days after the Transition Date, the Declarant shall deliver to the Association or to the Managing Agent all property of the Owners and of the Association held or controlled by the Declarant including, but not limited to, the following:

13.3.1 The original or a photocopy of the recorded Declaration and each amendment to this Declaration;

13.3.2 The certificate of incorporation and a copy or duplicate original of the Articles as filed with the secretary of state;

13.3.3 The Bylaws;

13.3.4 The minute books, including all minutes and other books and records of the Association;

13.3.5 Any rules and regulations that have been adopted;

13.3.6 Resignations of officers and members of the Board who are required to resign because the Declarant is required to relinquish control of the Association;

13.3.7 The financial records, including cancelled checks, bank statements, and financial statements of the Association, and source documents from the time of incorporation of the Association through the date of transfer or control to the Owners;

13.3.8 Association funds or the control of the funds of the Association;

13.3.9 All tangible personal property of the Association, represented by the Declarant to be the property of the Association and inventory of the property;

13.3.10 Except for alterations to a Unit done by a Unit Owner other than the Declarant, the copy of the Declarant's plans and specifications utilized in the construction or remodeling of the Condominium, with a certificate of the Declarant or a licensed architect or engineer that the plans and specifications represent, to the best of such Person's knowledge and belief, the actual plans and specifications utilized by the Declarant in the construction or remodeling of the Condominium;

13.3.11 Insurance policies or copies thereof for the Condominium and the Association;

13.3.12 Copies of any certificates of occupancy that may have been issued for the Condominium;

13.3.13 Any other permits issued by governmental bodies applicable to the Condominium in force on the Transition Date;

13.3.14 All original warranties that are still in effect for the Common Elements, or any other areas or facilities which the Association has a responsibility to maintain and repair, from the contractor, subcontractors, suppliers, and manufacturers and all owners manuals or instructions furnished to the Declarant with respect to installed equipment or building systems;

13.3.15 A roster of Unit Owners and Eligible Mortgagees and their addresses and telephone numbers, if known, as shown on the Declarant's records and the date of closing of the first sale of each Unit sold by the Declarant;

13.3.16 Any leases of the Common Elements or Limited Common Elements and other leases to which the Association is a party;

13.3.17 Any employment contracts or service contracts in which the Association is one of the contracting parties or service contracts in which the Association or the Unit Owners have an obligation or a responsibility, directly or indirectly, to pay some or all of the fee or charge of the person performing the services; and

13.3.18 All other contracts to which the Association is a party.

Section 13.4 Audit of Records Upon Transfer. Upon termination of the period of Declarant Control, the records of the Association shall be audited as of the date of transfer by an independent certified public accountant in accordance with generally accepted auditing standards unless the Owners, other than the Declarant, by two-thirds vote, elect to waive the audit. The costs of the audit shall be a Common Expense and shall be completed within 120 days after the Transition Date. A copy of the audit, if done, shall be given to the Declarant immediately upon completion.

Section 13.5 Termination of Contracts and Leases Made By the Declarant. If entered into before the Board elected pursuant to Section 14.1 takes office, (1) any management contract, employment contract, or lease of recreational or parking areas or facilities or (2) any other contract or lease between the Association and the Declarant or an affiliate of the Declarant, as defined by RCW 64.34.020(1), may be terminated without penalty by the Association at any time after the Board elected pursuant to Section 14.1 takes office upon not less than 90 days' notice to the other party or within such less notice period provided for without penalty in the contract or lease. This Section does not apply to any lease, the termination of which would terminate the Condominium or reduce its size, unless the real property subject to that lease was included in the Condominium for the purpose of avoiding the right of the Association to terminate a lease under this Section.

Article 14. THE BOARD.

Section 14.1 Selection of the Board. Prior to the Transition Date, election or appointment of members of the Board shall be governed by Section 13.1. Within 30 days after the Transition Date, the Owners shall elect a Board, a majority of whom must be Unit Owners and at least one of whom shall be elected by the Owners of the Commercial Units. The number of Board members and their terms of services shall be specified in the Bylaws. The Board shall elect officers in accordance with the procedures provided in the Bylaws. The members of the Board and officers shall take office upon election. Removal of Board members, and their terms of service shall be as provided in the Bylaws.

Section 14.2 Powers of the Board. Except as provided in this Declaration, the Bylaws or the Condominium Act, the Board shall at all times act on behalf of the Association. The Board may exercise all powers of the Association, except as otherwise provided in the Condominium Act, Declaration or the Bylaws.

Section 14.3 Managing Agent. The Board shall contract with an experienced professional Managing Agent to assist the Board in the management and operation of the Condominium and may delegate such of its powers and duties to the Managing Agent as it deems to be appropriate, except as limited herein. Termination of professional management and assumption of self-management by the Association shall be subject to the provisions of Section 25.2. Any contract with a Managing Agent shall have a term no longer than one year (but may be renewable by agreement of the parties for successive one-year periods) and shall be terminable by the Board without payment of a termination fee, either (1) for cause, on 30 days' written notice, or (2) without cause, on not more than 90 days' written notice.

Section 14.4 Limitations on Board Authority. The Board shall not act on behalf of the Association to amend this Declaration in any manner that requires the vote or approval of the Unit Owners or Eligible Mortgagees pursuant to Article 25, to terminate the Condominium pursuant to Article 26, or to elect members of the Board or determine the qualifications, powers, and duties, or terms of office of members of the Board. The Board may, in accordance with the Bylaws, fill vacancies in its membership for the unexpired portion of any term; provided that any vacancy in the position elected by the Owners of the Commercial Units shall be elected by the Owners of the Commercial Units at a special meeting or by written consent of the Owners of all Commercial Units.

Section 14.5 Right to Notice and Opportunity to Be Heard. Whenever this Declaration requires that an action of the Board be taken after "Notice and Opportunity to be

Heard," the following procedure shall be observed: The Board shall give written notice of the proposed action to all Owners, tenants or occupants of Units whose interest would be significantly affected by the proposed action. The notice shall include a general statement of the proposed action and the date, time and place of the hearing, which shall be not less than five days from the date notice is delivered by the Board. At the hearing, the affected person shall have the right, personally or by a representative, to give testimony orally, in writing or both (as specified in the notice), subject to reasonable rules of procedure established by the Board to assure a prompt and orderly resolution of the issues. Such evidence shall be considered in making the decision but shall not bind the Board. The affected person shall be notified of the decision in the same manner in which notice of the meeting was given.

Article 15. BUDGET AND ASSESSMENTS.

Section 15.1 Fiscal Year. The Board may adopt such fiscal year for the Association as it deems to be convenient. Unless another year is adopted, the fiscal year will be the calendar year.

Section 15.2 Preparation of Budget. Not less than 30 days before the end of the fiscal year the Board shall prepare a budget for the Association for the coming year. In preparing its budget the Board shall estimate the Common Expenses and Specially Allocated Expenses of the Association to be paid during the year, make suitable provision for accumulation of reserves, including amounts reasonably anticipated to be required for the operation, maintenance, repair, and replacement of the Common Elements and the Limited Common Elements, and shall take into account any surplus or deficit carried over from the preceding year and any expected income to the Association. The Declarant shall prepare the initial budget for the first fiscal year of the Association.

Section 15.3 Ratification of Budget. Within 30 days after adoption of any proposed budget for the Condominium after the Transition Date, the Board shall provide a summary of the budget to all the Owners and shall set a date for a meeting of the Owners to consider ratification of the budget not less than 14 nor more than 60 days after mailing of the summary. Unless at that meeting the Owners to which a majority of the votes in the Association are allocated reject the budget, the budget is ratified, whether or not a quorum is present. In the event the proposed budget is rejected or the required notice is not given, the periodic budget last ratified by the Unit Owners shall be continued until such time as the Unit Owners ratify a subsequent budget proposed by the Board.

Section 15.4 Supplemental Budget. If during the year the budget proves to be inadequate for any reason, including nonpayment of any Owner's Assessments, the Board may prepare a supplemental budget for the remainder of the year. A supplemental budget shall be subject to ratification by the Owners pursuant to Section 15.3.

Section 15.5 Monthly Assessments. The amounts required by the Association for Common Expenses and Specially Allocated Expenses as reflected by the annual budget and any supplemental budgets shall be divided into installments to be paid each month over the period of time covered by the budget or supplemental budget. The monthly Assessment for each Unit is the total of (a) the Common Expense Liability of that Unit times the total monthly installment for Common Expenses for all Units; (b) any Specially Allocated Expenses for the Unit. Monthly Assessments begin accruing for all Units upon the closing of the sale of the first Unit by the Declarant; provided that the Declarant may delay the commencement of Assessments for Common Expenses and pay all actual Common Expenses (but no allocations to reserves). Until commencement of Assessments, the Declarant may allocate utility costs paid by the Association only to those Units which have been conveyed or are occupied.

Section 15.6 Specially Allocated Expenses. The following costs of the Association shall be specially allocated to Units based on usage or benefit:

15.6.1 All costs of maintenance, repair and replacement of the finished surfaces of the Limited Common Element decks shall be specially allocated to the Unit Owner.

15.6.2 All costs of repair or replacement of damaged or broken glass or failed seals in the windows or doors of the Units shall be borne by or specially allocated to the Unit Owner.

15.6.3 All costs of washing exterior windows of the building, except the windows of the Commercial Units, shall be specially allocated to the Residential Units in proportion to their Common Expense Liability. (The Commercial Unit Owners shall be responsible for washing the windows of their Units.)

15.6.4 Any assessments or charges imposed by a governmental authority on the Condominium and paid by the Association, such as business improvement area assessments, shall be specially assessed to the Units on the same basis as the assessments or charges are levied by the governmental authority.

15.6.5 Submeters for water have been installed for the Commercial Units. Water and sewer charges for the Commercial Units shall be specially allocated to those Units based on water usage as determined by the submeters and the balance of water and sewer charges shall be allocated to the Residential Units in proportion to their Common Expense Liability. The Association may require security deposits from any Unit Owner who is paying for utilities based on usage and establish billing and collection procedures for such charges. If an Owner fails to make such payment, the Association may, in addition to pursuing any of the other remedies provided in this Declaration or at law for collection of Assessments, use the Owner's deposit to pay the invoice and, upon ten days' written notice to the Owner and any tenant of the Unit, terminate water service to the Unit if the Owner has not paid the utility charges and restored the Owner's deposit by the time specified in the notice.

15.6.6 The cost of insurance shall be allocated among the Units in accordance with risk, as provided in Section 20.1.

Section 15.7 Contribution to Initial Working Capital; Other Initial Assessments and Deposits. In connection with the closing of the sale of each Unit, the first purchaser thereof shall pay to the Association, as a nonrefundable contribution to an initial working capital fund, an amount equal to two times the initial monthly Assessment (including reserves) against the Unit, which amount shall not be considered as an advance payment of regular Assessments. The Declarant shall not use any of the working capital fund to defray any of its expenses, reserve contributions or construction costs or to make up any budget deficits prior to the Transition Date. On the Transition Date, the Declarant shall make such payments or deposits for any Units remaining unsold on that date and shall be entitled to be reimbursed the amount so paid as each such Unit is conveyed. The Association may require security deposits for utilities paid through the Association and charged based on usage.

Section 15.8 Special Assessments. For those Common Expenses or Specially Allocated Expenses which cannot reasonably be calculated and paid on a monthly basis, the Board may levy special Assessments for such expenses against the Units, subject to ratification by the Owners pursuant to Section 15.3. To the extent that any Common Expense or Specially Allocated Expense is caused by the misconduct of an Owner or tenant of any Unit, the Association may, after Notice and Opportunity to be Heard, levy a special Assessment for the expense against the Unit.

Section 15.9 Creation of Reserves; Assessments. The Board shall create reserve accounts for anticipated expenses for repairs and replacement to the Common Elements and Limited Common Elements which will occur in the future in order to accumulate sufficient funds to pay such expenses when they occur. The operation of reserve accounts and Assessments for reserve accounts shall be further governed by the Bylaws.

Section 15.10 Notice of Assessments. The Board shall notify each Owner in writing of the amount of the monthly general and special Assessments to be paid for the Owner's Unit and shall furnish copies of all budgets and the Common Expense Liability of the Unit on which the general and special Assessments are based. The Board shall furnish the same information to an Owner's Mortgagee if so requested.

Section 15.11 Payment of Monthly Assessments. On or before the first day of each calendar month each Owner shall pay or cause to be paid to the treasurer or designated agent of the Association all Assessments against the Unit for that month. Any Assessment not paid by the tenth day of the calendar month for which it is due shall be delinquent and subject to late charges, interest charges and collection procedures as provided in Article 16.

Section 15.12 Proceeds Belong to Association. All Assessments and other receipts received by the Association on behalf of the Condominium shall belong to the Association.

Section 15.13 Failure to Assess. Any failure by the Board or the Association to make the budgets and Assessments hereunder before the expiration of any year for the ensuing year shall not be deemed a waiver or modification in any respect of the provisions of this Declaration, or a release of the Owners from the obligation to pay Assessments during that or any subsequent year, and the monthly Assessments amounts established for the preceding year shall continue until new Assessments are established.

Section 15.14 Reconciliation of Assessments to Actual Income and Expenses. The Association shall establish and maintain its accounts and records in such a manner that will enable it to credit Assessments for Common Expenses and Specially Allocated Expenses, including allocations to reserves, and income to the Association to the account of the appropriate Units and make its expenditures from the appropriate accounts. In order that the Unit Owners are correctly assessed for the actual expenses of the Association, the accounts of the Association shall be reconciled at least annually, unless the Board determines that a reconciliation would not result in a material savings to any Unit Owner; and any surpluses (or deficits) in the accounts shall be credited to the benefit of or paid to (or charged to the account of or assessed against) the Owners of the Units who paid the surplus (or owe the deficit).

Section 15.15 Certificate of Unpaid Assessments. Upon the request of any Owner or Mortgagee of a Unit, the Board will furnish a certificate stating the amount, if any, of unpaid Assessments charged to the Unit. The certificate shall be conclusive upon the Board and the Association as to the amount of such indebtedness on the date of the certificate in favor of all purchasers and Mortgagees of the Unit who rely on the certificate in good faith. The Board may establish a reasonable fee to be charged to reimburse it for the cost of preparing the certificate.

Section 15.16 Recalculation of Assessments. If Common Expense Liabilities are reallocated, Assessments, special Assessments, and any installment thereof not yet due shall be recalculated in accordance with the reallocated liabilities.

Article 16. LIEN AND COLLECTION OF ASSESSMENTS.

Section 16.1 Assessments Are a Lien; Priority. The Association has a lien on a Unit for any unpaid Assessment levied against a Unit from the time the Assessment is due. A lien under this Article shall be prior to all other liens and encumbrances on a Unit except: (a) liens and encumbrances recorded before the recording of this Declaration; (b) a Mortgage on the Unit recorded before the date on which the Assessment sought to be enforced became delinquent, EXCEPT to the extent of Assessments for Common Expenses excluding any amounts for capital improvements, based on the periodic budgets adopted by the Association pursuant to Article 15 which would have become due during the six months immediately preceding the date of a sheriff's sale in an action for judicial foreclosure by either the Association or a Mortgagee, the date of a trustee's sale in a nonjudicial foreclosure of a Mortgage, or the date of recording of the declaration of forfeiture in a proceeding by the vendor under a real estate contract; PROVIDED that the priority of the Association's lien against Units encumbered by a Mortgage held by an Eligible Mortgagee or by a Mortgagee which has given the Association a written request for a notice of delinquent Assessments shall be reduced by up to three months if and to the extent that such lien priority includes any delinquencies which relate to a period after such Mortgagee becomes an Eligible Mortgagee or has given such notice and before the Association gives such Mortgagee a written notice of the delinquency; and (c) liens for real property taxes and other governmental assessments or charges against the Unit. Recording of this Declaration constitutes record notice and perfection of the lien for Assessments; however, the Association may record a notice of claim of lien for Assessments in the real property records of the county in which the Condominium is located. Such recording shall not constitute the written notice of delinquency to a Mortgagee referred to above.

Section 16.2 Lien May be Foreclosed; Judicial Foreclosure. The lien arising under this Article may be enforced judicially by the Association or its authorized representative in the manner set forth in RCW 61.12, or nonjudicially in the manner set forth in Section 16.3. The Association or its authorized representative shall have the power to purchase the Unit at the foreclosure sale and to acquire, hold, lease, mortgage, or convey the same. Upon an express waiver in the complaint of any right to a deficiency judgment in a judicial foreclosure action, the period of redemption shall be eight months. Nothing in this Section shall prohibit the Association from taking a deed in lieu of foreclosure. Except as provided in the exception to (b) in Section 16.1, the holder of a Mortgage or other purchaser of a Unit who obtains the right of possession of a Unit through foreclosure shall not be liable for any Assessments or installments thereof that became due prior to such right of possession. Such unpaid Assessments shall be deemed to be Common Expenses collectible from all the Owners, including such Mortgagee or other purchaser of the Unit. Foreclosure of a Mortgage does not relieve the prior Owner of personal liability for Assessments accruing against the Unit prior to the date of such sale.

Section 16.3 Nonjudicial Foreclosure. A lien arising under this Article may be foreclosed nonjudicially in the manner set forth in RCW 61.24 for nonjudicial foreclosure deeds of trust. For the purpose of preserving the Association's nonjudicial foreclosure option, this Declaration shall be considered to create a grant of each Unit in trust to Chicago Title

Insurance Company or its successors or assigns ("Trustee"), to secure the obligations of each Unit Owner ("Grantor") to the Association ("Beneficiary") for the payment of Assessments. Grantor shall retain the right to possession of Grantor's Unit so long as Grantor is not in default of an obligation to pay Assessments. The Trustee shall have a power of sale with respect to each Unit, which becomes operative in the case of a default in a Grantor's obligation to pay Assessments. The Units are not used principally for agricultural or farming purposes. If the Association forecloses its lien nonjudicially pursuant to this Section, it shall not be entitled to the lien priority over Mortgages provided in exception (b) of Section 16.1.

Section 16.4 Receiver During Foreclosure. From the time of commencement of an action by the Association to foreclose a lien for nonpayment of delinquent Assessments against a Unit that is not occupied by the Owner thereof, the Association shall be entitled to the appointment of a receiver to collect from the lessee thereof the rent for the Unit as and when due. If the rent is not paid, the receiver may obtain possession of the Unit, refurbish it for rental up to a reasonable standard for rental Units in this type of Condominium, rent the Unit or permit its rental to others, and apply the rents first to the cost of the receivership and attorneys' fees thereof, then to the cost of refurbishing the Unit, then to applicable charges, then to costs, fees, and charges of the foreclosure action, and then to the payment of the delinquent Assessments. Only a receiver may take possession and collect rents under this Section, and a receiver shall not be appointed less than 90 days after the delinquency. The exercise by the Association of the foregoing rights shall not affect the priority of preexisting liens on the Unit.

Section 16.5 Assessments Are Personal Obligation. In addition to constituting a lien on the Unit, all sums assessed by the Association chargeable to any Unit, including all charges provided in this Article, shall be the personal obligation of the Owner of the Unit when the Assessments are made. Suit to recover personal judgment for any delinquent Assessments shall be maintainable without foreclosing or waiving the liens securing them.

Section 16.6 Extinguishment of Lien and Personal Liability. A lien for unpaid Assessments and the personal liability for payment of Assessments is extinguished unless proceedings to enforce the lien or collect the debt are instituted within three years after the amount of the Assessments sought to be recovered becomes due.

Section 16.7 Joint and Several Liability. In addition to constituting a lien on the Unit, each Assessment shall be the joint and several obligation of the Owner or Owners of the Unit to which the same are assessed as of the time the Assessment is due. In a voluntary conveyance, the grantee of a Unit shall be jointly and severally liable with the grantor for all unpaid Assessments against the grantor up to the time of the grantor's conveyance, without prejudice to the grantee's right to recover from the grantor the amounts paid by the grantee therefor. Suit to recover a personal judgment for any delinquent Assessment shall be maintainable in any court of competent jurisdiction without foreclosing or waving the lien securing such sums.

Section 16.8 Late Charges and Interest on Delinquent Assessments. The Association may from time to time establish reasonable late charges and/or a rate of interest to be charged on all subsequent delinquent Assessments or installments thereof. In the absence of another established nonusurious rate, delinquent Assessments shall bear interest from the date of delinquency at the maximum rate permitted under RCW 19.52.020 on the date on which the Assessments became delinquent.

Section 16.9 Recovery of Attorneys' Fees and Costs. The Association shall be entitled to recover any costs and reasonable attorneys' fees incurred in connection with the collection of delinquent Assessments, whether or not such collection activities result in suit being commenced or prosecuted to judgment. In addition, the Association shall be entitled to recover costs and reasonable attorneys' fees if it prevails on appeal and in the enforcement of a judgment.

Section 16.10 Security Deposit. An Owner who has been delinquent in paying his monthly Assessments for three of the five preceding months may be required by the Board, from time to time, to make and maintain a security deposit not in excess of three months' estimated monthly Assessments, which shall be collected and shall be subject to penalties for nonpayment as are other Assessments. The deposit shall be held in a separate fund, credited to such Owner, and may be resorted to at any time when such Owner is ten days or more delinquent in paying Assessments. If used to cover delinquent Assessments, the Owner shall promptly restore the security deposit.

Section 16.11 Remedies Cumulative. The remedies provided herein are cumulative and the Board may pursue them, and any other remedies which may be available under law although not expressed herein, either concurrently or in any order.

Article 17. ENFORCEMENT OF DECLARATION, BYLAWS AND RULES AND REGULATIONS.

Section 17.1 Rights of Action. Each Owner, the Board and the Association shall comply strictly with this Declaration, the Bylaws, and the rules and regulations adopted pursuant thereto, as they may be lawfully amended from time to time, and the decisions of the Board. Failure to comply with any of the foregoing shall be grounds for an action to recover sums due, damages, and for injunctive relief, or any or all of them, maintainable by the Board on behalf of the Association or by an Owner.

Section 17.2 Failure of Board to Insist on Strict Performance No Waiver. The failure of the Board in any instance to insist upon the strict compliance with this Declaration or the Bylaws or rules and regulations of the Association, or to exercise any right contained in such documents, or to serve any notice or to institute any action, shall not be construed as a waiver or a relinquishment for the future of any term, covenant, condition, or restriction. The receipt by the Board of payment of an Assessment from an Owner, with knowledge of a breach by the Owner, shall not be a waiver of the breach. No waiver by the Board of any requirement shall be effective unless expressed in writing and signed for the Board. This Article also extends to the Declarant.

Section 17.3 Board Enforcement. The Board has the authority to enforce this Declaration and the Bylaws and Rules and Regulations of the Condominium by imposing the remedies provided herein. After repeated violations of the Declaration, Bylaws, or Rules and Regulations by an Owner and after an Owner's Right to Notice and Opportunity to be Heard, the Board shall have the authority to file an action for damages and for injunctive relief, including in a proper case, removal of the Owner from the Owner's Unit and the authority to pursue any and all remedies available in law or equity.

Article 18. TORT AND CONTRACT LIABILITY.

Section 18.1 Declarant Liability. Neither the Association nor any Owner except the Declarant is liable for the Declarant's torts in connection with any part of the Condominium which the Declarant has the responsibility to maintain. Otherwise, an action alleging a wrong done by the Association must be brought against the Association and not against any Owner or any officer or director of the Association. If the wrong by the Association occurred during any period of Declarant Control and the Association gives the Declarant reasonable notice of and an opportunity to defend against the action, the Declarant who then controlled the Association is liable to the Association or to any Owner: (1) for all tort losses not covered by insurance suffered by the Association or that Owner; and (2) for all costs which the Association would not have incurred but for a breach of contract or other wrongful act or omission by the Association. If the Declarant does not defend the action and is determined to be liable to the Association under this Section, the Declarant is also liable for all litigation expenses, including reasonable attorneys' fees, incurred by the Association in such defense. Any statute of limitations affecting the Association's right of action under this Section is tolled until the period of Declarant Control terminates. An Owner is not precluded from bringing an action contemplated by this Section because he or she is a Unit Owner or a member or officer of the Association.

Section 18.2 Limitation of Liability for Utility Failure, etc. Except to the extent covered by insurance obtained by the Board, neither the Association, the Board, the Managing Agent, nor the Declarant shall be liable for: the failure of any utility or other service to be obtained and paid for by the Board; or for injury or damage to person or property caused by the elements, or resulting from electricity, water, rain, dust, or sand which may leak or flow from outside or from any parts of the building, or from any of their pipes, drains, conduits, appliances, or equipment, or from any other place; or for inconvenience or discomfort resulting from any action taken to comply with any law, ordinance, or orders of a governmental authority. No diminution or abatement of Assessments shall be claimed or allowed for any such utility or service failure, or for such injury or damage, or for such inconvenience or discomfort.

Section 18.3 No Personal Liability. So long as a Board member, or Association committee member, or Association officer, or the Declarant or the Managing Agent has acted in good faith, without willful or intentional misconduct, upon the basis of such information as is then possessed by such person, no such person shall be personally liable to any Owner, or to any other person, including the Association, for any damage, loss, or prejudice suffered or claimed on account of any act, omission, error, or negligence of such person; provided, that this Section shall not apply where the consequences of such act, omission, error, or negligence is covered by insurance obtained by the Board.

Article 19. INDEMNIFICATION.

Each Board member, Association committee member, Association officer, the Declarant and the Managing Agent shall be indemnified by the Association against all expenses and liabilities, including attorneys' fees, reasonably incurred by or imposed in connection with any proceeding to which such person may be a party, or in which such person may become involved, including appeals of such proceedings, by reason of holding or having held such position, or any settlement thereof, whether or not such person holds such position at the time such expenses or liabilities are incurred, except to the extent such expenses and liabilities are covered by any type of insurance and except in such cases wherein such person is adjudged guilty of willful misfeasance in the performance of such person's duties; provided, that in the event of a settlement, the indemnification shall apply only when the Board approves such settlement and reimbursement as being for the best interests of the Association.

Article 20. INSURANCE.

Section 20.1 General Requirements; Allocation of Premium. Commencing not later than the time of the first conveyance of a Unit to a person other than the Declarant, the Association shall maintain, to the extent reasonably available, a policy or policies and bonds necessary to provide (a) property insurance; (b) commercial general liability insurance; (c) fidelity insurance; (d) worker's compensation insurance to the extent required by applicable laws; (e) directors and officers liability insurance; and (f) such other insurance as the Board deems advisable. The Board shall review at least annually the adequacy of the Association's insurance coverage. All insurance shall be obtained from insurance carriers that are generally acceptable for similar projects, authorized to do business in the state of Washington, and meet the specific requirements of FNMA, FHLMC, HUD and VA, so long as any of them is a Mortgagee or Owner of a Unit, regarding the qualifications of insurance carriers. Notwithstanding any other provisions herein, the Association shall continuously maintain in effect property, liability and fidelity insurance that meets the insurance requirements for condominium projects established by FNMA, FHLMC, HUD and VA, so long as any of them is a Mortgagee or Owner of a Unit, except to the extent such coverage is not available or has been waived in writing by them. All such insurance policies shall provide that coverage may not be cancelled or substantially reduced without at least 45 days' prior written notice (10 days for cancellation for nonpayment of premium) to the Association as the first named insured therein. The Board shall allocate the premium for the Association's insurance among the Unit Owners as a Specially Allocated Expense based on risk, which shall take into consideration the use of the Units and the replacement cost of the improvements within the Units that are required to be insured by the Association, as determined by the Board based on information provided to the Board by the Unit Owners and advice from the Association's insurance broker and/or information from the Association's insurance carrier.

Section 20.2 Property Insurance; Deductible; Residential Unit Improvements. The property insurance shall, at the minimum and subject to such reasonable deductible as the Board may determine and to the extent not covered by insurance obtained by the owners association for Island Commons, provide all risk or special cause of loss coverage in an amount equal to the full replacement cost of the Common Elements, the Units, the interior partitions, equipment, fixtures, betterments and improvements in or serving the Residential Units installed by the Declarant or by Unit Owners intended as a permanent part of the Unit and personal property of the Association with an "Agreed Amount Endorsement" or equivalent endorsement and, if required by FNMA or FHLMC, construction code endorsements, such as a "Demolition Cost Endorsement," a "Contingent Liability from Operation of Building Laws Endorsement," an "Increased Cost of Construction Endorsement," and such other endorsements as FNMA or FHLMC deems necessary and are available. The equipment, fixtures, improvements in each Commercial Unit, whether installed by the Declarant, the Unit Owners, tenants or others, shall not be covered by the Association's policy but shall be covered by an insurance policy or policies obtained by or for the benefit of the Owner of the Commercial Unit. The Association's policy shall provide a separate loss payable endorsement in favor of the Mortgagee of each Unit and may, in the discretion of the Board, cover loss due to earthquake. The Association or insurance trustee, if any, shall hold insurance proceeds in trust for the Owners and their Mortgagees, as their interests may appear. Each Owner and the Owner's Mortgagee, if any, shall be beneficiaries of the policy in accordance with the interest in the Common Elements appertaining to the Owner's Unit. Certificates of insurance shall be issued to each Owner and Mortgagee upon request. The Owner of each Residential Unit shall be responsible for the amount of the deductible applicable to damage or loss within the Owner's Unit or to equipment for which the Owner is responsible under Section 9.4. The Owner of each Commercial Unit shall be responsible for all damage or loss within the Owner's Unit or to equipment for which the Owner is responsible under Section 9.4. Each Owner of a Residential Unit shall promptly advise the Association in writing of any betterment or improvement intended as a permanent part of the Unit costing $5,000 or more.

Section 20.3 Commercial General Liability Insurance. The liability insurance coverage shall insure the Board, the Association, the Owners, the Declarant, and the Managing Agent, and cover all of the Common Elements in the Condominium with a "Severability of Interest Endorsement" or equivalent coverage which would preclude the insurer from denying the claim of an Owner because of the negligent acts of the Association or of another Owner, and shall cover liability of the insureds for property damage and bodily injury and death of persons arising out of the operation, maintenance, and use of the Common Elements, host liquor liability, employers' liability insurance, automobile liability insurance, and such other risks as are customarily covered with respect to residential condominium projects of similar construction, location and use. The limits of liability shall be in amounts generally required by Mortgagees for projects of similar construction, location and use but shall be at least $2,000,000 combined single limit for bodily injury and property damage per occurrence and $4,000,000 general aggregate.

Section 20.4 Insurance Trustee; Power of Attorney. The named insured under the policies referred to in Section 20.2 and Section 20.3 shall be the Association, as trustee for each of the Owners in accordance with their respective interests in the Common Elements. The insurance proceeds may be made payable to any trustee with which the Association enters into an insurance trust agreement, or any successor trustee, who shall have exclusive authority to negotiate losses under the policies. Subject to the provisions of Section 20.8, the proceeds must be disbursed first for the repair or restoration of the damaged property, and Unit Owners and lienholders are not entitled to receive payment of any portion of the proceeds unless there is a surplus of proceeds after the property has been completely repaired or restored or the Condominium is terminated. Each Owner appoints the Association, or any insurance trustee or successor trustee designated by the Association, as attorney-in-fact for the purpose of purchasing and maintaining such insurance, including the collection and appropriate disposition of the proceeds thereof, the negotiation of losses and execution of releases of liability, the execution of all documents and the performance of all other acts necessary to accomplish such purposes.

Section 20.5 Additional Policy Provisions. The insurance obtained pursuant to Section 20.2 and Section 20.3 shall contain the following provisions and limitations:

20.5.1 Each Unit Owner is an insured person under the policy with respect to liability arising out of the Owner's interest in the Common Elements or membership in the Association.

20.5.2 Such policies shall not provide for contribution by or assessment against Mortgagees or become a lien on the property superior to the lien of a first Mortgage.

20.5.3 If, at the time of the loss under the policy, there is other insurance in the name of the Unit Owner covering the same risk covered by the policy, the Association's policy provides primary insurance.

20.5.4 Coverage shall not be prejudiced by (a) any act, omission or neglect of the Owners of Units when such act or neglect is not within the scope of the Owner's authority on behalf of the Association, or (b) failure of the Association to comply with any warranty or condition with regard to any portion of the premises over which the Association has no control.

20.5.5 A waiver of subrogation by the insurer as to any and all claims against the Association, the Owner of any Unit, and/or their respective agents, members of the Owner's household, employees, or lessees, and of any defenses based upon co-insurance or upon invalidity arising from the acts of the insured.

20.5.6 A standard mortgagee clause which shall:

20.5.6.1 Provide that any reference to a mortgagee in the policy shall mean and include all Mortgagees of any Unit or Unit lease or sublease in their respective order of preference, whether or not named therein;

20.5.6.2 Provide that such insurance as to the interest of any Mortgagee shall not be invalidated by any act or neglect of the Board or Owners or any persons under any of them;

20.5.6.3 Waive any provision invalidating such mortgage clause by reason of the failure of any Mortgagee to notify the insurer of any hazardous use or vacancy, any requirement that the Mortgagee pay any premium thereon, and any contribution clause; and

20.5.6.4 Provide that, without affecting any protection afforded by such mortgagee clause, any proceeds payable under such policy shall be payable to the Association or the insurance trustee.

Section 20.6 Fidelity Insurance. The required fidelity insurance shall afford coverage to protect against dishonest acts on the part of officers, directors, trustees, and employees of the Association and all other persons who handle or are responsible for handling funds of or administered by, the Association. The Managing Agent shall maintain fidelity insurance for its officers, employees, and agents who handle or who are responsible for handling funds of, or funds administered by the Association. All such fidelity insurance shall name the Association as an obligee and shall be not less than the estimated maximum of funds, including reserve funds, in custody of the Association at any time during the term of each policy, but, in no event, shall the aggregate amount of insurance be less than three months' aggregate Assessments. The policy shall contain waivers of any defense based upon the exclusion of persons who serve without compensation from any definition of "employee" or similar expression.

Section 20.7 Owners' Individual Insurance. An insurance policy issued to the Association does not prevent an Owner from obtaining insurance for the Owner's own benefit. The Owner of each Commercial Unit shall maintain or cause to be maintained property or casualty insurance for all equipment, fixtures, and improvements within the Owner's Unit or serving only that Unit and commercial general liability with limits comparable to those required for Association's liability insurance in Section 20.3.

Section 20.8 Use of Insurance Proceeds. Any portion of the Condominium for which insurance is required under this Article which is damaged or destroyed shall be repaired or replaced promptly by the Association pursuant to Article 21 unless: (a) the Condominium is terminated; (b) repair or replacement would be illegal under any state or local health or safety statute or ordinance; or (c) Owners holding at least 80% of the votes in the Association, including every Owner of a Unit or Limited Common Element which will not be rebuilt, and Owners other than the Declarant holding at least 80% the votes in the Association excluding votes held by the Declarant vote not to rebuild. The cost of repair or replacement in excess of the deductible, insurance proceeds and reserves is a Common Expense; provided, however, the cost of repair or replacement of the equipment, fixtures, improvements within each Commercial Unit or serving only that Commercial Unit shall be the responsibility of the Owner of that Unit. The Owner of each Residential Unit shall be responsible for the amount of the deductible applicable to damage or loss within the Owner's Unit. If all of the damaged or destroyed portions of the Condominium are not repaired or replaced: (i) The insurance proceeds attributable to the damaged Common Elements shall be used to restore the damaged area to a condition compatible with the remainder of the Condominium; (ii) the insurance proceeds attributable to Units and Limited Common Elements which are not rebuilt shall be distributed to the Owners of those Units and the Owners of the Units to which those Limited Common Elements were allocated, or to lienholders, as their interests may appear; and (iii) the remainder of the proceeds shall be distributed to all the Unit Owners or lienholders, as their interests may appear, in proportion to the Interest in Common Elements of each Unit. If the Unit Owners vote not to rebuild any

Unit, that Unit's Allocated Interests are automatically reallocated upon the vote as if the Unit had been condemned under Article 22, and the Association promptly shall prepare, execute, and record an amendment to this Declaration reflecting the reallocations. Notwithstanding the provisions of this Section, Article 26 governs the distribution of insurance proceeds if the Condominium is terminated.

Article 21. DAMAGE AND REPAIR OR DAMAGE TO PROPERTY.

Section 21.1 Initial Board Determination. In the event of damage to any Common Element or to any portion of a Unit or its Limited Common Elements, equipment or appliances covered by the Association's insurance policy, the Board shall promptly (but not later than 60 days after the date of damage) make the following determinations with respect thereto, employing such advice as the Board deems advisable:

21.1.1 The nature and extent of the damage, together with an inventory of the improvements and property directly affected thereby.

21.1.2 A reasonably reliable estimate of the cost to repair the damage, which estimate shall, if reasonably practicable, be based upon two or more firm bids obtained from responsible contractors.

21.1.3 The expected insurance proceeds, if any, to be available from insurance covering the loss based on the amount paid or initially offered by the insurer.

21.1.4 The amount of the deductible to be paid by a Unit Owner with respect to damage or loss within the Owner's Unit.

21.1.5 The amount of available reserves or other Association funds, although the Board is not required to use any reserves or other Association funds.

21.1.6 The amount, if any, by which the estimated cost of repair exceeds the portion of the deductible to be paid by a Unit Owner, expected insurance proceeds and available reserves or other Association funds, and the amount of the Assessments that would have to be made against each Unit if the excess cost were to be paid as a Common Expense and assessed against all the Units in proportion to their Common Expense Liabilities.

Section 21.2 Notice of Damage. The Board shall promptly, and in all events within 60 days after the date of damage, file a proof of loss statement with the insurance company if the loss is covered by insurance and abide by all terms and conditions of its insurance policies, unless the Board determines it would not be in the best interest of the Association to file a proof of loss. The Board shall then provide each Owner with a written notice describing the damage and summarizing the initial Board determinations made under Section 21.1. If the damage affects a material portion of the Condominium, the Board shall also send the notice to each Mortgagee; and if the damage affects a Unit, the Board shall send the notice to the Mortgagee of that Unit. If the Board fails to do so within the 60-day period, any Owner or Mortgagee may make the determinations required under Section 21.1 and give the notice required under this Section.

Section 21.3 Definitions: Damage, Substantial Damage, Repair, Emergency Work. As used in this Article:

21.3.1 Damage shall mean all kinds of damage, whether of slight degree or total destruction.

21.3.2 Substantial Damage shall mean that in the judgment of the Board the estimated Assessment determined under Subsection 21.1.6 for any one Unit exceed ten percent of the full, fair market value of the Unit before the damage occurred, as determined by the then current assessment for the purpose of real estate taxation.

21.3.3 Repair shall mean restoring the improvements to substantially the condition they were in before they were damaged, with each Unit and the Common Elements and the Limited Common Elements and having substantially the same boundaries as before. Modifications to conform to applicable governmental rules and regulations or available means of construction may be made.

21.3.4 Emergency Work shall mean work that the Board deems reasonably necessary to avoid further damage or substantial diminution in value to the improvements and to protect the Owners from liability from the condition of the site.

Section 21.4 Execution of Repairs.

21.4.1 The Board shall promptly repair the damage and use the available insurance proceeds therefor as provided in Section 20.8. If the cost of repair exceeds the amount of the deductible to be paid by a Unit Owner, expected insurance proceeds and available reserves or other Association funds, the Board shall impose Assessments against all Units in proportion to their Common Expense Liabilities in an aggregate amount sufficient to pay the excess costs.

21.4.2 The Board shall have the authority to employ architects and engineers, advertise for bids, let contracts to contractors and others, and take such other action as is reasonably necessary to make the repairs. Contracts for the repair work shall be awarded when the Board, by means of insurance proceeds and sufficient Assessments, has provided for paying the cost. The Board may authorize the insurance carrier to make the repairs if the

Board is satisfied that the work will be done satisfactorily, and if such authorization does not contravene any insurance trust agreement or requirement of law.

21.4.3 The Board may enter into a written agreement with a reputable financial institution or trust or escrow company that the institution or company shall act as an insurance trustee to adjust and settle any claim for casualty loss in excess of $50,000, or for the institution or company to collect the insurance proceeds and carry out the provisions of this Article.

Section 21.5 Damage Not Substantial. If the damage as determined under Subsection 21.3.2 is not substantial, the provisions of this Section shall apply.

21.5.1 Either the Board or the requisite number of Owners, within 15 days after the notice required under Section 21.2 has been given, may but shall not be required to, call a special Owners' meeting in accordance with Section 12.4 and the Bylaws to decide whether to repair the damage.

21.5.2 Except for emergency work, no repairs shall be commenced until after the 15-day period and until after the conclusion of the special meeting if such a special meeting is called within the 15 days.

21.5.3 A decision to not repair or rebuild may be made in accordance with Section 20.8.

Section 21.6 Substantial Damage. If the damage determined under Subsection 21.3.2 is substantial, the provisions of this Section shall apply.

21.6.1 The Board shall promptly, and in all events within 60 days after the date of damage, call a special Owners' meeting to consider repairing the damage. If the Board fails to do so within 60 days, then notwithstanding the provisions of Section 12.4 and the Bylaws, any Owner or first Mortgagee of a Unit may call and conduct the meeting.

21.6.2 Except for emergency work, no repairs shall be commenced until the conclusion of the special Owners' meeting.

21.6.3 At the special meeting, the following consent requirements will apply:

21.6.3.1 The Owners shall be deemed to have elected to repair the damage in accordance with the original plan unless the Owners of at least 80% of the total voting power of the Condominium other than that held by the Declarant, including every Owner of a Unit which will not be rebuilt and every Owner of a Unit to which a Limited

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Common Element which will not be rebuilt is allocated, have given their written consent not to repair the damage.

21.6.3.2 The unanimous consent of all Owners will be required to elect to rebuild in accordance with a plan that is different from the original plan.

21.6.3.3 In addition to the consent by the Owners specified above, any election not to repair the damage or not to rebuild substantially in accordance with the original plan will require the approval of eligible holders of first Mortgages on Units that have at least 51% of the votes subject to eligible holder Mortgages.

21.6.3.4 Failure to conduct the special meeting provided for under Section 25.1 within 90 days after the date of damage shall be deemed a unanimous decision to repair the damage in accordance with the original plan.

Section 21.7 Effect of Decision Not to Repair. In the event of a decision under either Subsection 21.5.3 or 21.6.3 not to repair the damage, the Board may nevertheless expend so much of the insurance proceeds and common funds as the Board deems reasonably necessary for emergency work (which emergency work may include but is not necessarily limited to removal of the damaged improvements and clearing, filling, and grading the land), and the remaining funds, if any, and the property shall thereafter be held and distributed as provided in Section 20.8.

Article 22. CONDEMNATION.

Section 22.1 Consequences of Condemnation; Notices. If any Unit or portion thereof or the Common Elements or Limited Common Elements or any portion thereof is made the subject matter of any condemnation or eminent domain proceeding or is otherwise sought to be acquired by a condemning authority, notice of the proceeding or proposed acquisition shall promptly be given to each Owner and to each holder of a first Mortgage and the provisions of this Article shall apply.

Section 22.2 Power of Attorney. Each Owner appoints the Association as attorney-in-fact for the purpose of representing the Owners in condemnation proceedings and negotiations, settlements and agreements with the condemning authority for acquisition of Common Elements or any part thereof, from the condemning authority. The Board may appoint a trustee to act on behalf of the Owners in carrying out the foregoing functions in lieu of the Association. Should the Association not act, based on their right to act pursuant to this Section, the affected Owners may individually or jointly act on their own behalf.

Section 22.3 Condemnation of a Unit. If a Unit is acquired by condemnation, or if part of a Unit is acquired by condemnation leaving the Unit Owner with a remnant of a Unit which may not practically or lawfully be used for any purpose permitted by this Declaration, the award must compensate the Owner for the Owner's Unit and its appurtenant interest in the Common Elements, whether or not any Common Elements are acquired. The proceeds from the condemnation of a Unit shall be paid to the Owner or lienholder of the Unit, as their interests may appear. Upon acquisition, unless the decree otherwise provides, that Unit's Allocated Interests are automatically reallocated to the remaining Units in proportion to the respective Allocated Interests of those Units before the taking, and the Association shall promptly prepare, execute, and record an amendment to this Declaration reflecting the reallocations. Any remnant of a Unit remaining after part of a Unit is taken under this Section is thereafter a Common Element.

Section 22.4 Condemnation of Part of a Unit. Except as provided in Section 22.3, if part of a Unit is acquired by condemnation, the award must compensate the Unit Owner for the reduction in value of the Unit and its appurtenant interest in the Common Elements, whether or not any Common Elements are acquired. The proceeds from the condemnation awarded to the Unit Owner shall be paid to the Owner or lienholders of the Unit, as their interests may appear. Upon acquisition, unless the decree otherwise provides: (a) that the Unit's Allocated Interests are reduced in proportion to the reduction in the size of the Unit; and (b) the portion of the Allocated Interests divested from the partially acquired Unit are automatically reallocated to that Unit and the remaining Units in proportion to the respective Allocated Interests of those Units before the taking, with the partially acquired Unit participating in the reallocation on the basis of its reduced Allocated Interests.

Section 22.5 Condemnation of Common Element or Limited Common Element. If part of the Common Elements is acquired by condemnation the portion of the award attributable to the Common Elements taken shall be paid to the Owners based on their respective interests in the Common Elements, or to lienholders, as their interests may appear. Any portion of the award attributable to the acquisition of a Limited Common Element must be equally divided among the Owners of the Units to which that Limited Common Element was allocated at the time of the acquisition, or to lienholders, as their interests may appear. If the Board determines that a particular Owner's interest in the Common Elements diminished with respect to other Owners, by the acquisition of a Common Element, this Declaration may be amended to adjust that Owner's Common Expense Liability allocation, or to remove the allocation of a Limited Common Element to that Owner's Unit, as the case may be.

Section 22.6 Reconstruction and Repair. Any reconstruction and repair necessitated by condemnation shall be governed by the procedures specified in Article 21.

Article 23. EASEMENTS.

Section 23.1 In General. Each Unit has an easement in and through each other Unit and the Common Elements and Limited Common Elements for all support elements and utility, wiring, heat, and service elements, and for reasonable access thereto, as required to effectuate and continue proper operation of the Condominium.

Section 23.2 Encroachments. To the extent not provided by the definition of "Unit" in this Declaration and in the Condominium Act, each Unit and all Common Elements and Limited Common Elements are hereby declared to have an easement over all adjoining Units and Common Elements and Limited Common Elements for the purpose of accommodating any present or future encroachment as a result of engineering errors, construction, reconstruction, repairs, settlement, shifting, or movement of any portion of the property, or any other similar cause, and any encroachment due to building overhang or projection. There shall be valid easements for the maintenance of the encroaching Units and Common Elements and Limited Common Elements so long as the encroachments shall exist, and the rights and obligations of Owners shall not be altered in any way by the encroachment; provided, however, that in no event shall a valid easement for encroachment be created in favor of a Unit if the encroachment was caused by the willful act with full knowledge of the Owner. The encroachments described in this Section shall not be construed to be encumbrances affecting the marketability of title to any Unit.

Section 23.3 Easement Specifically Reserved by the Declarant. The Declarant reserves an access easement over, across, and through the Common Elements and Limited Common Elements of the Condominium for the purpose of completing any unfinished Units or other improvements, exhibiting and preparing Units for sale, making repairs required pursuant to any contract of sale, and discharging the Declarant's obligations or exercising Development Rights or Special Declarant Rights. This Section may not be altered or amended without the written consent of the Declarant.

Section 23.4 Utility Easements Granted by the Declarant. The Declarant reserves the right to grant easements to the various companies or municipalities who provide, or wish to provide, utility services to the Condominium or to the Units in the Condominium easements for the installation, construction, maintenance, repair and reconstruction of all utilities serving the Condominium or the Owners, including, without limitation, such utility services as water, sanitary sewer, storm sewer, electricity, gas, cable television, data and telephone, and an easement for access over and under the Common Elements and Limited Common Elements of the Condominium to the utility service facilities.

Article 24. PROCEDURES FOR SUBDIVIDING, COMBINING OR ALTERING UNITS.

Section 24.1 Subdivision of Residential Units. No Residential Unit shall be subdivided either by agreement or legal proceedings, except as provided in this Article.

24.1.1 An Owner may propose subdividing a Residential Unit by submitting a proposal in writing to the Board and to all other Owners and Mortgagees of the Residential Unit to be subdivided. The proposal must include complete plans and specifications for accomplishing the subdivision and proposed amendments of this Declaration and the Survey Map and Plans which amendments shall be executed by the Owner of the Unit to be subdivided upon approval pursuant to Subsection 24.1.2, and which amendments assign an identifying number to each Unit created, and prorate the Allocated Interest of the Unit between or among the new Units based on the relative areas of the new Units or such other reasonable method as the Owner shall propose. The Owner of the Residential Unit to be subdivided shall bear all costs of the subdivision, including the cost of professional consultants, such as architects and engineers, retained by the Board to review Owner's plans and specifications.

24.1.2 A proposal that contemplates subdivision of a Residential Unit will be accepted only if approved in writing by all Owners and Mortgagees of the Unit to be subdivided and the Board.

Section 24.2 Subdivision of Commercial Units. A Commercial Unit shall not be subdivided either by agreement or legal proceedings, except as provided in this Article.

24.2.1 The Owner of a Commercial Unit may propose subdividing the Unit by submitting the proposal in writing to the Board. The proposal must include complete plans and specifications for accomplishing the subdivision and proposed amendments of this Declaration and the Survey Map and Plans which amendments shall be executed by the Owner of the Unit to be subdivided and the Board. The amendments shall assign an identifying number to each Unit created, and prorate the Allocated Interest of the Unit between or among the new Units based on the relative areas of the new Units or such other reasonable method as the Owner shall propose. The Board may not withhold its approval unless it determines that the structural integrity of the building would be adversely affected by the proposed subdivision. The Owner of the Commercial Unit to be subdivided shall bear all costs of the subdivision.

24.2.2 This Article shall not restrict the right of the Owner of a Commercial Unit to make such changes as the Owner deems necessary or appropriate to partition the Commercial Unit in connection with the leasing thereof, provided that the prior written approval of the Board shall be obtained before any work affecting the structural integrity of the building is undertaken.

Section 24.3 Combination of Units. No Units shall be combined either by agreement or legal proceedings, except as provided in this Article.

24.3.1 An Owner may propose two or more Units by submitting the proposal in writing to the Board and to all other Owners and Mortgagees of Unit to be combined. The proposal must include complete plans and specifications for accomplishing the combination and proposed amendments of this Declaration and the Survey Map and Plans which amendments shall be executed by all Owners of the Unit to be combined upon approval by the Board, assign an identifying number to resulting Unit and aggregate the Allocated Interests of the combined Units to the new Unit. The Owner of the Units to be combined shall bear all costs of the combination, including the cost of professional consultants, such as architects and engineers, retained by the Board to review Owner's plans and specifications.

24.3.2 A proposal that contemplates combination of two or more Units will be accepted only if approved in writing by all Owners and Mortgagees of the Units to be combined and the Board.

Section 24.4 Minor Alterations; Hard Surface Flooring. No Unit may be altered in any way except in accordance with this Article. An Owner may make any improvements or alterations to the Owner's Unit that do not change the structural walls, affect the structural integrity or acoustical properties of the building or the plumbing, mechanical or electrical systems or lessen the support of any portion of the Condominium; and an Owner of a Unit may not change the flooring from carpeting to hard surface flooring in a portion of the Unit that is over another Unit without the prior written approval of the Board, which may be withheld in its sole discretion. In connection with change from carpet to hardsurface flooring, the Board may condition its approval upon the installation of an acoustical subflooring material and/or coverage of certain floor areas with carpet. An Owner may not change the appearance of the Common Elements or the exterior appearance of a Unit without permission of the Association pursuant to the procedures of Section 24.6.

Section 24.5 Adjoining Units. After acquiring an adjoining Unit, an Owner may, with approval of the Board pursuant to Section 24.6, remove or alter any intervening partition or create apertures therein, even if the partition in whole or in part is a Common Element, if those acts do not adversely affect the structural integrity or acoustical properties of the building or the plumbing, mechanical or electrical systems serving another Unit or the Common Elements or lessen the support of any portion of the Condominium. Removal of partitions or creation of apertures under this subsection is not a relocation of boundaries or a combination of Units. The Owner's proposal to act under this Section shall be submitted to the Board and shall include the plans and specifications for the proposed removal or alteration.

Section 24.6 Substantial Alteration. A proposal that contemplates substantial alteration of one or more Units is subject to approval by the Board. The Board shall approve an Owner's request under this Section within 30 days of receipt of plans and specifications, unless the proposed alteration does not comply with Section 24.5 or impairs the structural integrity or acoustical properties of the building or the plumbing, mechanical or electrical systems serving another Unit or the Common Elements or lessen the support of any portion of the Condominium. The Board may also retain, at the Owner's expense, an architect or engineer to review the plans and require evidence satisfactory to it that all permits necessary for the work have been obtained. The failure of the Board to act upon a request within such period shall be deemed approval thereof. The Board may establish reasonable hours and conditions for performance of work within Units.

Section 24.7 Procedure After Approval. Upon approval of a proposal under this Article, the Owner making it may proceed according to the proposed plans and specifications; provided that the Board may in its discretion require that the Board administer the work or that provisions for the protection of other Units or Common Elements or that reasonable deadlines for completion of the work be inserted in the contracts for the work. The changes in the Survey Map Plans and Declaration shall be placed of record as amendments thereto.

Section 24.8 Relocation of Boundaries -- Adjoining Units. The boundaries between adjoining Units may only be relocated by an amendment to this Declaration, pursuant to Article 25, upon application to the Board by the Owners of those Units. If the Owners of the adjoining Units have specified a reallocation between their Units of their Allocated Interests, the application must state the proposed reallocations. Unless the Board determines within 30 days, that the reallocations are unreasonable, the Association shall prepare an amendment that identifies the Units involved, states the reallocations, is executed by the Unit Owners, contains words of conveyance between them, and is recorded in the name of the grantor and the grantee. The Association shall obtain and record survey maps or plans complying with the requirements of RCW 64.34.232(4) necessary to show the altered boundaries between adjoining Units and their dimensions and identifying numbers. The Owner or Owners benefited by a reallocation of Unit boundaries shall bear all costs associated therewith in proportion to the relative benefits to each such Unit as determined by the Board or as the Owners of such Units agree.

Article 25. AMENDMENT OF DECLARATION SURVEY MAP AND PLANS, ARTICLES OR BYLAWS.

Section 25.1 Procedures. Except in cases of amendments that may be executed by the Declarant under this Declaration or the Condominium Act, this Declaration, the Survey Map and Plans, the Articles and the Bylaws may be amended only by vote or agreement of the Owners, as specified in this Article. An Owner may propose amendments to this

Declaration or the Survey Map and Plans, the Articles or the Bylaws to the Board. A majority of the members of the Board may cause a proposed amendment to be submitted to the members of the Association for their consideration. If an amendment is proposed by Owners with 20% or more of the votes in the Association, then, irrespective of whether the Board concurs in the proposed amendment, it shall be submitted to the members of the Association for their consideration at their next regular or special meeting for which timely notice must be given. Notice of a meeting at which an amendment is to be considered shall include the text of the proposed amendment. Amendments may be adopted at a meeting of the Association or by written consent of the requisite number of persons entitled to vote, after notice has been given to all persons (including Eligible Mortgagees) entitled to receive notices. Upon the adoption of an amendment and the obtaining of any necessary consents of Eligible Mortgagees as provided below, amendment to this Declaration or the Survey Map and Plans will become effective when it is recorded or filed in the real property records in the county in which the Condominium is located. The amendment shall be indexed in the name of the Condominium and shall contain a cross-reference by recording number to this Declaration and each previously recorded amendment thereto. Such amendments shall be prepared, executed, recorded and certified on behalf of the Association by any officer of the Association designated for that purpose or, in the absence of designation, by the president of the Association. No action to challenge the validity of an amendment adopted by the Association pursuant to this Article may be brought more than one year after the amendment is recorded. An amendment to the Articles shall be effective upon filing the amendment with the Secretary of State. An amendment to the Bylaws shall be effective upon adoption.

Section 25.2 Percentages of Consent Required. Except as provided in Article 21 and Article 22 in the case of damage or condemnation of the property, the percentages of consent of Owners and Mortgagees required for adoption of amendments to this Declaration, the Survey Map and Plans, the Articles and the Bylaws are as follows:

25.2.1 The consent of Owners holding at least 67% of the votes in the Association and the consent of Eligible Mortgagees of Units to which at least 51% of the votes of Units subject to Mortgages held by Eligible Mortgagees are allocated shall be required to materially amend any provisions of this Declaration, the Survey Map and Plans, the Articles or the Bylaws, or to add any material provisions thereto, which establish, provide for, govern, or regulate any of the following: (a) voting rights; (b) Assessments, Assessment liens, or subordination of such liens; (c) reserves for maintenance, repair, or replacement of the Common Elements; (d) responsibility for maintenance and repair of any portion of the Condominium; (e) rights to use Common Elements and Limited Common Elements; (f) reallocation of interests in Common Elements or Limited Common Elements or rights to their use; (g) redefinition of Unit boundaries; (h) convertibility of Units into Common Elements or Common Elements into Units; (i) expansion or contraction of the Condominium or the addition, annexation or withdrawal of property to or from the Condominium; (j) hazard or fidelity insurance requirements; (k) imposition of any restrictions on leasing of Units;

(l) imposition of any restriction on the right of an Owner to sell or transfer a Unit; (m) establishment of self-management of the Condominium after professional management has been required by FNMA or by an Eligible Mortgagee; (n) restoration or repair (after damage or partial condemnation) in a manner other than specified in this Declaration or Survey Map and Plans; or (o) any provisions that are for the express benefit of holders of first Mortgages.

25.2.2 Except as provided in Article 24 or elsewhere in this Declaration, an amendment that creates or increases Special Declarant Rights, increases the number of Units, changes the boundaries of any Unit, the Allocated Interests of a Unit, or the uses to which any Unit is restricted, shall require the vote or agreement of the Owner of each Unit particularly affected and the Owners other than the Declarant holding at least 90% of the votes in the Association, excluding votes held by the Declarant.

25.2.3 In addition to the foregoing requirements, the consent of all Owners of the Commercial Units shall be required for any amendment to any provision affecting the Commercial Units particularly, including, but not limited to, any amendment changing the permitted uses of the Commercial Units, the voting rights of the Commercial Units or the portion of the costs of the Association allocated to or assessed against the Commercial Units.

25.2.4 In addition to the foregoing requirements, the consent of the Declarant shall be required for any amendment to a provision in this Declaration relating to the Declarant.

25.2.5 All other amendments shall be adopted if consented to by the Owners holding 67% of the votes in the Association.

25.2.6 An Eligible Mortgagee who receives a written request to consent to an amendment who does not deliver or post to the requesting party a negative response within 90 days shall be deemed to have consented to such request.

Section 25.3 Limitations on Amendments. No amendment may restrict, eliminate, or otherwise modify any Development Right or Special Declarant Right provided in this Declaration without the consent of the Declarant.

Article 26. TERMINATION OF CONDOMINIUM.

Section 26.1 Action Required. Except as provided in Article 21 and Article 22, the Condominium may be terminated only by agreement of Owners of Units to which at least 80% of the votes in the Association are allocated and with the consent of Eligible Mortgagees of Units to which at least 67% of the votes in the Association are allocated and in accordance

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with the Condominium Act. An Eligible Mortgagee who receives a written request to consent to termination who does not deliver or post to the requesting party a negative response within 90 days shall be deemed to have consented to such request, provided the request was delivered by certified or registered mail, return receipt requested.

Section 26.2 Condominium Act Governs. The provisions of the Condominium Act relating to termination of a condominium contained in RCW 64.34.268, as it may be amended, shall govern the termination of the Condominium, including, but not limited to, the disposition of the real property in the Condominium and the distribution of proceeds from the sale of that real property.

Article 27. NOTICES.

Section 27.1 Form and Delivery of Notice. Unless provided otherwise in this Declaration, all notices given under the provisions of this Declaration or the Bylaws or rules or regulations of the Association shall be in writing and may be delivered either personally or by mail. If delivery is made by mail, the notice shall be deemed to have been delivered upon being deposited in the United States mail, first class, postage prepaid, addressed to the person entitled to such notice at the most recent address known to the Board. Notice to the Owner of any Unit shall be sufficient if mailed to the Unit if no other mailing address has been given to the Board. Mailing addresses may be changed by notice in writing to the Board. Notices to the Board shall be given to the Declarant until the Transition Date, and thereafter shall be given to the president or secretary of the Association.

Section 27.2 Notices to Eligible Mortgagees. An Eligible Mortgagee is a Mortgagee that has filed with the secretary of the Board a written request that it be given copies of the notices listed below. The request must state the name and address of the Eligible Mortgagee and the Identifying Number or address of the Unit on which it has (or insures or guarantees) a Mortgage. Until such time thereafter that the Eligible Mortgagee withdraws the request or the Mortgage held, insured or guaranteed by the Eligible Mortgagee is satisfied, the Board shall send to the Eligible Mortgagee timely written notice of (a) any proposed amendment of this Declaration or Survey Map and Plans effecting a change in (i) the boundaries of any Unit, (ii) the exclusive easement rights, if any, appertaining to any Unit, (iii) the interest in the Common Elements or the liability for Common Expenses of any Unit, (iv) the number of votes in the Association allocated to any Unit, or (v) the purposes to which a Unit or the Common Elements or Limited Common Elements are restricted; (b) any proposed termination of condominium status, transfer of any part of the Common Elements, or termination of professional management of the Condominium; (c) any condemnation loss or casualty loss that affects a material portion of the Condominium or that affects any Unit on which an Eligible Mortgagee has a first Mortgage; (d) any delinquency which has continued for 60 days in the payment of Assessments or charges owed by an Owner of a Unit on which an Eligible

Mortgagee had a Mortgage; (e) any lapse, cancellation, or material modification of any insurance policy maintained by the Association pursuant to Article 20; (f) any proposed action that would require the consent of a specified percentage of Eligible Mortgagees pursuant to this Declaration, the Articles or Bylaws; and (g) any proposed special Assessment or supplemental budget.

Article 28. SEVERABILITY.

The provisions of this Declaration shall be independent and severable, and the unenforceability of any one provision shall not affect the enforceability of any other provision, if the remaining provision or provisions comply with the Condominium Act.

Article 29. EFFECTIVE DATE.

This Declaration shall take effect upon recording.

Article 30. REFERENCE TO SURVEY MAP AND PLANS.

The Survey Map and Plans were filed with the Auditor of Kitsap County, Washington, simultaneously with the recording of this Declaration under File No. 200604200018 in Volume 7 of Condominiums, pages 133 through 143.

Article 31. ASSIGNMENT BY DECLARANT.

The Declarant reserves the right to assign, transfer, sell, lease, or rent all or a portion of the property then owned by it and reserves the right to assign all or any of its rights, duties, and obligations created under this Declaration.

DATED: April 18, 2006.

BAINBRIDGE ISLAND COMMONS, LLC, a Washington limited liability company
By BIC MANAGEMENT, LLC, a Washington limited liability company, its Manager
By BASE CAPITAL, L.L.C., a Washington limited liability company, its Manager

By H. Thomas Wick
H. Thomas Wick, its Managing Member

STATE OF WASHINGTON)
) ss.
COUNTY OF KING)

I certify that I know or have satisfactory evidence that H. Thomas Wick signed this instrument, on oath stated that he was authorized to execute the instrument and acknowledged it as the Managing Member of BASE CAPITAL, L.L.C., a Washington limited liability company, the Manager of BIC MANAGEMENT, LLC, a Washington limited liability company, the manager of BAINBRIDGE ISLAND COMMONS, LLC, a Washington limited liability company, to be the free and voluntary act of such parties for the uses and purposes mentioned in the instrument.

Dated this 18th day of April, 2006.

Gina L Minifie
(Signature of Notary)
Gina L Minifie
(Legibly Print or Stamp Name of Notary)
Notary public in and for the state of Washington, residing at Duvall
My appointment expires 3-19-10

GINA L. MINIFIE
COMMISSION EXPIRES
NOTARY
PUBLIC
3-19-10
STATE OF WASHINGTON

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SCHEDULE A

ISLAND CROSSINGS, A CONDOMINIUM

Description of Real Property in Condominium

The Mixed-Use Unit of Island Commons, a condominium, per Condominium Declaration therefore recorded under Auditor's File No. 200604200001, records of Kitsap County, Washington.

Situate in the City of Bainbridge Island, State of Washington.

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SCHEDULE B

ISLAND CROSSINGS, A CONDOMINIUM

Unit Data; Allocated Interests; Parking

Unit	Unit Data*	Level(s)	Unit Area[1/]	Allocated Interests[2/]	Parking[3/]
100	N/A	1	481	1.025	
101	N/A	1	445	0.948	
102	N/A	1	462	0.984	
200	2BR, 1BA	2	932	1.985	
201	1BR, 1BA	2	686	1.461	
202	1BR, 1BA	2	766	1.632	
203	1BR, 1BA	2	691	1.472	
204	1BR, 1BA	2	722	1.538	
205	1BR, 1BA	2	691	1.472	
206	2BR, 1BA	2	959	2.043	
208	2BR, 1BA	2	972	2.071	
210	1BR, 1BA	2	671	1.429	
212	1BR, 1BA	2	671	1.429	
214	1BR, 1BA	2	671	1.429	
216	2BR, 1BA	2	951	2.026	
218	1BR, 1BA	2	702	1.495	
219	1BR, 1BA	2	691	1.472	
220	1BR, 1BA	2	691	1.472	
221	1BR, 1BA	2	691	1.472	
222	1BR, 1BA	2	691	1.472	
223	1BR, 1BA	2	691	1.472	
224	2BR, 1BA	2	950	2.024	
225	1BR, 1BA	2	726	1.547	
300	2BR, 1BA	3	932	1.985	
301	1BR, 1BA	3	685	1.459	
302	1BR, 1BA	3	766	1.632	
303	1BR, 1BA	3	690	1.470	
304	1BR, 1BA	3	722	1.538	
305	1BR, 1BA	3	690	1.470	
306	2BR, 1BA	3	964	2.054	
308	2BR, 1BA	3	972	2.071	
310	1BR, 1BA	3	671	1.429	
312	1BR, 1BA	3	671	1.429	
314	1BR, 1BA	3	671	1.429	
316	2BR, 1BA	3	951	2.026	
318	1BR, 1BA	3	702	1.495	
319	1BR, 1BA	3	690	1.470	
320	1BR, 1BA	3	691	1.472	
321	1BR, 1BA	3	690	1.470	
322	1BR, 1BA	3	691	1.472	
323	1BR, 1BA	3	690	1.470	
324	2BR, 1BA	3	949	2.022	
325	1BR, 1BA	3	725	1.544	

Unit	Unit Data*	Level(s)	Unit Area[1/]	Allocated Interests[2/]	Parking[3/]
400	2BR, 1BA, F	4	921	1.962	
401	1BR, 1BA	4	685	1.459	
402	1BR, 1BA, F	4	755	1.608	
403	1BR, 1BA	4	690	1.470	
404	1BR, 1BA	4	711	1.515	
405	1BR, 1BA	4	690	1.470	
406	2BR, 1BA, F	4	953	2.030	
408	2BR, 1BA	4	961	2.047	
410	1BR, 1BA	4	660	1.406	
412	1BR, 1BA, F	4	660	1.406	
414	1BR, 1BA	4	660	1.406	
416	2BR, 1BA	4	951	2.026	
418	1BR, 1BA	4	702	1.495	
419	1BR, 1BA	4	690	1.470	
420	2BR, 1BA, F	4	691	1.472	
421	1BR, 1BA	4	690	1.470	
422	1BR, 1BA	4	691	1.472	
423	1BR, 1BA	4	690	1.471	
424	2BR, 1BA, F	4	949	2.023	
425	1BR, 1BA	4	725	1.545	
TOTALS:			46,942	100.000	

* Legend:
BR - bedroom
BA - bathroom
F - fireplace

[1/]Preliminary; subject to change upon verification by as-built survey.

[2/]Common Expense Liability, Interest in Common Elements and Voting based on relative area of Units. Preliminary, subject to change upon verification by as-built survey.

[3/]To be assigned by amendment.

AFTER RECORDING RETURN TO:
Leahy.ps
25 Central Way, Suite 310
Kirkland, WA 98033

LEAHY PS 200808150228
Amended Declaration Rec Fee: $ 50.00
08/15/2008 02:31 PM
Walter Washington, Kitsap Co Auditor

AMENDMENT NO. 1 TO CONDOMINIUM DECLARATION FOR ISLAND CROSSINGS, A CONDOMINIUM

Grantor: ISLAND CROSSINGS OWNERS ASSOCIATION, a Washington non-profit corporation

Grantee: CONDOMINIUM DECLARATION FOR ISLAND CROSSINGS, A CONDOMINIUM

Abbreviated
Legal Description: Condominium Declaration recorded under Kitsap County Auditor's No. 200604200017, as amended. Portion of SW ¼, SW ¼, Sec. 23, TWP. 25 N., RGE. 2 E, W.M., CITY OF BAINBRIDGE ISLAND, WASHINGTON

Assessor's Tax Parcel IDs #: 8167-000 (Master Number), and the following Unit Numbers:

000-0002	100-0001	101-0000	102-0009	200-0000	201-0009
202-0008	203-0007	204-0006	205-0005	206-0004	208-0002
210-0008	212-0006	214-0004	216-0002	218-0000	219-0009
220-0006	221-0005	222-0004	223-0003	224-0002	225-0001
300-0009	301-0008	302-0007	303-0006	304-0005	305-0004
306-0003	308-0001	310-0007	312-0005	314-0003	316-0001
318-0009	319-0008	320-0005	321-0004	322-0003	323-0002
324-0001	325-0000	400-0008	401-0007	402-0006	403-0005
404-0004	405-0003	406-0002	408-0000	410-0006	412-0004
414-0002	416-0000	418-0008	419-0007	420-0004	421-0003
422-0002	423-0001	424-0000	425-0009		

Reference # (if applicable): 200604200017

AMENDMENT NO. 1 TO CONDOMINIUM DECLARATION FOR ISLAND CROSSINGS, A CONDOMINIUM

The Declarant of Island Crossings, A Condominium ("Island Crossings" or the "Condominium"), created the Condominium through recording a Condominium Declaration (the "Declaration") and the Survey Maps and Plans (the "Maps and Plans") in the records of Kitsap County. The Declaration bears recording number 200604200017. The Maps and Plans bear recording number 200604200018. This is the first Amendment of the Declaration.

To satisfy requirements of Declaration Article 25;

1. A majority of the Board of Directors ("the Board" or "the Directors") of Island Crossings Owners Association (the "Association") voted to submit this Amendment to Declaration ("the Amendment") to the Owners for their approval;
2. All Owners were duly notified of this proposed Amendment and were given a copy of it prior to its adoption by the Owners;
3. Not less than sixty-seven percent (67%) of the Owners have approved the Amendment by consenting to the Amendment in writing; and
4. No Eligible Mortgagee has given the Association a negative response to the Amendment.

NOW, THEREFORE, the President of the Association certifies the Declaration to have been amended in the following particulars:

A. Article 1, Section 1.1, of the Declaration is hereby amended to add the following new defined terms:

<u>Governing Documents</u> means the Declaration, the Articles of Incorporation, the Bylaws, all properly adopted rules, policies and resolutions, and all future amendments to any of these documents.

<u>Occupant</u> means anyone who (1) occupies a Residential Unit as a permanent residence or who (2) stays overnight in any Residential Unit more than fourteen (14) days in any calendar month or more than sixty (60) days in any calendar year.

<u>Related Party</u> means a person is related to the Residential Unit Owner by blood, marriage or lawful adoption. "Related Party" includes the spouse, parent, parent-in-law, sibling, sibling-in-law, parent's sibling, and lineal descendant of the Residential Unit Owner.

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Renting or Leasing a Residential Unit means (1) granting a right to use or occupy a Residential Unit in exchange for receiving money or other goods or services of value and (2) allowing sole occupancy of a Residential Unit, regardless of whether money or other goods or services of value are received in exchange. Co-ownership of a Residential Unit is not Leasing. Co-habitation of a Residential Unit with its Owner is not Leasing unless the Owner has granted the co-habitant Occupant a right to use or occupy the Residential Unit in exchange for receiving money or other goods or services of value. Allowing a Related Party to occupy a Residential Unit is not Leasing. "Lease" and "Rent", when used as verbs, are synonymous.

Tenant means a person who is Leasing a Residential Unit. Synonyms for "Tenant" include "Renter" and "Lessee."

[T]he uses to which any Unit is restricted, as the phrase is used in Section 21.4 of the Declaration, means a restriction based on a land use classification of residential or non-residential, (such as those restrictions described in Sections 216(1)(e), 264(1), 268(1), 348(1), 352(8), 400(1), and 400(2) of the Washington Condominium Act).

B. Article 9, Section 9.3, of the Declaration is hereby deleted, and the following new provisions are added in its place.

9.3 Leases of Residential Units and Commercial Units. The Owner of a Commercial Unit may lease all or any portion of the Commercial Unit for any lawful purpose not prohibited by Section 9.2. The Leasing or Renting of a Residential Unit shall be governed by the provisions of this Section 9.3.

9.3.1 No Partial Leases. No Residential Unit Owner may Lease less then the entire Residential Unit.

9.3.2 No Transient Purposes. With the exception of a lender in possession of a Residential Unit following a default in a Mortgage, a Foreclosure proceeding or any deed or other arrangement in lieu of a Foreclosure, no Residential Unit Owner shall be permitted to Lease his Residential Unit for hotel or transient purposes which shall be defined as Leasing for any period less then thirty (30) days. A Lease shall have a minimum initial term of one (1) year. Time sharing of Residential Units is not allowed.

9.3.3 Written Leases. All Leases shall be in writing and be subject to the Governing Documents, such that a default by the Tenant in complying with the Governing Documents constitutes a default under the Lease. A Residential Unit Owner shall provide its Tenant with, and obtain the Tenant's written acknowledgement of receipt of, a complete set of the Governing Documents prior to commencement of the tenancy.

9.3.4 Rent to Association. If a Residential Unit is Leased by its Owner, and that Owner is more than thirty (30) days delinquent in payment of assessments or other costs to the Association, the Board may collect, and the Tenant shall pay over to the Board, so much of the rent for that Residential Unit as is required to pay any amounts due the Association. The Tenant shall not have the right to question payment over to the Board. The Tenant is discharged from his obligation to pay a Residential Unit Owner rent that the Tenant has paid over to the Board under this Section. The Association's receipt of rent under this Section shall not discharge the Residential Unit Owner from liability for any balance remaining after application of amount received to the Residential Unit Owner's account, nor shall it operate as an approval of the Lease. The Board may not exercise this power where a receiver has been appointed for the Residential Unit or its Owner, or in derogation of any rights which a Mortgagee of the Residential Unit may have to the rent.

9.3.5 Approval of Leases. Each Residential Unit Owner desiring to rent his Residential Unit shall submit for approval by the Board the Lease Agreement with the prospective Lessee. The Board shall approve such Lease Agreement provided that both the charge due the Association under Section 9.3.6.10 has been paid by the Residential Unit Owner, and the Board determines that the Lease Agreement satisfies the requirements of this Article of the Declaration.

9.3.6 Limitations on Leasing.

9.3.6.1 **Purpose**. Amending the Declaration to create these limitations on Leasing is the result of a careful weighing of the pros and cons of limiting the Leasing of Residential Units. These limitations derive from the conclusion that the long term best interests of the Condominium and of the Owners of the Residential Units that comprise it lay in limiting Leasing so as to advance the purposes of preserving and enhancing the value of the Condominium and of the individual Residential Units. That conclusion, in turn, was arrived at upon careful consideration of important underlying purposes and the relationship between Leasing and the achievement of those purposes. Factors which the Board and Owners weighed in the course of concluding that the Declaration should be amended to restrict Leasing include the following:

9.3.6.2 **Attributes Of Value**. Island Crossings, a Condominium, is a residential community featuring Residential Units, which are separately owned, and Common Elements, which are owned in common. The value of individual Residential Units, and of the Condominium, is a function of various internal and external factors, important among them the following:

1. The ability to sell a Residential Unit depends, in part, upon the availability of buyer financing which, in turn, is influenced by the existence and extent of Leasing activity in the Condominium as a whole;

2. The sense of community which is fostered by a shared common purpose, including a shared perspective that the Condominium is the shared residence of Owners (and not just an "investment" they hold in common);

3. The ability to self-govern, through management by a Board comprised of Owner-volunteers, and through the availability of a larger pool of potential candidates to serve on the Board than would otherwise be available; and

4. The ability to reside harmoniously in such close proximity depends, in part, upon a shared understanding of, and commitment to, the duties and obligations arising from the Governing Documents.

9.3.6.3 **Influence Of Leasing On Value.** The widespread Leasing of Residential Units is believed to conflict with the pursuit of achieving a stabilized community of owner-occupied dwelling Residential Units. The widespread Leasing of Residential Units, among other things, introduces occupancy of a more transient, less committed, nature which:

1. Contributes to a reluctance by lenders to make purchase money loans to potential buyers of Residential Units in condominiums with a significant number of investor-owned Residential Units;

2. Diminishes the sense of community which is fostered by a shared common purpose derived from the perception of shared ownership of a residence;

3. Diminishes the ability to self govern; and

4. Diminishes the self-regulatory benefits of a shared understanding of, and commitment to, the duties which the Governing Documents impose.

9.3.6.4 **Restriction On Leasing.** No Owner of a Residential Unit acquired after the date of the recording of this Amendment to the Declaration (the "Effective Date") may Lease the Residential Unit for one year after conveyance of the Residential Unit to the Owner, unless the Owner has, prior to Leasing the Residential Unit, requested and been granted a written Waiver of this restriction from the Board pursuant to Section 9.3.6.5 below. In addition, except as provided in Sections 9.3.6.5 through 9.3.6.7 below, no Owner of a Residential Unit may Lease the Residential Unit after the Effective Date if Leasing the Residential Unit would result in more than fifteen (15) Residential Units in the Condominium being Leased at the same time. No Owner shall concurrently own more than six (6) Residential Units. No Owner shall concurrently Lease more than one (1) Residential Unit.

9.3.6.5 **Authorization To Grant Waivers.** The Board may grant waivers of this Section 9.3.6.4 Restriction On Leasing for up to one year at a time ("a Waiver") where:

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1. The Section 9.3.6.4 Restriction On Leasing results in a substantial hardship, not of the Owner's own making, such that a waiver is warranted in view of the Owner's particular circumstances; or

2. An Owner's particular circumstances result in the Owner's temporary absence from a Residential Unit.

9.3.6.6 **Exemption For Existing Rental Residential Units**. This Section 9.3.6.4 Restriction On Leasing shall not apply to the current Owner of any Residential Unit that is being Leased on the Effective Date, as reflected on the list of such Residential Units attached to this Amendment as Exhibit A, so long as that Owner owns the Residential Unit or until that Owner becomes an Occupant of the Residential Unit.

9.3.6.7 **Exemption For Mortgagee In Possession.** A Mortgagee that acquires fee title to a Residential Unit may Lease its Residential Unit and shall, in so doing, comply with any rule adopted pursuant to Section 9.3.6.

9.3.6.8 **Use Of Waiting List**. If an Owner of a Residential Unit that is not exempt from this Restriction On Leasing under Section 9.3.6.6 desires to Lease the Residential Unit at a time when fifteen (15) or more Residential Units are being Leased, the Owner may place the Residential Unit on a first-come, first-served waiting list to be used when fewer than fifteen (15) Residential Units are being Leased. An Owner who is Leasing the Owner's Residential Unit shall, upon a Tenant's surrender of occupancy of the Residential Unit at the end the Lease, have up to sixty (60) days from the date occupancy was surrendered within which to commence a Lease of the Residential Unit to a different Tenant. (If the Owner does not intend to Lease the Residential Unit to a different Tenant, the Owner shall promptly notify the Board in writing that, as of a date specified in such notification, the Residential Unit will cease to be Leased.) If the Owner fails to Lease that Residential Unit to a Tenant within the sixty (60) day period, then the Owner's name shall be placed at the bottom of the waiting list. The Association shall then offer the Owner of the Residential Unit next in line on the waiting list sixty (60) days to Lease that Owner's Residential Unit. If that Owner (1) waives its right to Lease at that time by written notice to the Board or (2) fails to Lease that Owner's Residential Unit within the sixty (60) day period, then that Owner's name shall be placed at the bottom of the waiting list. This offer procedure shall then be repeated for the next Owner on the waiting list and shall be repeated until an Owner to whom the offer is extended Leases the Owner's Residential Unit within the allowed sixty (60) day period.

9.3.6.9 **Board Authorized To Regulate Leasing**. Leasing of Residential Units, to the extent permitted by Article 11, Section 9.3 of the Declaration, impacts the Association as described in Section 9.3.6.3. The Board is hereby authorized to adopt reasonable rules relating to and governing any and all aspects of the Leasing of Residential Units, so as to (1) minimize or manage the

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impact that Leasing has upon the effective and efficient management of the Association and (2) carry out the purposes expressed in Section 9.3.6.3. Rules which the Board is hereby authorized to create and enforce include, without limitation, rules:

1. Defining the meaning(s) of terms contained in the Governing Documents relating to the Leasing of Residential Units;
2. Requiring that Lessees be furnished with copies of the Association's Governing Documents; and
3. Requiring Tenant-screening, including, without limitation, establishing the nature of screening required, provided, however, that any such Tenant-screening rule shall (1) require that the Owner, and not the Association, shall be responsible for any required Tenant-screening and (2) provide that the Owner certify to the Association that any required Tenant-screening has been performed, but the Owner shall not be required to submit the results of such screening to the Association.

9.3.6.10 **Move-In Move-Out and Processing Fee.** Because a Leased Residential Unit experiences more frequent changes in occupancy than does an Owner-occupied Residential Unit, the Board may set a reasonable fee to cover move-in and/or move-out damage to the Common Elements and facilities and to cover Leasing related administrative costs. The Owner of the Leased Residential Unit shall pay the Association such fee prior to the Tenant's move-in.

9.3.6.11 **Liability for Damages and Misconduct.** An Owner is responsible for the conduct of its Tenant, Occupant, Related Party, guest, invitee and pet. An Owner is liable to the Association for damage and expenses the Association incurs as the result of misconduct by the Owner, Tenant, Occupant, Related Party, family, guest, invitee or pet. The charges for repair or replacement of any damage to the Condominium, the Common Elements, the Limited Common Elements or any Residential Unit in excess of actual insurance proceeds received by, or to be paid to, the Association under the Association's policies of insurance and the expenses the Association incurs as the result of any such misconduct shall (1) be specially assessed to the Residential Unit, (2) be a lien upon the Residential Unit, and (3) be a personal obligation of the Residential Unit Owner and of the Tenant or Occupant who engaged in the misconduct. A Residential Unit Owner shall include in any Lease with its Tenant a requirement that the Tenant obtain a renter's insurance policy and that the Tenant continue to carry such insurance policy for the duration of the tenancy.

9.3.6.12 **Enforcement Against Tenants.**

9.3.6.12.1 A Tenant or Non-Owner Occupant who, after notice and an opportunity to be heard by the Board, is determined to have violated the Governing Documents on two or more occasions may be evicted.

9.3.6.12.2 The Board shall notify the Owner, describe each violation and demand it be remedied within ten days. If the second or subsequent violation has not been remedied within the ten (10) days, the Owner shall immediately commence eviction proceedings.

9.3.6.12.3 If evicting a Tenant, the Owner shall do so through diligent prosecution of an unlawful detainer action. If evicting a Non-Owner Occupant, the Owner shall give notice terminating the tenancy-at-will and give the Non-Owner Occupant thirty (30) days to permanently vacate the Residential Unit, after which time any entry by the Non-Owner Occupant into the Residential Unit or on to the Property shall be a trespass.

9.3.6.12.4 If the Owner fails to commence eviction proceedings within ten (10) days of becoming obligated by this Article to evict, then the Board shall have the right, but not the duty, to evict the Tenant or Non-Owner Occupant as the Owner's attorney-in-fact. All Owners hereby irrevocably appoint the Association as their attorney-in-fact for purposes of performing evictions described in this Article.

9.3.6.12.5 Eviction by the Board shall be at the Owner's expense, including all attorney's fees actually incurred. The costs of the action, including attorney's fees, shall be a personal obligation of the Owner and of the Tenant or Non-Owner Occupant and shall also be an Assessment secured by a lien on the Residential Unit.

C. This Amendment to the Declaration shall take effect upon recording. The terms of this Amendment to the Declaration shall control over and implicitly amend any inconsistent provision of the Declaration or the Bylaws of the Association. Except as amended by this instrument, the Declaration shall remain in full force and effect.

Dated this 29 day of July, 2008.

ISLAND CROSSINGS OWNERS ASSOCIATION

By: Linda R Preston

President

STATE OF WASHINGTON)
)ss.
COUNTY OF KITSAP)

I certify that I know or have satisfactory evidence that Linda Preston is the person who appeared before me, and said person acknowledged that said person signed this instrument and acknowledged it to be said person's free and voluntary act for the uses and purposes mentioned in the instrument.

Dated this 29 day of July, 2008.

Laura E Harris

Notary Public in and for the State of Washington.
My Appointment expires 2-21-2010
Print/type name Laura Harris

EXHIBIT "A"

List of Units in Island Crossings, A Condominium being leased as of the Effective Date:

Unit #201	Unit #202	Unit #205	Unit #208
Unit #219	Unit #223	Unit #225	Unit #301
Unit #303	Unit #310	Unit #312	Unit #318
Unit #321	Unit #322	Unit #323	Unit #401
Unit #402	Unit #403	Unit #405	Unit #412
Unit #420	Unit #421	*Unit #414	

* Determination of Unit's exempt status still pending.

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Foster Pepper PLLC
Attention: Gary N. Ackerman
1111 Third Avenue, Suite 3400
Seattle, Washington 98101-3299

PACIFIC NW TITLE 200809240066
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"Said document(s) were filed for record by Pacific Northwest Title as accommodation only. It has not been examined as to proper execution or as to its effect upon title"

AMENDMENT NO. 2 TO CONDOMINIUM DECLARATION FOR ISLAND CROSSINGS, A CONDOMINIUM

Grantor/Declarant: BAINBRIDGE ISLAND COMMONS, LLC, a Washington limited liability company
Additional names on pg. N/A

Grantee: ISLAND CROSSINGS, A CONDOMINIUM
Additional names on pg. N/A

Legal Description: ISLAND CROSSINGS, A CONDOMINIUM, pursuant to Condominium Declaration recorded under Kitsap County Recording No. 200604200017

Assessor's Tax Parcel ID#: 8167-000-000-0002; 8167-000-100-0001; 8167-000-101-0000; 8167-000-102-0009; 8167-000-200-0000; 8167-000-201-0009; 8167-000-202-0008; 8167-000-203-0007; 8167-000-204-0006; 8167-000-205-0005; 8167-000-206-0004; 8167-000-208-0002; 8167-000-210-0008; 8167-000-212-0006; 8167-000-214-0004; 8167-000-216-0002; 8167-000-218-0000; 8167-000-219-0009; 8167-000-220-0006; 8167-000-221-0005; 8167-000-222-0004; 8167-000-223-0003; 8167-000-224-0002; 8167-000-225-0001; 8167-000-300-0009; 8167-000-301-0008; 8167-000-302-0007; 8167-000-303-0006; 8167-000-304-0005; 8167-000-305-0004; 8167-000-306-0003; 8167-000-308-0001; 8167-000-310-0007; 8167-000-312-0005; 8167-000-314-0003; 8167-000-316-0001; 8167-000-318-0009; 8167-000-319-0008; 8167-000-320-0005; 8167-000-321-0004; 8167-000-322-0003; 8167-000-323-0002; 8167-000-324-0001; 8167-000-325-0000; 8167-000-400-0008; 8167-000-401-0007; 8167-000-402-0006; 8167-000-403-0005; 8167-000-404-0004; 8167-000-405-0003; 8167-000-406-0002; 8167-000-408-0000; 8167-000-410-0006; 8167-000-412-0004; 8167-000-414-0002; 8167-000-416-0000; 8167-000-418-0008; 8167-000-419-0007; 8167-000-420-0004; 8167-000-421-0003; 8167-000-422-0002; 8167-000-423-0001; 8167-000-424-0000; 8167-000-425-0009

Reference # (if applicable): 200604200017; 200604200018; 200808150228
Additional numbers on pg. N/A

50939932.2

AMENDMENT NO. 2 TO CONDOMINIUM DECLARATION FOR
ISLAND CROSSINGS, A CONDOMINIUM

The undersigned Declarant of Island Crossings, a condominium created under Condominium Declaration recorded under Kitsap County Recorder's No. 200604200017, as amended by Amendment No. 1 thereto recorded under Kitsap County Recorder's No. 200808150228 (as amended, the "Declaration") and Survey Map and Plans filed under Kitsap County Recorder's No. 200604200018, (the "Survey Map and Plans"), desiring to assign parking to Units, hereby amends Schedule B to the Declaration, as attached hereto.

DATED: September 22, 2008.

BAINBRIDGE ISLAND COMMONS, LLC, a Washington limited liability company
By BIC MANAGEMENT, LLC, a Washington limited liability company, its Manager
By BASE CAPITAL, L.L.C., a Washington limited liability company, its Manager

By H. Thomas Wick
H. Thomas Wick, its Managing Member

STATE OF WASHINGTON)
) ss.
COUNTY OF KING)

I certify that I know or have satisfactory evidence that H. Thomas Wick signed this instrument, on oath stated that he was authorized to execute the instrument and acknowledged it as the Managing Member of BASE CAPITAL, L.L.C., a Washington limited liability company, the Manager of BIC MANAGEMENT, LLC, a Washington limited liability company, the manager of BAINBRIDGE ISLAND COMMONS, LLC, a Washington limited liability company, to be the free and voluntary act of such parties for the uses and purposes mentioned in the instrument.

Dated this 22 day of September, 2008.

GINA L. MINFIE
COMMISSION EXPIRES
NOTARY
PUBLIC
3-19-10
STATE OF WASHINGTON

Gina L. Minfie
(Signature of Notary)

Gina L. Minfie
(Legibly Print or Stamp Name of Notary)
Notary public in and for the state of Washington,
residing at Woodinville
My appointment expires 3-19-10

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SCHEDULE B

ISLAND CROSSINGS, A CONDOMINIUM

Unit Data; Allocated Interests; Parking

Unit	Unit Data*	Level(s)	Unit Area	Allocated Interests[1/]	Parking[2/]
100	N/A	1	481	1.025	74, 75, 76[/3]
101	N/A	1	445	0.948	77
102	N/A	1	462	0.984	74, 75, 76[/3]
200	2BR, 1BA	2	932	1.985	67
201	1BR, 1BA	2	686	1.461	59
202	1BR, 1BA	2	766	1.632	42
203	1BR, 1BA	2	691	1.472	34
204	1BR, 1BA	2	722	1.538	39, 49
205	1BR, 1BA	2	691	1.472	56, 64
206	2BR, 1BA	2	959	2.043	16
208	2BR, 1BA	2	972	2.071	36, 50
210	1BR, 1BA	2	671	1.429	14, 82
212	1BR, 1BA	2	671	1.429	24
214	1BR, 1BA	2	671	1.429	
216	2BR, 1BA	2	951	2.026	19
218	1BR, 1BA	2	702	1.495	26
219	1BR, 1BA	2	691	1.472	46, 55
220	1BR, 1BA	2	691	1.472	61
221	1BR, 1BA	2	691	1.472	60
222	1BR, 1BA	2	691	1.472	22
223	1BR, 1BA	2	691	1.472	13, 47
224	2BR, 1BA	2	950	2.024	
225	1BR, 1BA	2	726	1.547	30
300	2BR, 1BA	3	932	1.985	20, 51
301	1BR, 1BA	3	685	1.459	57, 63
302	1BR, 1BA	3	766	1.632	29, 52
303	1BR, 1BA	3	690	1.470	17
304	1BR, 1BA	3	722	1.538	53
305	1BR, 1BA	3	690	1.470	
306	2BR, 1BA	3	964	2.054	3, 45
308	2BR, 1BA	3	972	2.071	
310	1BR, 1BA	3	671	1.429	44
312	1BR, 1BA	3	671	1.429	9
314	1BR, 1BA	3	671	1.429	48
316	2BR, 1BA	3	951	2.026	8
318	1BR, 1BA	3	702	1.495	62
319	1BR, 1BA	3	690	1.470	
320	1BR, 1BA	3	691	1.472	72
321	1BR, 1BA	3	690	1.470	54
322	1BR, 1BA	3	691	1.472	38
323	1BR, 1BA	3	690	1.470	65

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Unit	Unit Data*	Level(s)	Unit Area	Allocated Interests[1/]	Parking[2/]
324	2BR, 1BA	3	949	2.022	58
325	1BR, 1BA	3	725	1.544	12
400	2BR, 1BA, F	4	921	1.962	15
401	1BR, 1BA	4	685	1.459	7
402	1BR, 1BA, F	4	755	1.608	32
403	1BR, 1BA	4	690	1.470	10
404	1BR, 1BA	4	711	1.515	69
405	1BR, 1BA	4	690	1.470	4
406	2BR, 1BA, F	4	953	2.030	18, 25
408	2BR, 1BA	4	961	2.047	1
410	1BR, 1BA	4	660	1.406	28
412	1BR, 1BA, F	4	660	1.406	33
414	1BR, 1BA	4	660	1.406	2
416	2BR, 1BA	4	951	2.026	6
418	1BR, 1BA	4	702	1.495	21
419	1BR, 1BA	4	690	1.470	
420	2BR, 1BA, F	4	691	1.472	11, 27
421	1BR, 1BA	4	690	1.470	43
422	1BR, 1BA	4	691	1.472	5
423	1BR, 1BA	4	690	1.471	
424	2BR, 1BA, F	4	949	2.023	31
425	1BR, 1BA	4	725	1.545	
TOTALS:			46,942	100.000	

* Legend:
- BR - bedroom
- BA - bathroom
- F - fireplace

[1/]Common Expense Liability, Interest in Common Elements and Voting based on relative area of Units.

[2/]Unassigned parking spaces 23, 35, 37, 40, 41, 66, 68, 70, 71, 73, and 78-81 will be assigned by amendment signed only by the Declarant.

[3/]Parking spaces 74, 75 and 76 are assigned jointly to Units 100 and 102.

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Foster Pepper PLLC
Attention: Gary N. Ackerman
1111 Third Avenue, Suite 3400
Seattle, Washington 98101-3299

PACIFIC NW TITLE 200903270143
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AMENDMENT NO. 3 TO CONDOMINIUM DECLARATION FOR ISLAND CROSSINGS, A CONDOMINIUM

Grantor/Declarant: BAINBRIDGE ISLAND COMMONS, LLC, a Washington limited liability company; ISLAND CROSSINGS OWNERS ASSOCIATION; MICHAEL J. McGOVERN and JANET M. McGOVERN; HALIN A. ZINDELL; and BARBARA A. FAY
Additional names on pg. N/A

Grantee: ISLAND CROSSINGS, A CONDOMINIUM; BAINBRIDGE ISLAND COMMONS, LLC, a Washington limited liability company; and ROBERT L. WHITT, JR.; JAMES RAYMOND CONROY; HALIN A. ZINDELL; and BARBARA A. FAY
Additional names on pg. N/A

Legal Description: ISLAND CROSSINGS, A CONDOMINIUM, pursuant to Condominium Declaration recorded under Kitsap County Recording No. 200604200017 SW, SW, 23-25-2E

Assessor's Tax Parcel ID#: 8167-000-201-0009; 8167-000-204-0006; 8167-000-214-0004; 8167-000-221-0005; 8167-000-223-0003; 8167-000-224-0002; 8167-000-305-0004; 8167-000-308-0001; 8167-000-319-0008; 8167-000-324-0001; 8167-000-419-0007; 8167-000-423-0001; 8167-000-425-0009

Reference # (if applicable): N/A

AMENDMENT NO. 3 TO CONDOMINIUM DECLARATION FOR ISLAND CROSSINGS, A CONDOMINIUM

Island Crossings, a condominium, was created under Condominium Declaration recorded under Kitsap County Recorder's No. 200604200017, as amended by Amendment Nos. 1 and 2 thereto recorded under Kitsap County Recorder's Nos. 200808150228 and 200809240066 (as amended, the "Declaration") and Survey Map and Plans filed under Kitsap County Recorder's No. 200604200018, (the "Survey Map and Plans").

The owners of Unit 223 and Unit 201, as evidenced by the Consents to Transfer of Parking Space attached hereto, have agreed to transfer parking space 13 from Unit 223 to Unit 201.

The Declarant desires to assign parking spaces to Units, to re-assign the previous assignments to Unit 204, Unit 224, and Unit 324, and to assign parking space 39 to Unit 221, with the approval of the owners of those units as evidenced by the Consents attached hereto.

By signing below the Declarant, as Declarant and as owner of Unit 224, consents to the transfer, assignments and re-assignments, and hereby amends Schedule B to the Declaration in its entirety as attached hereto.

This amendment has been approved by the Board of Island Crossings Owners Association.

DATED: March 9, 2009.

BAINBRIDGE ISLAND COMMONS, LLC, a Washington limited liability company
By BIC MANAGEMENT, LLC, a Washington limited liability company, its Manager
By BASE CAPITAL, L.L.C., a Washington limited liability company, its Manager

By H. Thomas Wick
H. Thomas Wick, its Managing Member

ISLAND CROSSINGS OWNERS ASSOCIATION

By Barbara Fay
Name Barbara Fay, President

50973636.1

STATE OF WASHINGTON)
) ss.
COUNTY OF KING)

I certify that I know or have satisfactory evidence that H. Thomas Wick signed this instrument, on oath stated that he was authorized to execute the instrument and acknowledged it as the Managing Member of BASE CAPITAL, L.L.C., a Washington limited liability company, the Manager of BIC MANAGEMENT, LLC, a Washington limited liability company, the manager of BAINBRIDGE ISLAND COMMONS, LLC, a Washington limited liability company, to be the free and voluntary act of such parties for the uses and purposes mentioned in the instrument.

Dated this 9th day of March, 2009.

JEANA M. MABIN
COMMISSION EXPIRES
NOTARY
PUBLIC
9-25-11
STATE OF WASHINGTON

Jeana M. Mabin
(Signature of Notary)

Jeana M. Mabin
(Legibly Print or Stamp Name of Notary)
Notary public in and for the state of Washington,
residing at Renton, WA
My appointment expires 9/25/2011

STATE OF WASHINGTON)
) ss.
COUNTY OF Kitsap)

I certify that I know or have satisfactory evidence that Barbara Fay signed this instrument, on oath stated that said person was authorized to execute the instrument and acknowledged it as the President of Island Crossings Owners Association, a Washington non-profit corporation, to be the free and voluntary act of such corporation for the uses and purposes mentioned in the instrument.

Dated this 13 day of March, 2009.

RACHEL L. SNELSON
NOTARY PUBLIC
STATE OF WASHINGTON
COMMISSION EXPIRES
JULY 9, 2012

Rachel L Snelson
(Signature of Notary)

Rachel L. Snelson
(Legibly Print or Stamp Name of Notary)
Notary public in and for the state of Washington,
residing at Poulsbo, WA
My appointment expires 7-9-12

50973636.1

ISLAND CROSSINGS, A CONDOMINIUM

CONSENT TO TRANSFER OF PARKING SPACE

The undersigned owners of Unit 223 hereby consent to an amendment to the Declaration transferring parking space 13 from Unit 223 to Unit 201, so that the parking space assigned to Unit 223 is 47.

Michael J. McGovern
Michael J. McGovern
deceased
Janet M. McGovern
Janet M. McGovern

STATE OF ~~WASHINGTON~~ South Carolina
COUNTY OF York
ss.

I certify that I know or have satisfactory evidence that Michael J. McGovern and Janet M. McGovern are the persons who appeared before me, and they acknowledged that they signed this instrument and acknowledged it to be their free and voluntary act for the uses and purposes mentioned in the instrument.

Dated this 9 day of March 2009.

Pamela Pickett
(Signature of Notary)

Pamela Pickett
(Legibly Print or Stamp Name of Notary)

Notary public in and for the state of ~~Washington~~ South Carolina, residing at 4090 Charlotte Hwy. Lake Wylie, SC 29710

My appointment expires My Commission Expires January 30, 2016

50973635.1

ISLAND CROSSINGS, A CONDOMINIUM

CONSENT TO TRANSFER OF PARKING SPACE

The undersigned owner of Unit 201 hereby consents to an amendment to the Declaration transferring parking space 13 from Unit 223 to Unit 201, so that the parking spaces assigned to Unit 201 are 13 and 59.

Robert L. Whitt Jr.

Robert L. Whitt, Jr.

HBK
NORTH CAROLINA
STATE OF ~~WASHINGTON~~)
) ss.
COUNTY OF AVERY)

I certify that I know or have satisfactory evidence that Robert L. Whitt, Jr. is the person who appeared before me, and he acknowledged that he signed this instrument and acknowledged it to be his free and voluntary act for the uses and purposes mentioned in the instrument.

Dated this 11 day of MARCH, 2009.

Harold B. Knepka

(Signature of Notary)

HAROLD B. KNEPKA

(Legibly Print or Stamp Name of Notary)

Notary public in and for the state of ~~Washington~~, NORTH CAROLINA residing

at 1409 BEECH MOUNTAIN PKWY BEECH MOUNTAIN, NC 28604

My appointment expires 11/1/2011

HAROLD B. KNEPKA NOTARY PUBLIC WATAUGA COUNTY

50973635.1

ISLAND CROSSINGS, A CONDOMINIUM

CONSENT TO ASSIGNMENT OF PARKING SPACE

The undersigned owner of Unit 221 hereby consents to an amendment to the Declaration assigning parking space 39 to Unit 221, so that the parking spaces assigned to Unit 221 are 39 and 60.

James Raymond Conroy

STATE OF WASHINGTON
COUNTY OF Kitsap
ss.

I certify that I know or have satisfactory evidence that James Raymond Conroy is the person who appeared before me, and he acknowledged that he signed this instrument and acknowledged it to be his free and voluntary act for the uses and purposes mentioned in the instrument.

Dated this 12 day of March, 2009.

(Signature of Notary)

Julie A Hohenstein
(Legibly Print or Stamp Name of Notary)

Notary public in and for the state of Washington, residing at Poulsbo

My appointment expires 7-25-12

JULIE A. HOHENSTEIN
NOTARY PUBLIC
STATE OF WASHINGTON
COMMISSION EXPIRES 07-25-12

ISLAND CROSSINGS, A CONDOMINIUM

CONSENT TO RE-ASSIGNMENT OF PARKING SPACES

The undersigned owner of Unit 204 hereby consents to an amendment to the Declaration re-assigning parking space 39 from Unit 204 to Unit 221 and parking space 49 from Unit 204 to the Declarant, and further consents to the assignment of parking spaces 66 and 81 to Unit 204.

Halin A. Zindell

STATE OF WASHINGTON
COUNTY OF Kitsap } ss.

I certify that I know or have satisfactory evidence that Halin A. Zindell is the person who appeared before me, and said person acknowledged that said person signed this instrument and acknowledged it to be said person's free and voluntary act for the uses and purposes mentioned in the instrument.

Dated this 26 day of March, 2009.

RACHEL L. SNELSON
NOTARY PUBLIC
STATE OF WASHINGTON
COMMISSION EXPIRES
JULY 9, 2012

Rachel L Snelson
(Signature of Notary)

Rachel L. Snelson
(Legibly Print or Stamp Name of Notary)

Notary public in and for the state of Washington, residing at Poulsbo

My appointment expires 7-9-12

ISLAND CROSSINGS, A CONDOMINIUM

CONSENT TO RE-ASSIGNMENT OF PARKING SPACES

The undersigned owner of Unit 324 hereby consents to an amendment to the Declaration re-assigning parking space 58 from Unit 324 to Unit 224 and further consents to the assignment of parking space 35 to Unit 324.

Barbara Fay

Barbara A. Fay

STATE OF WASHINGTON
COUNTY OF Kitsap
ss.

I certify that I know or have satisfactory evidence that Barbara A. Fay is the person who appeared before me, and she acknowledged that she signed this instrument and acknowledged it to be her free and voluntary act for the uses and purposes mentioned in the instrument.

Dated this 13 day of March, 2009.

Rachel L Snelson
(Signature of Notary)

RACHEL L. SNELSON
NOTARY PUBLIC
STATE OF WASHINGTON
COMMISSION EXPIRES
JULY 9, 2012

Rachel L Snelson
(Legibly Print or Stamp Name of Notary)

Notary public in and for the state of Washington, residing at Poulsbo

My appointment expires 7-9-12

SCHEDULE B

ISLAND CROSSINGS, A CONDOMINIUM

Unit Data; Allocated Interests; Parking

Unit	Unit Data*	Level(s)	Unit Area	Allocated Interests[1/]	Parking[2/]
100	N/A	1	481	1.025	74, 75, 76[/3]
101	N/A	1	445	0.948	77
102	N/A	1	462	0.984	74, 75, 76[/3]
200	2BR, 1BA	2	932	1.985	67
201	1BR, 1BA	2	686	1.461	13, 59
202	1BR, 1BA	2	766	1.632	42
203	1BR, 1BA	2	691	1.472	34
204	1BR, 1BA	2	722	1.538	66, 81
205	1BR, 1BA	2	691	1.472	56, 64
206	2BR, 1BA	2	959	2.043	16
208	2BR, 1BA	2	972	2.071	36, 50
210	1BR, 1BA	2	671	1.429	14, 82
212	1BR, 1BA	2	671	1.429	24
214	1BR, 1BA	2	671	1.429	23
216	2BR, 1BA	2	951	2.026	19
218	1BR, 1BA	2	702	1.495	26
219	1BR, 1BA	2	691	1.472	46, 55
220	1BR, 1BA	2	691	1.472	61
221	1BR, 1BA	2	691	1.472	39, 60
222	1BR, 1BA	2	691	1.472	22
223	1BR, 1BA	2	691	1.472	47
224	2BR, 1BA	2	950	2.024	58
225	1BR, 1BA	2	726	1.547	30
300	2BR, 1BA	3	932	1.985	20, 51
301	1BR, 1BA	3	685	1.459	57, 63
302	1BR, 1BA	3	766	1.632	29, 52
303	1BR, 1BA	3	690	1.470	17
304	1BR, 1BA	3	722	1.538	53
305	1BR, 1BA	3	690	1.470	37
306	2BR, 1BA	3	964	2.054	3, 45
308	2BR, 1BA	3	972	2.071	68
310	1BR, 1BA	3	671	1.429	44
312	1BR, 1BA	3	671	1.429	9
314	1BR, 1BA	3	671	1.429	48
316	2BR, 1BA	3	951	2.026	8
318	1BR, 1BA	3	702	1.495	62
319	1BR, 1BA	3	690	1.470	73
320	1BR, 1BA	3	691	1.472	72
321	1BR, 1BA	3	690	1.470	54
322	1BR, 1BA	3	691	1.472	38
323	1BR, 1BA	3	690	1.470	65

Unit	Unit Data*	Level(s)	Unit Area	Allocated Interests[1/]	Parking[2/]
324	2BR, 1BA	3	949	2.022	35
325	1BR, 1BA	3	725	1.544	12
400	2BR, 1BA, F	4	921	1.962	15
401	1BR, 1BA	4	685	1.459	7
402	1BR, 1BA, F	4	755	1.608	32
403	1BR, 1BA	4	690	1.470	10
404	1BR, 1BA	4	711	1.515	69
405	1BR, 1BA	4	690	1.470	4
406	2BR, 1BA, F	4	953	2.030	18, 25
408	2BR, 1BA	4	961	2.047	1
410	1BR, 1BA	4	660	1.406	28
412	1BR, 1BA, F	4	660	1.406	33
414	1BR, 1BA	4	660	1.406	2
416	2BR, 1BA	4	951	2.026	6
418	1BR, 1BA	4	702	1.495	21
419	1BR, 1BA	4	690	1.470	80
420	2BR, 1BA, F	4	691	1.472	11, 27
421	1BR, 1BA	4	690	1.470	43
422	1BR, 1BA	4	691	1.472	5
423	1BR, 1BA	4	690	1.471	41
424	2BR, 1BA, F	4	949	2.023	31
425	1BR, 1BA	4	725	1.545	40
TOTALS:			46,942	100.000	

* Legend:
BR - bedroom
BA - bathroom
F - fireplace

[1/]Common Expense Liability, Interest in Common Elements and Voting based on relative area of Units.

[2/]Unassigned parking spaces 49, 70, 71, 78 and 79 will be assigned by amendment signed only by the Declarant.

[3/]Parking spaces 74, 75 and 76 are assigned jointly to Units 100 and 102.

Foster Pepper PLLC
Attention: Gary N. Ackerman
1111 Third Avenue, Suite 3400
Seattle, Washington 98101-3299

PACIFIC NW TITLE 201112290171
Amended Declaration Rec Fee: $ 65.00
12/29/2011 01:23 PM Page: 1 of 4
Walter Washington, Kitsap Co Auditor

AMENDMENT NO. 4 TO CONDOMINIUM DECLARATION FOR
ISLAND CROSSINGS, A CONDOMINIUM

Grantor/Declarant: BAINBRIDGE ISLAND COMMONS, LLC, a Washington limited liability company
Additional names on pg. N/A

Grantee: ISLAND CROSSINGS, A CONDOMINIUM; and BAINBRIDGE ISLAND COMMONS, LLC, a Washington limited liability company
Additional names on pg. N/A

Legal Description: ISLAND CROSSINGS, A CONDOMINIUM, pursuant to Condominium Declaration recorded under Kitsap County Recording No. 200604200017

Assessor's Tax Parcel ID#: 8167-000-201-0009; 8167-000-204-0006; 8167-000-214-0004; 8167-000-221-0005; 8167-000-223-0003; 8167-000-224-0002; 8167-000-305-0004; 8167-000-308-0001; 8167-000-319-0008; 8167-000-324-0001; 8167-000-419-0007; 8167-000-423-0001; 8167-000-425-0009

Reference # (if applicable): ~~N/A~~ 200604200017

AMENDMENT NO. 4 TO CONDOMINIUM DECLARATION FOR
ISLAND CROSSINGS, A CONDOMINIUM

Island Crossings, a condominium, was created under Condominium Declaration recorded under Kitsap County Auditor's No. 200604200017, as amended by Amendment Nos. 1, 2 and 3 thereto recorded under Kitsap County Auditor's Nos. 200808150228, 200809240066 and 200903270143, respectively (as amended, the "Declaration") and Survey Map and Plans filed under Kitsap County Recorder's No. 200604200018, (the "Survey Map and Plans").

The Declarant has agreed to assign a previously unassigned parking space to a unit in connection with the sale of that unit. Accordingly, the Declarant hereby amends Schedule B to the Declaration in order to assign Parking Space 71 to Unit 319, as attached hereto.

DATED: December 21, 2011.

BAINBRIDGE ISLAND COMMONS, LLC, a
Washington limited liability company
By BIC MANAGEMENT, LLC, a Washington limited
liability company, its Manager

By Kim Faust
Kim Faust, its Manager

STATE OF WASHINGTON)
) ss.
COUNTY OF KING)

I certify that I know or have satisfactory evidence that Kim Faust signed this instrument, on oath stated that she was authorized to execute the instrument and acknowledged it as the Manager of BIC MANAGEMENT, LLC, a Washington limited liability company, the Manager of BAINBRIDGE ISLAND COMMONS, LLC, a Washington limited liability company, to be the free and voluntary act of such parties for the uses and purposes mentioned in the instrument.

Dated this 21st day of December, 2011.

JEANA M. MABIN
NOTARY PUBLIC
STATE OF WASHINGTON
COMMISSION EXPIRES
SEPTEMBER 25, 2015

Jeana M. Mabin
(Signature of Notary)
Jeana M. Mabin
(Legibly Print or Stamp Name of Notary)
Notary public in and for the state of Washington,
residing at Renton, WA
My appointment expires 9/25/2015

SCHEDULE B

ISLAND CROSSINGS, A CONDOMINIUM

Unit Data; Allocated Interests; Parking

Unit	Unit Data*	Level(s)	Unit Area	Allocated Interests[1/]	Parking[2/]
100	N/A	1	481	1.025	74, 75, 76[/3]
101	N/A	1	445	0.948	77
102	N/A	1	462	0.984	74, 75, 76[/3]
200	2BR, 1BA	2	932	1.985	67
201	1BR, 1BA	2	686	1.461	13, 59
202	1BR, 1BA	2	766	1.632	42
203	1BR, 1BA	2	691	1.472	34
204	1BR, 1BA	2	722	1.538	66, 81
205	1BR, 1BA	2	691	1.472	56, 64
206	2BR, 1BA	2	959	2.043	16
208	2BR, 1BA	2	972	2.071	36, 50
210	1BR, 1BA	2	671	1.429	14, 82
212	1BR, 1BA	2	671	1.429	24
214	1BR, 1BA	2	671	1.429	23
216	2BR, 1BA	2	951	2.026	19
218	1BR, 1BA	2	702	1.495	26
219	1BR, 1BA	2	691	1.472	46, 55
220	1BR, 1BA	2	691	1.472	61
221	1BR, 1BA	2	691	1.472	39, 60
222	1BR, 1BA	2	691	1.472	22
223	1BR, 1BA	2	691	1.472	47
224	2BR, 1BA	2	950	2.024	58
225	1BR, 1BA	2	726	1.547	30
300	2BR, 1BA	3	932	1.985	20, 51
301	1BR, 1BA	3	685	1.459	57, 63
302	1BR, 1BA	3	766	1.632	29, 52
303	1BR, 1BA	3	690	1.470	17
304	1BR, 1BA	3	722	1.538	53
305	1BR, 1BA	3	690	1.470	37
306	2BR, 1BA	3	964	2.054	3, 45
308	2BR, 1BA	3	972	2.071	68
310	1BR, 1BA	3	671	1.429	44
312	1BR, 1BA	3	671	1.429	9
314	1BR, 1BA	3	671	1.429	48
316	2BR, 1BA	3	951	2.026	8
318	1BR, 1BA	3	702	1.495	62
319	1BR, 1BA	3	690	1.470	71, 73
320	1BR, 1BA	3	691	1.472	72
321	1BR, 1BA	3	690	1.470	54
322	1BR, 1BA	3	691	1.472	38
323	1BR, 1BA	3	690	1.470	65

Unit	Unit Data*	Level(s)	Unit Area	Allocated Interests[1/]	Parking[2/]
324	2BR, 1BA	3	949	2.022	35
325	1BR, 1BA	3	725	1.544	12
400	2BR, 1BA, F	4	921	1.962	15
401	1BR, 1BA	4	685	1.459	7
402	1BR, 1BA, F	4	755	1.608	32
403	1BR, 1BA	4	690	1.470	10
404	1BR, 1BA	4	711	1.515	69
405	1BR, 1BA	4	690	1.470	4
406	2BR, 1BA, F	4	953	2.030	18, 25
408	2BR, 1BA	4	961	2.047	1
410	1BR, 1BA	4	660	1.406	28
412	1BR, 1BA, F	4	660	1.406	33
414	1BR, 1BA	4	660	1.406	2
416	2BR, 1BA	4	951	2.026	6
418	1BR, 1BA	4	702	1.495	21
419	1BR, 1BA	4	690	1.470	80
420	2BR, 1BA, F	4	691	1.472	11, 27
421	1BR, 1BA	4	690	1.470	43
422	1BR, 1BA	4	691	1.472	5
423	1BR, 1BA	4	690	1.471	41
424	2BR, 1BA, F	4	949	2.023	31
425	1BR, 1BA	4	725	1.545	40
TOTALS:			46,942	100.000	

* Legend:
BR - bedroom
BA - bathroom
F - fireplace

[1/]Common Expense Liability, Interest in Common Elements and Voting based on relative area of Units.

[2/]Unassigned parking spaces 49, 70, 78 and 79 will be assigned by amendment signed only by the Declarant.

[3/]Parking spaces 74, 75 and 76 are assigned jointly to Units 100 and 102.

Foster Pepper PLLC
Attention: Gary N. Ackerman
1111 Third Avenue, Suite 3400
Seattle, Washington 98101-3299
C/M # 200155-1

PACIFIC NW TITLE 201205290017
Amended Declaration Rec Fee: $ 67.00
05/29/2012 08:23 AM Page: 1 of 6
Walter Washington, Kitsap Co Auditor

AMENDMENT NO. 5 TO CONDOMINIUM DECLARATION FOR ISLAND CROSSINGS, A CONDOMINIUM

Grantors:	BAINBRIDGE ISLAND COMMONS, LLC, a Washington limited liability company, Declarant; and MICHAEL A. HAUSLE and CAROL J. HAUSLE, husband and wife Additional names on pg. N/A
Grantee:	ISLAND CROSSINGS, A CONDOMINIUM; ISLAND CROSSINGS OWNERS ASSOCIATION, a Washington nonprofit corporation; MICHAEL A. HAUSLE and CAROL J. HAUSLE, husband and wife; JAMES B. HOLCOMB; and LYNDA R. WILLIAMS Additional names on pg. N/A
Legal Description:	ISLAND CROSSINGS, A CONDOMINIUM, pursuant to Condominium Declaration recorded under Kitsap County Recording No. 200604200017
Assessor's Tax Parcel ID#:	8167-000-224-0002; 8167-000-308-0001; 8167-000-416-0000

Reference # (if applicable): 200604200017

"Said document(s) were filed for record by Pacific Northwest Title as accommodation only. It has not been examined as to proper execution or as to its effect upon title"

AMENDMENT NO. 5 TO CONDOMINIUM DECLARATION FOR
ISLAND CROSSINGS, A CONDOMINIUM

Island Crossings, a condominium, was created under Condominium Declaration recorded under Kitsap County Auditor's No. 200604200017, as amended by Amendment Nos. 1, 2, 3 and 4 thereto recorded under Kitsap County Auditor's Nos. 200808150228, 200809240066, 200903270143, and 201112290171, respectively (the "Declaration"), and Survey Map and Plans filed under Kitsap County Recorder's No. 200604200018 (the "Survey Map and Plans").

The Association, by signing below, and the owners of Unit 224, as evidenced by the Consent to Re-Assignment of Parking Space attached hereto, have agreed to re-assign parking space 58 from Unit 224 to the Association.

The Declarant, with the consent of the Board of Island Crossings Owners Association (the "Association"), desires to exercise its Development Rights to assign previously unassigned parking spaces 78 and 79 to Unit 224, 70 to Unit 308, and 49 to Unit 416.

Accordingly, Schedule B of the Declaration is amended in its entirety as attached hereto.

DATED: april 25, 2012.

BAINBRIDGE ISLAND COMMONS, LLC, a
Washington limited liability company
By BIC MANAGEMENT, LLC, a
Washington limited liability company, its
Managing Member

By Kim Faust
Kim Faust, its Managing Member

ISLAND CROSSINGS OWNERS
ASSOCIATION

By [signature]
Name Glen D. Tyrrell
President

[Acknowledgements Follow]

STATE OF WASHINGTON)
) ss.
COUNTY OF KING)

I certify that I know or have satisfactory evidence that Kim Faust signed this instrument, on oath stated that she was authorized to execute the instrument and acknowledged it as the Managing Member of BIC MANAGEMENT, LLC, a Washington limited liability company, the Managing Member of BAINBRIDGE ISLAND COMMONS, LLC, a Washington limited liability company, to be the free and voluntary act of such parties for the uses and purposes mentioned in the instrument.

Dated this 25th day of April, 2012.

LAURA E HARRIS NOTARY Feb 22 2014 PUBLIC STATE OF WASHINGTON

Laura E. Harris
(Signature of Notary)

Laura E. Harris
(Legibly Print or Stamp Name of Notary)
Notary public in and for the state of Washington,
residing at Poulsbo, WA 98110
My appointment expires 2-22-2014

STATE OF WASHINGTON)
) ss.
COUNTY OF Kitsap)

I certify that I know or have satisfactory evidence that Glen Tyrrell signed this instrument, on oath stated that he/she was authorized to execute the instrument and acknowledged it as the President of ISLAND CROSSINGS OWNERS ASSOCIATION, a Washington nonprofit corporation, to be the free and voluntary act of such corporation for the uses and purposes mentioned in the instrument.

Dated this 18 day of May, 2012.

Tamara S Dodge
(Signature of Notary)

TAMARA S DODGE NOTARY Jan 5 2014 PUBLIC STATE OF WASHINGTON

Tamara S. Dodge
(Legibly Print or Stamp Name of Notary)
Notary public in and for the state of Washington,
residing at Poulsbo, WA
My appointment expires Jan 5, 2014

ISLAND CROSSINGS, A CONDOMINIUM

CONSENT TO RE-ASSIGNMENT OF PARKING SPACE

The undersigned owners of Unit 224 hereby consent to an amendment of the Declaration that re-assigns parking space 58 from Unit 224 to Island Crossings Owners Association and assigns parking spaces 78 and 79 to Unit 224. Accordingly, the parking spaces assigned to Unit 224 are 78 and 79.

Michael A. Hausle

Michael A. Hausle

Carol J. Hausle

Carol J. Hausle

STATE OF WASHINGTON
COUNTY OF Kitsap
ss.

I certify that I know or have satisfactory evidence that Michael A. Hausle and Carol J. Hausle are the persons who appeared before me, and they acknowledged that they signed this instrument and acknowledged it to be their free and voluntary act for the uses and purposes mentioned in the instrument.

Dated this 17 day of May, 2012.

Tamara S Dodge
(Signature of Notary)

Tamara S. Dodge
(Legibly Print or Stamp Name of Notary)

Notary public ~~in~~ and for the state of Washington,
residing at Poulsbo

My appointment expires January 5, 2014

TAMARA S DODGE
NOTARY
Jan 5 2014
PUBLIC
STATE OF WASHINGTON

SCHEDULE B

ISLAND CROSSINGS, A CONDOMINIUM

Unit Data; Allocated Interests; Parking

Unit	Unit Data*	Level(s)	Unit Area	Allocated Interests[1/]	Parking[2/]
100	N/A	1	481	1.025	74, 75, 76[/3]
101	N/A	1	445	0.948	77
102	N/A	1	462	0.984	74, 75, 76[/3]
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201	1BR, 1BA	2	686	1.461	13, 59
202	1BR, 1BA	2	766	1.632	42
203	1BR, 1BA	2	691	1.472	34
204	1BR, 1BA	2	722	1.538	66, 81
205	1BR, 1BA	2	691	1.472	56, 64
206	2BR, 1BA	2	959	2.043	16
208	2BR, 1BA	2	972	2.071	36, 50
210	1BR, 1BA	2	671	1.429	14, 82
212	1BR, 1BA	2	671	1.429	24
214	1BR, 1BA	2	671	1.429	23
216	2BR, 1BA	2	951	2.026	19
218	1BR, 1BA	2	702	1.495	26
219	1BR, 1BA	2	691	1.472	46, 55
220	1BR, 1BA	2	691	1.472	61
221	1BR, 1BA	2	691	1.472	39, 60
222	1BR, 1BA	2	691	1.472	22
223	1BR, 1BA	2	691	1.472	47
224	2BR, 1BA	2	950	2.024	78, 79
225	1BR, 1BA	2	726	1.547	30
300	2BR, 1BA	3	932	1.985	20, 51
301	1BR, 1BA	3	685	1.459	57, 63
302	1BR, 1BA	3	766	1.632	29, 52
303	1BR, 1BA	3	690	1.470	17
304	1BR, 1BA	3	722	1.538	53
305	1BR, 1BA	3	690	1.470	37
306	2BR, 1BA	3	964	2.054	3, 45
308	2BR, 1BA	3	972	2.071	68, 70
310	1BR, 1BA	3	671	1.429	44
312	1BR, 1BA	3	671	1.429	9
314	1BR, 1BA	3	671	1.429	48
316	2BR, 1BA	3	951	2.026	8
318	1BR, 1BA	3	702	1.495	62
319	1BR, 1BA	3	690	1.470	71, 73
320	1BR, 1BA	3	691	1.472	72
321	1BR, 1BA	3	690	1.470	54
322	1BR, 1BA	3	691	1.472	38
323	1BR, 1BA	3	690	1.470	65

Unit	Unit Data*	Level(s)	Unit Area	Allocated Interests[1/]	Parking[2/]
324	2BR, 1BA	3	949	2.022	35
325	1BR, 1BA	3	725	1.544	12
400	2BR, 1BA, F	4	921	1.962	15
401	1BR, 1BA	4	685	1.459	7
402	1BR, 1BA, F	4	755	1.608	32
403	1BR, 1BA	4	690	1.470	10
404	1BR, 1BA	4	711	1.515	69
405	1BR, 1BA	4	690	1.470	4
406	2BR, 1BA, F	4	953	2.030	18, 25
408	2BR, 1BA	4	961	2.047	1
410	1BR, 1BA	4	660	1.406	28
412	1BR, 1BA, F	4	660	1.406	33
414	1BR, 1BA	4	660	1.406	2
416	2BR, 1BA	4	951	2.026	6, 49
418	1BR, 1BA	4	702	1.495	21
419	1BR, 1BA	4	690	1.470	80
420	2BR, 1BA, F	4	691	1.472	11, 27
421	1BR, 1BA	4	690	1.470	43
422	1BR, 1BA	4	691	1.472	5
423	1BR, 1BA	4	690	1.471	41
424	2BR, 1BA, F	4	949	2.023	31
425	1BR, 1BA	4	725	1.545	40
TOTALS:			46,942	100.000	

* Legend:
- BR - bedroom
- BA - bathroom
- F - fireplace

[1/]Common Expense Liability, Interest in Common Elements and Voting based on relative area of Units.

[2/]Parking space 58 is assigned to the Association as a Common Element.

[3/]Parking spaces 74, 75 and 76 are assigned jointly to Units 100 and 102.

ISLAND CROSSING 201702160077
Amended Declaration Rec Fee: $ 87.00
02/16/2017 10:21 AM
Dolores Gilmore, Kitsap Co Auditor

After recording, please return to:
Ken Strauss
Flanagan Strauss, PLLC
16301 NE 8th St., Suite 271
Bellevue, WA 98008

Document Title:	Sixth Amendment to Condominium Declaration for Island Crossings, a Condominium
Reference Numbers of Related Documents:	200604200018 (Survey Map and Plans); 200604200017 (Condominium Declaration for Island Crossings, a Condominium) ; 200808150228(Amendment No. 1); 200809240066(Amendment No. 2); 200903270143(Amendment No. 3); 200112290171(Amendment No. 4); 201205290017(Amendment No. 5)
Grantor(s:)	Island Crossings Owners Association
Grantee(s):	Island Crossings Owners Association
Legal Description (abbreviated):	Island Crossings, a Condominium, as established by the Condominium Declaration for Island Crossings, a Condominium, Kitsap County Recorder No. 200604200017
Assessor's Parcel No.:	Assessor's Tax Parcel IDs#: 8167-000 (Master Number), and the following Unit Numbers: 200-0000 201-0009 100-0001 101-0000 102-0009 000-0002 208-0002 205-0005 206-0004 202-0008 203-0007 204-0006 216-0002 218-0000 219-0009 210-0008 212-0006 214-0004 000-0002 202-0008 210-0008 220-0006 300-0009 306-0003 318-0009 324-0001 404-0004 414-0002 422-0002 100-0001 203-0007 212-0006 221-0005 301-0008 308-0001 319-0008 325-0000 405-0003 416-0000 423-0001 101-0000 204-0006 214-0004 222-0004 302-0007 310-0007 320-0005 400-0008 406-0002 418-0008 424-0000 102-0009 205-0005 216-0002 223-0003 303-0006 312-0005 321-0004 401-0007 408-0000 419-0007 425-0009 200-0000 206-0004 218-0000 224-0002 304-0005 314-0003 322-0003 402-0006 410-0006 420-0004 201-0009 208-0002 219-0009 225-0001 305-0004 316-0001 323-0002 403-0005 412-0004 421-0003

SIXTH AMENDMENT TO CONDOMINIUM DECLARATION FOR ISLAND CROSSINGS, A CONDOMINIUM

Whereas a certain Declaration submitting real estate to the Washington Condominium Act, Laws of 1989, Chapter 43, (RCW 64.34, *et seq.*), as amended, entitled Condominium Declaration for Island Crossings, a Condominium, (the "Declaration"), was recorded April 20, 2006, in the office of the Kitsap County Recorder, Kitsap County, Washington, under recording number 200604200017 and subsequently amended, along with a Survey Map and Plans, recorded at 200604200018, and any amendments thereto. And whereas under the provisions of Article 25 of the Declaration it may be amended; and

Whereas, pursuant to Paragraph 25.1 of the Declaration, owners of units allocated at least sixty-seven percent (67%) of the votes in the Association have voted for or agreed to the amendment of the Declaration as hereinafter set forth; and

Now, therefore, the undersigned do hereby certify that the Declaration has been amended as follows:

A. Article 1, Section 1.1is hereby amended as follows:

<u>[T]he uses to which any Unit is restricted</u> means a restriction based on a land use classification of residential or non-residential, (such as those restrictions described in Sections 216(1)(e), 264(1), 268(1), 348(1), 352(8), 400(1), and 400(2) of the Washington Condominium Act).

B. Section 9.2.1 is hereby deleted and a new Section 9.2.1 inserted in its places as follows:

9.2.1 The Commercial Units shall not be used for conducting: food processing (except as used in conjunction with other permitted uses); manufacturing activities; medical laboratory; wholesale or retail sales of pornographic literature, photographs or movies; card room; dance hall, pool hall; video arcade or other similar form of amusement center; musical school or studio; adult motion picture theater; laundry; dry-cleaning, dyeing or rug cleaning plant; jail; hotel, apartment hotel and motel; taxidermy shop; retail pet shop or animal clinic; work release center; drug rehabilitation center or social service agency; retail marijuana sales or marijuana dispensary.

C. Section 9.2.3 is hereby deleted and a new Section 9.2.3 inserted in its places as follows:

9.2.3 The Owner of a Commercial Unit shall not allow or permit any continuing vibration ("Vibration") or any offensive or obnoxious and continuing noise ("Noise") or any offensive or obnoxious and continuing odor ("Odor") to emanate from the Unit into the Residential Units, nor shall the Owner allow or permit any machine or other installation therein to constitute a nuisance or otherwise to unreasonably interfere with the safety or comfort of any of the Owners of other Units. Upon the failure of the Owner of the Commercial Unit to remedy Vibration, Noise or

Odor after Notice and Opportunity to be Heard, the Board may at its option either: (1) cure such condition at the Owner's cost and expense; or (2) pursue any other available legal or equitable remedy. Construction, remodeling and maintenance of the Commercial Unit and activities reasonably necessary to accomplish the same shall not be deemed to be Vibration, Noise or Odor within the meaning of this subsection. Conditions in existence at the time of purchase of any Residential Unit shall not be deemed to be Vibration, Noise or Odor within the meaning of this subsection.

D. Section 9.3.2 (Amendment No. 1) is hereby deleted and a new Section 9.3.2 inserted in its places as follows:

9.3.2 No Residential Unit Owner shall be permitted to Lease his Residential Unit for hotel or transient purposes which shall be defined as Leasing for any period less than thirty (30) days. A Lease shall have a minimum initial term of one (1) year. Time sharing of Residential Units is not allowed. Air B&B, Vacation Rentals by Owner, and other similar types of short-term occupancy are prohibited by this Section.

E. Section 9.4 is hereby deleted and a new Section 9.4 inserted in its place as follows:

9.4 Maintenance of Units, Common Elements, and Limited Colnmon Elements; Association Records. Except as provided below, the Association is responsible for maintenance, repair, and replacement of the Common Elements and the Limited Common Elements, and each Owner is responsible for maintenance, repair and replacement of the Owner's Unit. Costs shall be allocated to the Unit Owners pursuant to Section 15.6. Each Owner shall, at the Owner's sole expense, keep the interior of the Owner's Unit and its equipment, appliances, and appurtenances in a clean and sanitary condition, free of rodents and pests, and in good order, condition, and repair and shall do all redecorating and painting at any time necessary to maintain the good appearance and condition of the Unit. Each Owner shall keep the Limited Common Elements allocated to the Owner's Unit in a neat and clean condition in accordance with such rules and regulations as may be adopted by the Association. Each Owner shall replace any broken or damaged glass in the windows, glass doors or exterior doors of the Unit, including replacement of failed thermopane seals in such windows. Each Owner shall be responsible for the maintenance, repair, or replacement of any plumbing fixtures, water heater, air conditioning unit, deck drains, fireplace, fireplace flue, fans, heating or other equipment which serve only that Unit, whether or not located in the Unit. The Association shall be responsible for washing the exterior of the windows of the Residential Units and shall assess the cost against the Owners of the Residential Units in proportion to their Common Expense Liability, as provided in Section 15.6; and the Owners of the Commercial Units shall be responsible for washing the windows of their respective Units. The Owners of the Commercial Units shall be responsible for all costs of installation, maintenance, repair and replacement of signage for the businesses conducted within their respective Units and for repairing any damage to the Common Elements resulting therefrom. The Association, the Managing Agent, and their agents or employees may enter a Unit and the Limited Common Elements allocated thereto to inspect and to effect repairs, improvements, replacements, maintenance or sanitation work deemed by the Board to be necessary in the performance of its duties, to do work that the Owner has failed to perform in violation of this Declaration, to prevent damage to the Common Elements or to another Unit, or to prevent unnecessary Common Expenses. Except in cases of emergency, the Board shall cause the Unit Owner to be given notice in advance of entry as is reasonably practicable. If the Board determines there is a need to repair or replace a portion of a Unit or Limited Common Element, the Association may either require the owner to make the repair or replacement, or may make the repair or replacement itself and allocate the cost to the Owner. The Board may levy a special assessment against the Owner of the Unit for all or a part of such sums, which may be collected and foreclosed by the Association in the same manner as assessments are collected and foreclosed under this Declaration.

F. Section 9.7 is hereby deleted and a new Section 9.7 inserted in its place as follows:

9.7 Effect on Insurance. Owners shall not permit anything to be done or kept in the Units or Common Elements (including the Limited Common Elements) which will result in the cancellation of insurance on any part of the Condominium, or would be in violation of any applicable laws or regulations, without the consent of the Board of Directors. Subject to the Declaration, a Unit Owner may use his or her Unit or the Limited Common Elements allocated to it in a manner which may increase the insurance premiums for the Condominium, but the Board of Directors may, in its reasonable discretion, allocate the cost of such increase in insurance premiums to such Unit Owner. Owners shall immediately report any betterment or improvement in excess of $10,000 to the Board of Directors.

G. Section 9.9 is hereby deleted and a new Section 9.9 inserted in its place as follows:

9.9 Signs. No sign of any kind shall be displayed to the public view on or from any Unit, Limited Common Element, or Common Element without the prior written consent of the Board. The Board of Directors may adopt reasonable rules relating to the display of "For Sale," "For Rent," and political signs during election periods. Advertising shall not be permitted from any Unit or on any Common Elements or Limited Common Element, including, but not limited to, decks, windows or doors; provided that the Board may erect, on the Common Elements, a master directory listing Units that are for sale or lease.

H. Section 9.10 is hereby deleted and a new Section 9.10 inserted in its place as follows:

9.10 Pets. Pets may be kept in the Units subject to reasonable rules and regulations adopted by the Board. The Board may establish a reasonable annual fee to offset costs relating to animals of all kinds, including pets and service animals. The Board may at any time require the removal of any pet which it finds is disturbing other Unit Owners unreasonably, and may exercise this authority for specific pets even though other pets are permitted to remain. The Owner of any animal shall be responsible for any damage to person or property caused by the animal and shall indemnify and hold the Association and the Board harmless from any and all liability arising from or caused by the animal. Pets are allowed on common elements only while leashed, in a carrier, or held.

I. Section 9.11 is hereby deleted and a new Section 9.11 inserted in its place as follows:

9.11 Quiet Enjoyment. No Owner shall permit anything to be done or kept in the Owner's Unit, Limited Common Elements, or Common Elements that would interfere with the right of quiet enjoyment of the other residents of the Condominium. In particular, sound system loudspeakers shall not be rigidly attached to the party wall with another Unit or the ceilings, walls, shelves, or cabinets in a Unit in a manner that will induce vibrations into the structure of the building. Reasonable noise transmitted due to normal day to day activities shall not be considered to be a violation of this provision.

J. Article 10 is hereby deleted in its entirety.

K. Article 11 is hereby deleted and a new Article 11 inserted in its place as follows:

The Association and its agents or employers may enter any Unit and the Limited Common Elements allocated thereto to effect repairs, improvements, replacements, maintenance, or sanitation work deemed by the Board to be necessary in the performance of its duties, to do necessary work that the Owner has failed to perform, or to prevent damage to the Common Elements or to another Unit. Except in cases that preclude advance notice such as emergency, the Board shall cause the Unit occupant to be given Notice and an Opportunity to be Heard at least three days in advance of entry. Such entry shall be made with as little inconvenience to the Owners and occupants as practicable. The Board may levy a special Assessment against the Owner of the Unit for all or part of the cost of work that the Owner has failed to perform, which may be collected and foreclosed under the provisions of this Declaration. The Board may require Owners and tenants to furnish duplicate keys to their Units to the Board or the Board's designated agent.

L. Section 12.4.4 is hereby deleted and a new Section 12.4.4 inserted in its place as follows:

12.4.4 Institute, defend, or intervene in litigation or administrative proceedings in its own name on behalf of itself or two or more unit owners on matters affecting the condominium.

M. Section 12.4.7 is hereby deleted and a new Section 12.4.7 inserted in its place as follows:

12.4.7 Cause additional improvements to be made as a part of the common elements. However, the Board of Directors shall not have the authority to acquire and pay for out of the Common Expense fund capital additions and improvements (other than maintenance, repair and/or replacement of Common Elements or Limited Common Elements identified in the Association's reserve study) having a total cost in excess of Ten Thousand Dollars ($10,000) without first obtaining the affirmative vote of the Owners holding a majority of the voting power present in person or by proxy at a meeting called for such purpose; provided that any expenditure or contract for capital additions or improvements (other than maintenance, repair and/or replacement of Common Elements or Limited Common Elements identified in the Association's reserve study) in excess of Twenty-Five Thousand Dollars ($25,000.00) must be approved by the Owners having not less than sixty-seven percent (67%) of the voting power present in person or by proxy at a meeting called for such purpose.

N. New Section 12.4.23 is hereby added as follows:

12.4.23 In the discharge of its duties and the exercise of its powers as set forth in this Declaration, but subject to the limitations set forth in this Declaration, the Board may borrow funds on behalf of the Association and to secure the repayment of such funds, assess each Unit (and the Owner thereof) for said Unit's pro rata share of said borrowed funds and the obligation to pay said pro rata share shall be a lien against said Unit and the undivided interest in the Common Elements appurtenant to such Unit. Provided, that the Owner of a Unit may remove said Unit and the Allocated Interest in the Common Elements appurtenant to such Unit from the lien of such assessment by payment of the Allocated Interest in Common Expense Liability attributable to such Unit. Subsequent to such payment, discharge, or satisfaction, the Unit and the Allocated Interest in the Common Elements appurtenant thereto shall thereafter be free and clear of the liens so paid, satisfied, or discharged. Such partial payment, satisfaction, or discharge shall not prevent the lienor from proceeding to enforce its rights against any Unit and the Allocated Interest in the Common Elements appurtenant thereto not so paid, satisfied, or discharged.

O. Section 12.5 is hereby deleted and a new Section 12.5 inserted in its place as follows:

12.5 Reserve Studies. Unless doing so would impose an unreasonable hardship as determined by the Board of Directors, the Association shall have prepared and shall update a reserve study annually as required by RCW 64.34.380. At least every three years, an updated reserve study must be prepared and based upon a visual site inspection conducted by a reserve study professional.

P. Section 12.6 is hereby deleted and a new Section 12.6 inserted in its place as follows:

12.6 Financial Statements and Records. The Association shall keep financial records in sufficient detail to enable the Association to comply with the resale certificate requirements set forth in RCW 64.34.425. All financial and other records shall be made reasonably available for examination by any Unit Owner and the Owner's authorized agents. At least annually, the Association shall prepare, or cause to be prepared, a financial statement of the Association. The annual financial statement shall be audited at least annually by a certified public accountant who is not a member of the Board or an Owner; however, the audit may be waived annually by the vote or written consent of unit owners to which sixty percent of the votes in the Association are allocated. Any Mortgagee will, upon request, be entitled to receive the annual financial statement within 120 days following the end of the fiscal year. An Owner or Mortgagee, at the Owner's or Mortgagee's expense, may at any reasonable time conduct an audit of the books of the Board and Association.

Q. Section 12.7 is hereby deleted and a new Section 12.7 inserted in its place as follows:

12.7 Inspection of Condominium Documents, Books, and Records. The Association shall make available to Owners, Mortgagees, prospective purchasers and their prospective Mortgagees, and the agents or attorneys of any of them, current copies of this Declaration, the Articles, the Bylaws, the Rules, and other books, records, and financial statements of the Association. "Available" shall mean available for inspection upon request, during normal business hours or under other reasonable circumstances. The Association may require the requesting party to pay a reasonable charge to cover the cost of making the copies and any other fees charged by the Managing Agent for their time incurred in assisting the requesting party.

R. Article 13 is hereby deleted in its entirety.

S. Section 14.3 is hereby deleted and a new Section 14.3 inserted in its place as follows:

14.3 Managing Agent. The Board shall contract with an experienced professional Managing Agent to assist the Board in the management and operation of the Condominium and may delegate such of its powers and duties to the Managing Agent as it deems to be appropriate, except as limited herein. Termination of professional management and assumption of self-management by the Association shall be subject to the provisions of Section 25.2.

T. Section 14.5 is hereby deleted and a new Section 14.5 inserted in its place as follows:

14.5 Notice and Opportunity to be Heard. Whenever this Declaration, the Bylaws or Rules and Regulations requires that an action of the Board be taken after "Notice and an Opportunity to Be Heard," the following procedures shall be observed: The Board shall give written notice of the proposed action to all Owners, tenants or occupants of Units whose interest would be significantly affected by the proposed action. The affected Owners, tenants or occupants may, within 5 days of the date of the notice, request a hearing in writing. Within 30 days of the request for the hearing, the Board shall schedule the hearing in front of a hearing board appointed by the Board and provide notice of the date, time and location to the requesting party. At the discretion of the Board of Directors, the Board may serve as the hearing board instead of appointing one. At the hearing, the affected person shall have the right, personally or by a representative, to give testimony orally, in writing or both (as specified in the notice), subject to reasonable rules of procedure established by the hearing board to assure a prompt and orderly resolution of the issues. Such evidence shall be considered in making the decision but shall not bind the hearing board. The affected person shall be notified of the decision in the same manner as the notice was given.

U. Section 15.3 is hereby deleted and a new Section 15.3 inserted in its place as follows:

15.3 Budget Approval. Within thirty days after adoption of any proposed annual or special budget for the condominium, the board of directors shall provide a summary of the budget to all the unit owners and shall set a date for a meeting of the unit owners to consider ratification of the budget not less than fourteen nor more than sixty days after mailing of the summary. Unless at that meeting the owners of units to which a majority of the votes in the association are allocated or any larger percentage specified in the declaration reject the budget, the budget is ratified, whether or not a quorum is present. In the event the proposed budget is rejected or the required notice is not given, the periodic budget last ratified by the unit owners shall be continued until such time as the unit owners ratify a subsequent budget proposed by the board of directors.

As part of the summary of the budget provided to all unit owners, the board of directors shall disclose to the unit owners:

(a) The current amount of regular assessments budgeted for contribution to the reserve account, the recommended contribution rate from the reserve study, and the funding plan upon which the recommended contribution rate is based;

(b) If additional regular or special assessments are scheduled to be imposed, the date the assessments are due, the amount of the assessments per each unit per month or year, and the purpose of the assessments;

(c) Based upon the most recent reserve study and other information, whether currently projected reserve account balances will be sufficient at the end of each year to meet the association's obligation for major maintenance, repair, or replacement of reserve components during the next thirty years;

(d) If reserve account balances are not projected to be sufficient, what additional assessments may be necessary to ensure that sufficient reserve account funds will be available each year during the next thirty years, the approximate dates assessments may be due, and the amount of the assessments per unit per month or year;

(e) The estimated amount recommended in the reserve account at the end of the current fiscal year based on the most recent reserve study, the projected reserve account cash balance at the end of the current fiscal year, and the percent funded at the date of the latest reserve study;

(f) The estimated amount recommended in the reserve account based upon the most recent reserve study at the end of each of the next five budget years, the projected reserve account cash balance in each of those years, and the projected percent funded for each of those years; and

(g) If the funding plan approved by the association is implemented, the projected reserve account cash balance in each of the next five budget years and the percent funded for each of those years.

V. Section 15.3 is hereby deleted and a new Section 15.3 inserted in its place as follows:

15.8 Special Assessments. For those Common Expenses or Specially Allocated Expenses which cannot reasonably be calculated and paid on a monthly basis, the Board may levy special Assessments for such expenses against the Units, subject to ratification by the Owners pursuant to Section 15.3. Any common expense associated with the operation, maintenance, repair, or replacement of a limited common element shall be paid by the owner of or assessed against the units to which that limited common element is assigned, equally, or in any other proportion that the declaration provides. Any common expense or portion thereof benefiting fewer than all of the units must be assessed exclusively against the units benefited. To the extent that any Common Expense or Specially Allocated Expense is caused by the misconduct of an Owner or tenant of any Unit, the Association may, after Notice and Opportunity to be Heard, levy a special Assessment for the expense against the Unit. Such Assessments against individual units shall not require ratification by the Owners.

W. Section 16.10 is hereby deleted and a new Section 16.10 inserted in its place as follows:

16.10 Security Deposit. An Owner who has been chronically delinquent in paying his monthly Assessments may be required by the Board, from time to time, to make and maintain a security deposit not in excess of three months' estimated monthly Assessments, which shall be collected and shall be subject to penalties for nonpayment as are other Assessments. The deposit shall be held in a separate fund, credited to such Owner, and may be resorted to at any time when such Owner is ten days or more delinquent in paying Assessments. In the event that the owner remains current on Assessments for one calendar year from the date the deposit is made, the remaining portion of any security deposit shall be returned.

X. Article 17 is hereby deleted in its entirety and a new Article 17 inserted in its place as follows:

Article 17. ENFORCEMENT OF GOVERNING DOCUMENTS

17.1 Enforcement. Each owner shall comply strictly with the provisions of this Declaration, the Bylaws, and the administrative rules and regulations made pursuant thereto as they may be lawfully amended from time to time. Failure to comply shall be grounds for an action to recover sums due for damages or injunctive relief or both, maintainable by the Board of Directors on behalf of the owners, or in a proper case, by any aggrieved owner. Failure to comply shall also entitle the Board of Directors to recover any costs and reasonable attorneys' fees incurred by reason of such failure whether or not such activities result in suit being commenced or prosecuted to judgment. In addition, the Board of Directors shall be entitled to recover costs and reasonable attorneys' fees if it prevails on appeal and in the enforcement of a judgment.

17.2 No Waiver of Strict Performance. The failure of the Board of Directors in any one or more instances to insist upon the strict performance of any of the terms, covenants, conditions or restrictions of this Declaration, or of the Bylaws, or to exercise any right or option contained in such documents, or to serve any notice or to institute any action, shall not be construed as a waiver or a relinquishment for the future of such term, covenant, condition or restriction, but such term, covenant, condition or restriction shall remain in full force and effect. The receipt by the Board of Directors of any sum from an owner, with knowledge of any such breach shall not be deemed a waiver of such breach, and no waiver by the Board of Directors of any provision hereof shall be deemed to have been made unless expressed in writing and signed by the Board of Directors. This Section also extends to the Declarant's managing agent, exercising the powers of the Board of Directors during the initial period of operation of the Association and the Condominium development.

Y. Section 18.2 is hereby deleted in its entirety and a new Section 18.2 inserted in its place as follows:

18.2 Limitation of Liability for Utility Failure, etc. Except to the extent covered by insurance obtained by the Board, neither the Association, the Board, nor the Managing Agent shall be liable for: the failure of any utility or other service to be obtained and paid for by the Board; or for injury or damage to person or property caused by the elements, or resulting from electricity, water, rain, dust, or sand which may leak or flow from outside or from any parts of the building, or from any of their pipes, drains, conduits, appliances, or equipment, or from any other place; or for inconvenience or discomfort resulting from any action taken to comply with any law, ordinance, or orders of a governmental authority. No diminution or abatement of Assessments shall be claimed or allowed for any such utility or service failure, or for such injury or damage, or for such inconvenience or discomfort.

Z. Section 18.3 is hereby deleted in its entirety and a new Section 18.3 inserted in its place as follows:

18.3 No Personal Liability. So long as a Board member, or Association committee member, or Association officer, or the Managing Agent has acted in good faith, without willful or intentional misconduct, upon the basis of such information as is then possessed by such person, no such person shall be personally liable to any Owner, or to any other person, including the Association, for any damage, loss, or prejudice suffered or claimed on account of any act, omission, error, or negligence of such person; provided, that this Section shall not apply where the consequences of such act, omission, error, or negligence is covered by insurance obtained by the Board.

AA. Article 19 is hereby deleted in its entirety and a new Article 19 inserted in its place as follows:

Article 19 INDEMNIFICATION

Each Board member, Association committee member, Association officer and the Managing Agent shall be indemnified by the Association against all expenses and liabilities, including attorneys' fees, reasonably incurred by or imposed in connection with any proceeding to which such person may be a party, or in which such person may become involved, including appeals of such proceedings, by reason of holding or having held such position, or any settlement thereof, whether or not such person holds such position at the time such expenses or liabilities are incurred, except to the extent such expenses and liabilities are covered by any type of insurance and except in such cases wherein such person is adjudged guilty of willful misfeasance in the performance of such person's duties; provided, that in the event of a settlement, the indemnification shall apply only when the Board approves such settlement and reimbursement as being for the best interests of the Association.

BB. Section 20.3 is hereby deleted and a new Section 20.3 inserted in its place as follows:

20.3 Commercial General Liability Insurance. The liability insurance coverage shall insure the Board, the Association, the Owners and the Managing Agent, and cover all of the Common Elements in the Condominium with a "Severability of Interest Endorsement" or equivalent coverage which would preclude the insurer from denying the claim of an Owner because of the negligent acts of the Association or of another Owner, and shall cover liability of the insureds for property damage and bodily injury and death of persons arising out of the operation, maintenance, and use of the Common Elements, host liquor liability, employers' liability insurance, automobile liability insurance, and such other risks as are customarily covered with respect to residential condominium projects of similar construction, location and use. The limits of liability shall be in amounts generally required by Mortgagees for projects of similar construction, location and use but shall be at least $2,000,000 combined single limit for bodily injury and property damage per occurrence and $4,000,000 general aggregate.

CC. Section 20.7 is hereby deleted and a new Section 20.7 inserted in its place as follows:

20.7 Owner's Individual Insurance. Each Owner of a Unit shall, at his or her own expense, obtain additional insurance ("Owner's Individual Insurance") respecting his or her Unit as contemplated under RCW 64.34.352, as amended, and shall designate the Association as an "Additional Insured" under the Owner's policy. A Unit Owner's Individual Insurance coverage shall be written on a condominium owner's policy form, and individually or together with an umbrella policy, shall include personal liability coverage, coverage for the potential reimbursement of the Association's property deductible amount, and other insurance sufficient to protect the Unit Owner's assets. A Tenant who is renting or leasing a Unit shall provide general liability renter's insurance in the same amounts and with the same terms as that required for Unit Owner's Individual Insurance, if the Owner does not have such coverage. The Board may, from time to time, adopt rules which set additional or greater requirements for Unit Owner's Individual Insurance coverage, including the minimum amount of property and liability coverage to be included and the maximum amount of the permissible deductible.

The Association shall not be responsible for administering individual owner policies. The Association shall have the right, but not the obligation, to monitor the maintenance of such insurance by Unit Owners and shall have the right, but not the obligation, to obtain such insurance for the Unit Owner, at the Unit Owner's sole cost and expense, if the Owner fails to obtain or maintain the same.

No Owner shall maintain insurance coverage in any manner which would decrease the amount that the Association or any trustee for the Association (on behalf of all Owners) will realize under any insurance policy which the Board may have in force on the Condominium at any particular time. The sums due from any Owner pursuant to this Section shall be specially assessed to the Unit, shall be a lien upon the Unit and upon any appurtenant limited common areas and common areas, and shall be collectable as are other Assessments without the need for ratification.

DD. New Sections 20.9-20.10 are hereby added as follows:

20.9 Liability for Damages and Misconduct. Notwithstanding any other provision of this Declaration, and except: (1) to the extent actually covered by insurance obtained by the Association; (2) to the extent that a lack of insurance results from the negligence or breach of duty to insure of the Board; or (3) where damage is a result of natural disaster such as earthquake or flood, which shall in all cases be a common expense of the Association:

Each Owner is liable for, and shall be responsible for (i) any expenses resulting from damages done to a Unit, the common areas or the limited common areas, by that Owner and/or any Tenant or Occupant using and/or occupying the Owner's Unit, or the family, servants, employees, agents, visitors, licensees or household pet of that Owner, Occupant, or Tenant; (ii) any expenses resulting from damages done to a Unit, the common areas or the limited common areas, as a result of the failure to maintain, repair or replace any fixture, equipment, appliance or appurtenance which the Owner is responsible to maintain under the terms of the Governing Documents, and/or (iii) any expenses resulting from any act and/or omission, negligence, or misconduct by that Owner, Occupant, and/or any Tenant using and/or occupying the Owner's Unit, or the family, servants, employees, agents, visitors, licensees or household pet of that Owner, Occupant, or Tenant (including but not limited to any attorney's fees incurred by the Association, Board of Directors, or any member of Board of Directors in his/her capacity as such), as may be determined by the Board. The sums due from any Owner pursuant to this Section shall be assessed to the Unit, shall be a lien upon the Unit and upon any appurtenant limited common areas, and common areas, and shall be collectable as are other Assessments without the need for ratification.

In the event of any visible signs of water intrusion, moisture or mold, in one's Unit or limited common areas, the Unit Owner and any person occupying said Unit or using said limited common areas, shall have an affirmative duty to report said signs immediately to the Board. A failure to do so shall result in the imposition of liability upon the Unit or Owner for resulting damages. Knowledge of an issue by the Association shall not make the Association liable for any damage merely because the issue was reported.

21.10 Liability for Uninsured Amounts. Except as set forth in 21.9 above, liability for the amount of damage within the limits of any applicable insurance deductible or otherwise uninsured shall be the responsibility of an individual Owner for: (a) damage or loss within the Owner's Unit; or (b) damage resulting to other Units, Common Elements or Limited Common Elements arising from the Owner's Unit, including but not limited to damage from faulty or leaking plumbing fixtures or pipes, hot water tanks, sinks, bathtubs, toilets, dishwashers, washers, connecting hoses or drains in or serving only the Owner's Unit, fireplace, flue, and electrical fixtures located in the Owner's Unit, whether or not caused by the Owner.

EE. Section 21.3.1 is hereby deleted and a new Section 21.3.1 inserted in its place as follows:

21.3.1 Damage shall mean all kinds of damage, whether of slight degree or total destruction, but shall not include regular maintenance, repair or replacement of Common Elements or Limited Common Elements accounted for in the Association's reserve study or budgets.

FF. Section 24.4 is hereby deleted and a new Section 24.4 inserted in its place as follows:

24.4 Minor Alterations; Hard Surface Flooring. No Unit may be altered in any way except in accordance with this Article. An Owner may make any improvements or alterations to the Owner's Unit that do not change the structural walls, affect the structural integrity or acoustical properties of the building or the plumbing, mechanical or electrical systems or lessen the support of any portion of the Condominium; and an Owner of a Unit may not change the flooring from carpeting to hard surface flooring in a portion of the Unit that is over another Unit without the prior written approval of the Board, which may be withheld in its sole discretion. In connection with change from carpet to hard surface flooring, the Board may condition its approval upon the installation of an acoustical subflooring material and/or coverage of certain floor areas with carpet, and may require the approval of adjacent unit owners who may be affected by the modification. The Board, in its discretion, may require acoustical testing, additional alterations, installation of area rugs or installation of carpeting over hard surface flooring to mitigate sound transmission. An Owner may not change the appearance of the Common Elements or the exterior appearance of a Unit without permission of the Association pursuant to the procedures of Section 24.6.

GG. Section 24.7 is hereby deleted and a new Section 24.7 inserted in its place as follows:

24.7 Procedure After Approval. Upon approval of a proposal under this Article, the Owner making it may proceed according to the proposed plans and specifications; provided that the Board may in its discretion require that the Board administer the work or that provisions for the protection of other Units or Common Elements or that reasonable deadlines for completion of the work be inserted in the contracts for the work. The changes in the Survey Map Plans and Declaration shall be placed of record as amendments thereto.

HH. Section 25.1 is hereby deleted and a new Section 25.1 inserted in its place as follows:

25.1 Procedures. Except in cases of amendments that may be executed by the Declarant under this Declaration or the Condominium Act, this Declaration, the Survey Map and Plans and the Articles may be amended only by vote or agreement of the Owners, as specified in this Article. An Owner may propose amendments to this Declaration or the Survey Map and Plans or the Articles to the Board. A majority of the members of the Board may cause a proposed amendment to be submitted to the members of the Association for their consideration. If an amendment is proposed by Owners with 20% or more of the votes in the Association, then, irrespective of whether the Board concurs in the proposed amendment, it shall be submitted to the members of the Association for their consideration at their next regular or special meeting for which timely notice must be given. Notice of a meeting at which an amendment is to be considered shall include the text of the proposed amendment. Amendments may be adopted at a meeting of the Association or by written consent of the requisite number of persons entitled to vote, after notice has been given to all persons (including Eligible Mortgagees) entitled to receive notices. Upon the adoption of an amendment and the obtaining of any necessary consents of Eligible Mortgagees as provided below, amendment to this Declaration or the Survey Map and Plans will become effective when it is recorded or filed in the real property records in the county in which the Condominium is located. The amendment shall be indexed in the name of the Condominium and shall contain a cross-reference by recording number to this Declaration and each previously recorded amendment thereto. Such amendments shall be prepared, executed, recorded and certified on behalf of the Association by any officer of the Association designated for that purpose or, in the absence of designation, by the president of the Association. No action to challenge the validity of an amendment adopted by the Association pursuant to this Article may be brought more than one year after the amendment is recorded. An amendment to the Articles shall be effective upon filing the amendment with the Secretary of State. Procedures for amending the Bylaws shall be set forth in the Bylaws.

II. Section 25.2.4 is hereby deleted in its entirety.

JJ. This Amendment to the Declaration shall take effect upon recording. The terms of this Amendment to the Declaration shall control over and implicitly amend any inconsistent provision of the Declaration or the Bylaws or Rules and Regulations of the Association. Except as amended by this instrument, the Declaration shall otherwise remain in full force and effect.

Dated this 17th day of NOV, 2016

By: Lynda R. Williams
President

ATTEST:

By: Matthew F. Keller
Secretary

STATE OF WASHINGTON)
) ss
COUNTY OF KITSAP)

I certify that I know or have satisfactory evidence that Lynda R. Williams is the person who appeared before me, and said person acknowledged that he/she signed this instrument, on oath stated that he/she was authorized to execute the instrument and acknowledge it as the President of the Island Crossings Owners Association to be the free and voluntary act of such party for the uses and purposes mentioned in the instrument.

ANITA N PADILLA NOTARY PUBLIC 01-25-20 STATE OF WASHINGTON

Dated: 11-14-16

Anita N. Padilla
(Signature)

Anita N. Padilla
(Print name)
Notary Public residing at Kitsap County
My appointment expires: 1-25-20

STATE OF WASHINGTON)
) ss
COUNTY OF KITSAP)

I certify that I know or have satisfactory evidence that Matthew F. Keller is the person who appeared before me, and said person acknowledged that he/she signed this instrument, on oath stated that he/she was authorized to execute the instrument and acknowledge it as the President of the Island Crossings Owners Association to be the free and voluntary act of such party for the uses and purposes mentioned in the instrument.

Dated: 11-14-16

Anita N. Padilla
(Signature)

Anita Padilla
(Print name)
Notary Public residing at Kitsap County
My appointment expires: 1-25-20

ANITA N PADILLA NOTARY PUBLIC 01-25-20 STATE OF WASHINGTON

WHEN RECORDED RETURN TO

Stuart M. Ainsley
Law Offices of Stuart M. Ainsley
PO Box 1678
Poulsbo, WA 98370

WW 013120140

SUBSTITUTION OF TRUSTEE

KNOW ALL MEN BY THESE PRESENTS:

ISLAND CROSSINGS OWNERS ASSOCIATION is the representative of the Unit Owners under the Condominium Declaration for Island Crossings, a Condominium, recorded in Kitsap County, Washington, under Auditor File No. 200604200017 (as amended). The Law Offices of Stuart M. Ainsley, P.S., was the Successor Trustee, appointed on October 12, 2009, under the Resignation and Appointment of Successor Trustee recorded in Kitsap County, Washington, under Auditor File No. 200910190280. **The Law Offices of Sanchez, Mitchell & Eastman, PSC, is the Successor Trustee**, appointed on September 9, 2013, under Substitution of Trustee recorded in Kitsap County, Washington, under Auditor File No. 201309170023.

WHEREAS, ISLAND CROSSING OWNERS ASSOCIATION does hereby re-appoint **THE LAW OFFICES OF STUART M. AINSLEY, P.S.**, in the place and stead of the successor trustee named above;

NOW, THEREFORE, upon recordation of this document, **THE LAW OFFICES OF STUART M. AINSLEY, P.S**, the designated successor Trustee, whose address is PO BOX 1678 Poulsbo, WA 98370, shall succeed to all the powers, duties and title of the former Trustee.

DATED: January 30, 2014.

Lynda R. Williams
Printed Name: LYNDA R. WILLIAMS
Authorized Representative of Island Crossing Owners Association

STATE OF WASHINGTON)
: ss.
COUNTY OF KITSAP)

On this day personally appeared before me, Lynda Williams, to me known to be the individual described in and who executed the within foregoing instrument, and acknowledged that he/she signed the same as his/her free and voluntary act and deed, for the uses and purposes therein mentioned.

GIVEN under my hand and official seal this 30th day of ~~September, 2010~~ January 2014.

PAMELA L MURRAY
NOTARY
Jan 3 2015
PUBLIC
STATE OF WASHINGTON

Pamela L. Murray
Printed Name: Pamela L. Murray
NOTARY PUBLIC in and for the state of Washington, residing at Poulsbo
My commission expires: January 3, 2015

"Said document(s) were filed for record by Pacific Northwest Title as accommodation only. It has not been examined as to proper execution or as to its effect upon title"

ISLAND CROSSINGS

A condominium situate in
SW.1/4 SW.1/4 SEC. 23, TWP. 25N., RG. 2E., W.M.
City of Bainbridge Island, Washington

DECLARATION

KNOW ALL MEN BY THESE PRESENTS, THAT THE UNDERSIGNED OWNER IN FEE SIMPLE OF THE PROPERTY HEREON SHOWN HEREBY DECLARES THIS SURVEY MAP AND PLANS AND DEDICATES THE SAME FOR CONDOMINIUM PURPOSES AND CERTIFY THAT ALL STRUCTURAL COMPONENTS AND MECHANICAL SYSTEMS OF ALL BUILDINGS CONTAINING OR COMPRISING UNITS HEREBY CREATED ARE SUBSTANTIALLY COMPLETED. THIS PLAN OR ANY PORTION THEREOF SHALL BE RESTRICTED BY THE TERMS OF THE DECLARATION FILED UNDER KITSAP COUNTY AUDITOR'S FILE NO. 200604200017

DECLARANT:
BAINBRIDGE ISLAND COMMONS, LLC,
a Washington limited liability company
By BIC MANAGEMENT, LLC,
a Washington limited liability company, its Manager
By BASE CAPITAL, L.L.C., a Washington limited liability company, its Manager

By H. Thomas Wick
H. Thomas Wick, its Managing Member

ACKNOWLEDGEMENT

STATE OF WASHINGTON)
) ss.
COUNTY OF KING)

I certify that I know or have satisfactory evidence that H. Thomas Wick signed this instrument, on oath stated that he was authorized to execute the instrument and acknowledged it as the Managing Member of BASE CAPITAL, L.L.C., a Washington limited liability company, the Manager of BIC MANAGEMENT, LLC, a Washington limited liability company, the manager of BAINBRIDGE ISLAND COMMONS, LLC, a Washington limited liability company, to be the free and voluntary act of such parties for the uses and purposes mentioned in the instrument.

Dated this 14TH day of APRIL 2006.

Lisa Ann Kennedy
(Signature of Notary)
LISA Ann Kennedy
(Legibly Print or Stamp Name of Notary)
Notary public in and for the state of Washington,
residing at Sammamish
My appointment expires 1-9-09

LISA ANN KENNEDY NOTARY PUBLIC STATE OF WASHINGTON

GENERAL NOTES:

1.) BUILDING DIMENSION LOCATIONS ARE MEASURED AT RIGHT ANGLES FROM THE PROPERTY LINE AT LOCATIONS INDICATED.

2.) BUILDING DIMENSIONS SHOWN ARE BUILDING FOUNDATION WALL.

3.) UNIT DIMENSIONS SHOWN ARE APPROXIMATE AND FOR REFERENCE ONLY. THE EXISTING LOCATIONS OF THE INTERIOR FACE OF THE PERIMETER WALLS OF THE UNIT SHALL BE THE LIMITS OF OWNERSHIP.

4.) FLOOR ELEVATIONS SHOWN ARE APPROXIMATE AND FOR REFERENCE ONLY. THE EXISTING LOCATION OF THE UPPER SURFACE OF THE FLOOR, EXCLUSIVE OF CARPETING, SHALL BE LIMITS OF OWNERSHIP.

5.) CEILING ELEVATIONS SHOWN ARE APPROXIMATE AND FOR REFERENCE ONLY. THE EXISTING LOCATION OF THE LOWER SURFACE OF THE FINISHED CEILING SHALL BE THE LIMITS OF OWNERSHIP.

LEGAL DESCRIPTION

UNIT M, ISLAND COMMONS, A CONDOMINIUM, AS RECORDED IN VOLUME 7 OF CONDOMINIUMS, PAGES 115 THROUGH 132, RECORDS OF KITSAP COUNTY WASHINGTON.

SURVEYOR'S CERTIFICATE

I HEREBY CERTIFY THAT THIS SURVEY MAP AND PLANS FOR ISLAND COMMONS, A CONDOMINIUM ARE BASED UPON AN ACTUAL AS-BUILT SURVEY OF THE PROPERTY HEREIN DESCRIBED; THAT THE BEARINGS AND DISTANCES OF PROPERTY LINES AND HORIZONTAL AND VERTICAL UNIT BOUNDARIES ARE CORRECTLY SHOWN; THAT ALL HORIZONTAL AND VERTICAL BOUNDARIES OF THE UNITS ARE SUBSTANTIALLY COMPLETED; AND THAT ALL INFORMATION REQUIRED BY RCW 64.34.232 IS SUPPLIED.

Steve Ottmar 4-12-2006
STEVEN E. OTTMAR P.L.S.
A.E.S. CONSULTANTS, INC.
P.O. BOX 930
SILVERDALE, WA. 98383
CERTIFICATE NO. 20795

STEVEN E. OTTMAR STATE OF WASHINGTON 20795 REGISTERED PROFESSIONAL LAND SURVEYOR EXPIRES 11/10/06

RECORDING CERTIFICATE

FILED FOR RECORD AT THE REQUEST OF Bainbridge Island Commons THIS 20th DAY OF April, 2006, AT 17 MINUTES PAST 9 A.M. AND RECORDED IN VOLUME 7 OF CONDOMINIUMS, PAGES 133-143, RECORDS OF KITSAP COUNTY, WASHINGTON.
AUDITOR'S FILE NUMBER: 200604200018

Karen Flynn
KITSAP COUNTY AUDITOR

Susan B. Lucio
BY: DEPUTY

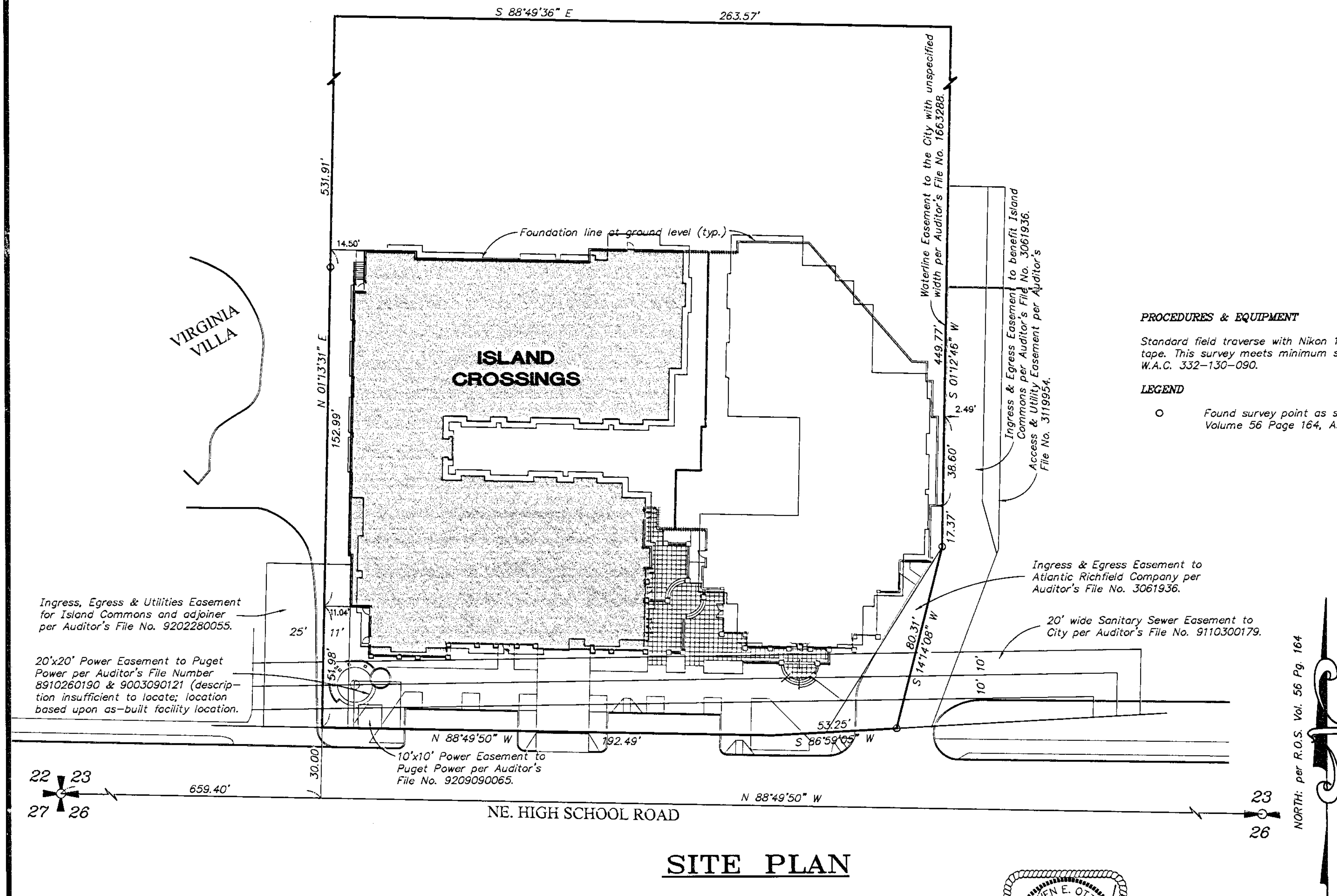
AES CONSULTANTS, INC.
P.O. BOX 930 · SILVERDALE, WA. 98383 · (360)692-6400

Drawn By:	R.L.J.
Date:	4/11/06
Checked By:	S.E.O.
Job No.	3930

200604200018 V7 P133

ISLAND CROSSINGS

A condominium situate in
SW.1/4 SW.1/4 SEC. 23, TWP. 25N., RG. 2E., W.M.
City of Bainbridge Island, Washington



SITE PLAN

PROCEDURES & EQUIPMENT

Standard field traverse with Nikon 1" Total Station and steel tape. This survey meets minimum standards as set forth in W.A.C. 332-130-090.

LEGEND

o Found survey point as set for Record-of-Survey Volume 56 Page 164, A.F.#200111130037.

STEVEN E. OTTMAR, STATE OF WASHINGTON, 20795, REGISTERED PROFESSIONAL LAND SURVEYOR, EXPIRES 11/10/06

4-12-2006

GRAPHIC SCALE
30 0 15 30 60 120
(IN FEET)
1 inch = 30 ft.

AES CONSULTANTS, INC.
P.O. BOX 930 · SILVERDALE, WA. 98383 · (360)692-6400

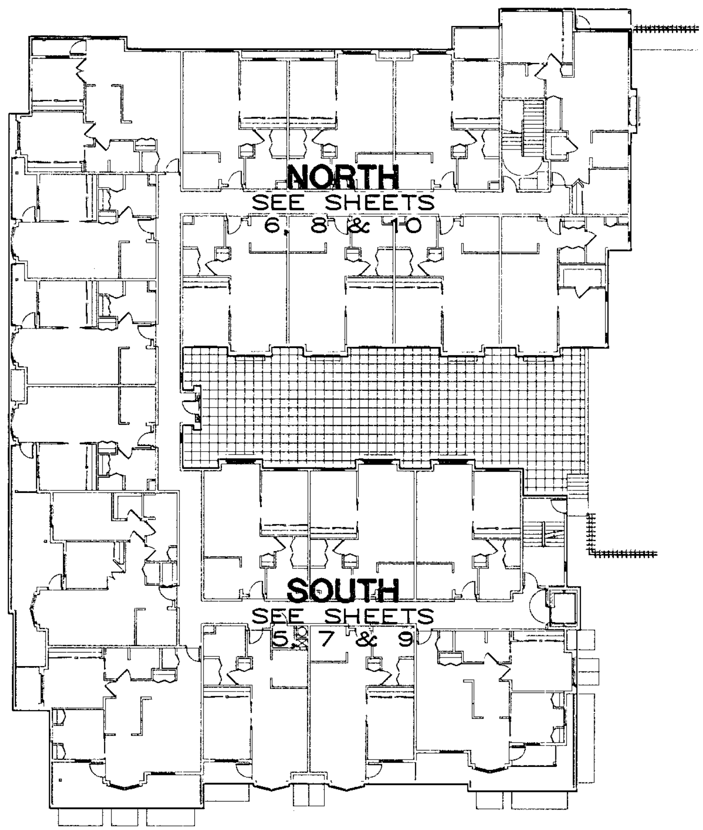
Drawn By:	R.L.J.
Date:	4/11/06
Checked By:	S.E.O.
Job No.	3930

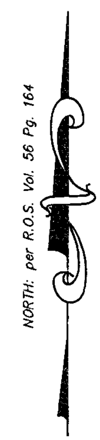
Sheet 2 of 11

200604200018 V7 P134

ISLAND CROSSINGS

A condominium situate in
SW.1/4 SW.1/4 SEC. 23, TWP. 25N., RG. 2E., W.M.
City of Bainbridge Island, Washington





INDEX MAP

4-12-2006

GRAPHIC SCALE

20 0 10 20 40 80

(IN FEET)
1 inch = 20 ft.

AES CONSULTANTS, INC.
P.O. BOX 930 - SILVERDALE, WA. 98383 - (360)692-6400

Drawn By:	R.L.J.
Date:	4/11/06
Checked By:	S.E.O.
Job No.	3930

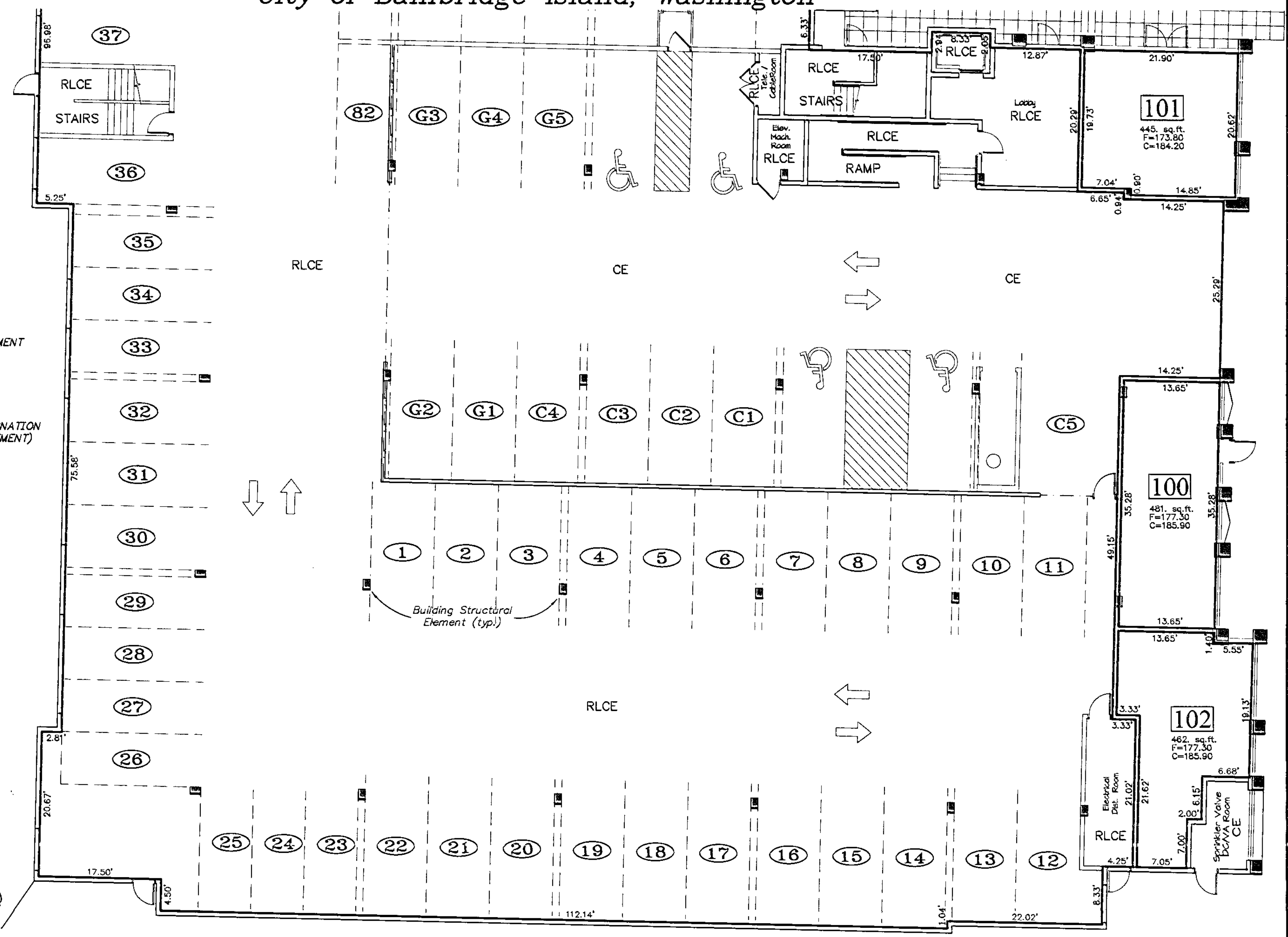
200604200018 V7 P135

ISLAND CROSSINGS

A condominium situate in
SW.1/4 SW.1/4 SEC. 23, TWP. 25N., RG. 2E., W.M.
City of Bainbridge Island, Washington

NORTH: per R.O.S. Vol. 56 Pg. 164

NOTE: Units dimensions and area are subject to verification by as-built survey upon completion



LEGEND

CE	COMMON ELEMENT
LCE	LIMITED COMMON ELEMENT
RLCE	RESIDENTIAL LIMITED COMMON ELEMENT
▭	UNIT NUMBER
⬭	PARKING STALL DESIGNATION (LIMITED COMMON ELEMENT)
F	FLOOR ELEVATION
C	CEILING ELEVATION

STEVEN E. OTTMAR · STATE OF WASHINGTON · REGISTERED PROFESSIONAL LAND SURVEYOR · 20764 · EXPIRES 11/10/06

4-12-2006

AES CONSULTANTS, INC.
P.O. BOX 930 · SILVERDALE, WA. 98383 · (360)692-6400

Drawn By:	R.L.J.
Date:	4/11/06
Checked By:	S.E.O.
Job No.	3930

1ST. FLOOR

GRAPHIC SCALE
10 0 5 10 20 40
(IN FEET)
1 inch = 10 ft.

200604200018 V7 P136

ISLAND CROSSINGS

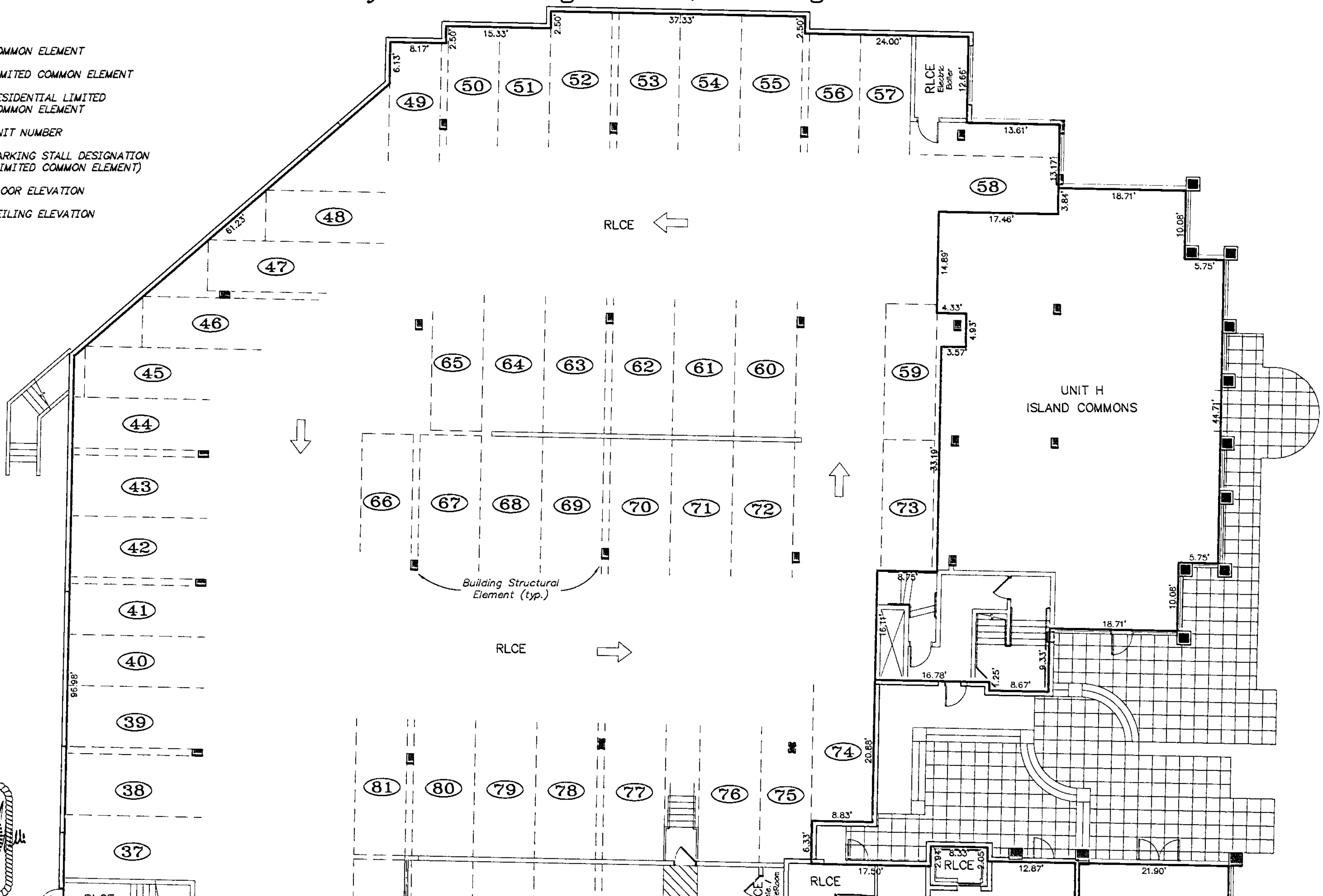
A condominium situate in
SW.1/4 SW.1/4 SEC. 23, TWP. 25N., RG. 2E., W.M.
City of Bainbridge Island, Washington

NORTH: per R.O.S. Vol. 56 Pg. 164

NOTE: Units dimensions and area are subject to verification by as-built survey upon completion

LEGEND

CE	COMMON ELEMENT
LCE	LIMITED COMMON ELEMENT
RLCE	RESIDENTIAL LIMITED COMMON ELEMENT
▭	UNIT NUMBER
⬭	PARKING STALL DESIGNATION (LIMITED COMMON ELEMENT)
F	FLOOR ELEVATION
C	CEILING ELEVATION



1ST. FLOOR

GRAPHIC SCALE

10 0 5 10 20 40

(IN FEET)
1 inch = 10 ft.

STEVEN E. OTTMAR · STATE OF WASHINGTON · 20790 · REGISTERED · PROFESSIONAL LAND SURVEYOR · EXPIRES 11/10/06

4-12-2006

AES CONSULTANTS, INC.
P.O. BOX 930 · SILVERDALE WA. 98383 · (360)692-6400

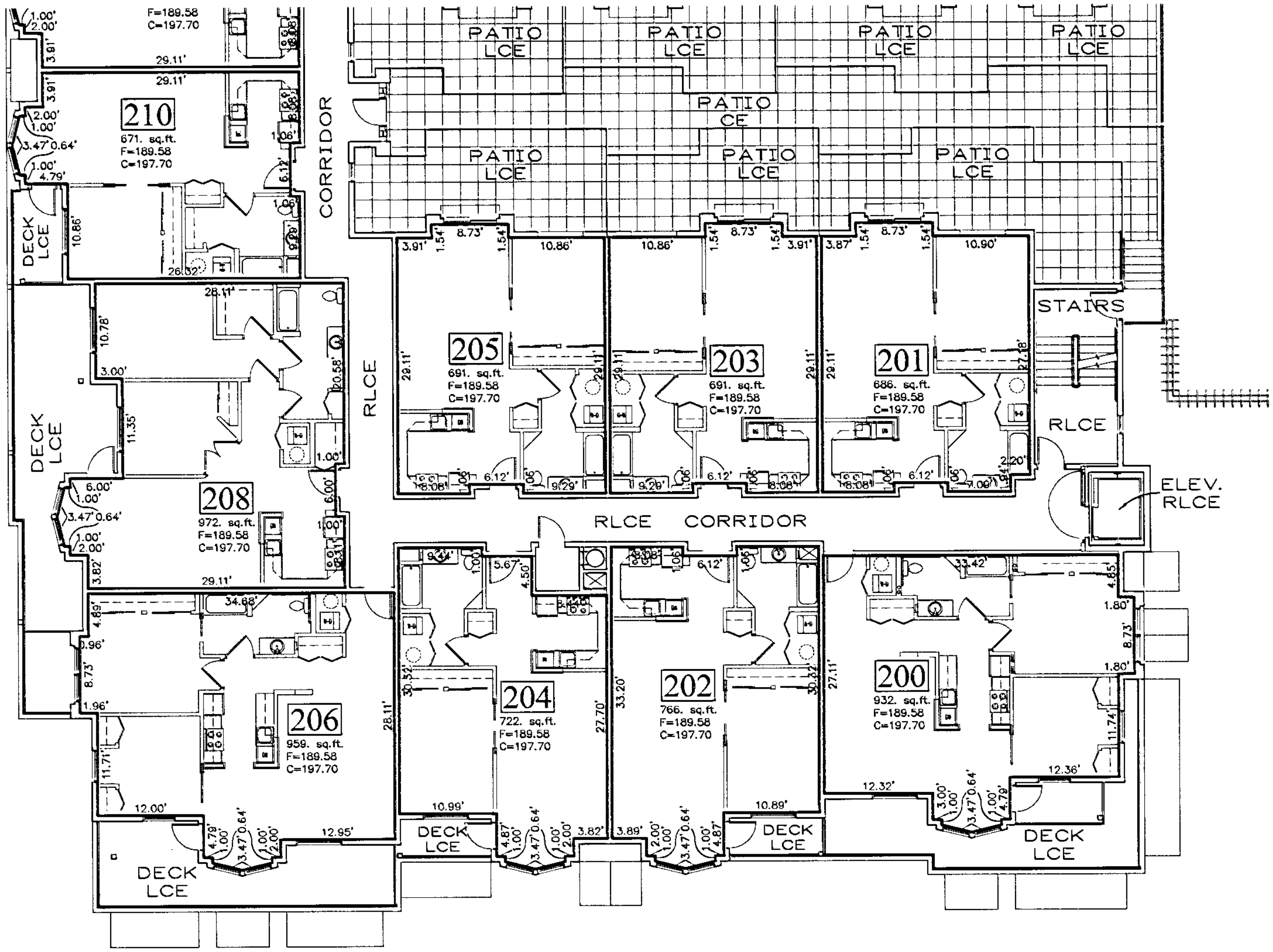
Drawn By:	R.L.J.
Date:	4/11/16
Checked By:	S.E.O.
Job No.	3930

Sheet 5 of 11

200604200018 V7 P137

ISLAND CROSSINGS

A condominium situate in
SW.1/4 SW.1/4 SEC. 23, TWP. 25N., RG. 2E., W.M.
City of Bainbridge Island, Washington



LEGEND

CE	COMMON ELEMENT
LCE	LIMITED COMMON ELEMENT
RLCE	RESIDENTIAL LIMITED COMMON ELEMENT
F	FLOOR ELEVATION
C	CEILING ELEVATION
☐	UNIT NUMBER

NORTH: per R.O.S. Vol. 56 Pg. 164

2ND. FLOOR SOUTH

STEVEN E. OTTMAR, STATE OF WASHINGTON, 20796, REGISTERED PROFESSIONAL LAND SURVEYOR, EXPIRES 11/10/06

4-12-2006

GRAPHIC SCALE

10 0 5 10 20 40

(IN FEET)
1 inch = 10 ft.

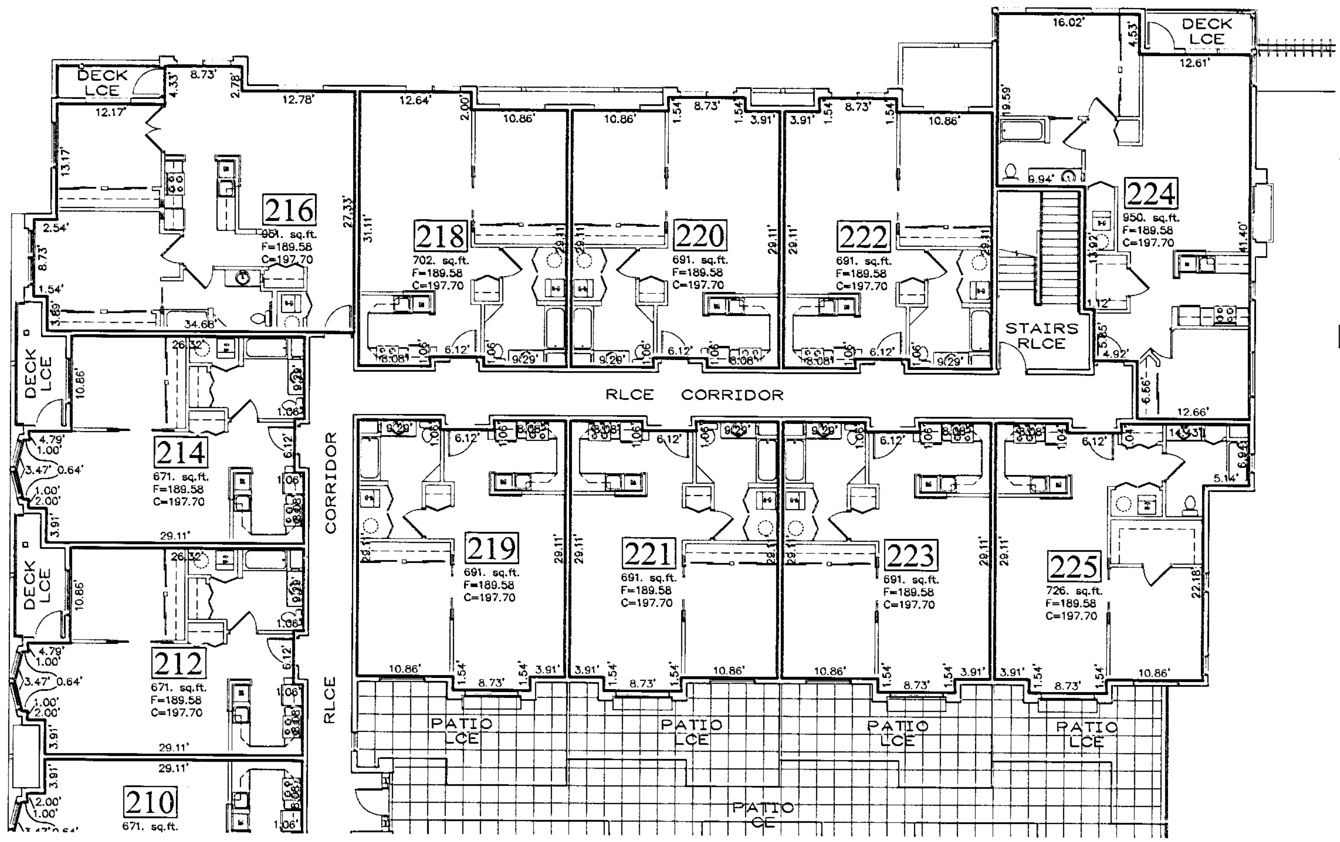
AES CONSULTANTS, INC.
P.O. BOX 930 · SILVERDALE, WA 98383 · (360)692-6400

Drawn By:	R.L.J.
Date:	4/11/06
Checked By:	S.E.O.
Job No.	3930

200604200018 V7 P138

ISLAND CROSSINGS

A condominium situate in
SW.1/4 SW.1/4 SEC. 23, TWP. 25N., RG. 2E., W.M.
City of Bainbridge Island, Washington



LEGEND

CE	COMMON ELEMENT
LCE	LIMITED COMMON ELEMENT
RLCE	RESIDENTIAL LIMITED COMMON ELEMENT
F	FLOOR ELEVATION
C	CEILING ELEVATION
☐	UNIT NUMBER

NORTH: per R.O.S. Vol. 56 Pg. 164

2ND. FLOOR NORTH

GRAPHIC SCALE
10 0 5 10 20 40
(IN FEET)
1 inch = 10 ft.

STEVEN E. OTTMAR
STATE OF WASHINGTON
20796
REGISTERED PROFESSIONAL LAND SURVEYOR
EXPIRES 11/10/06
4-12-2006

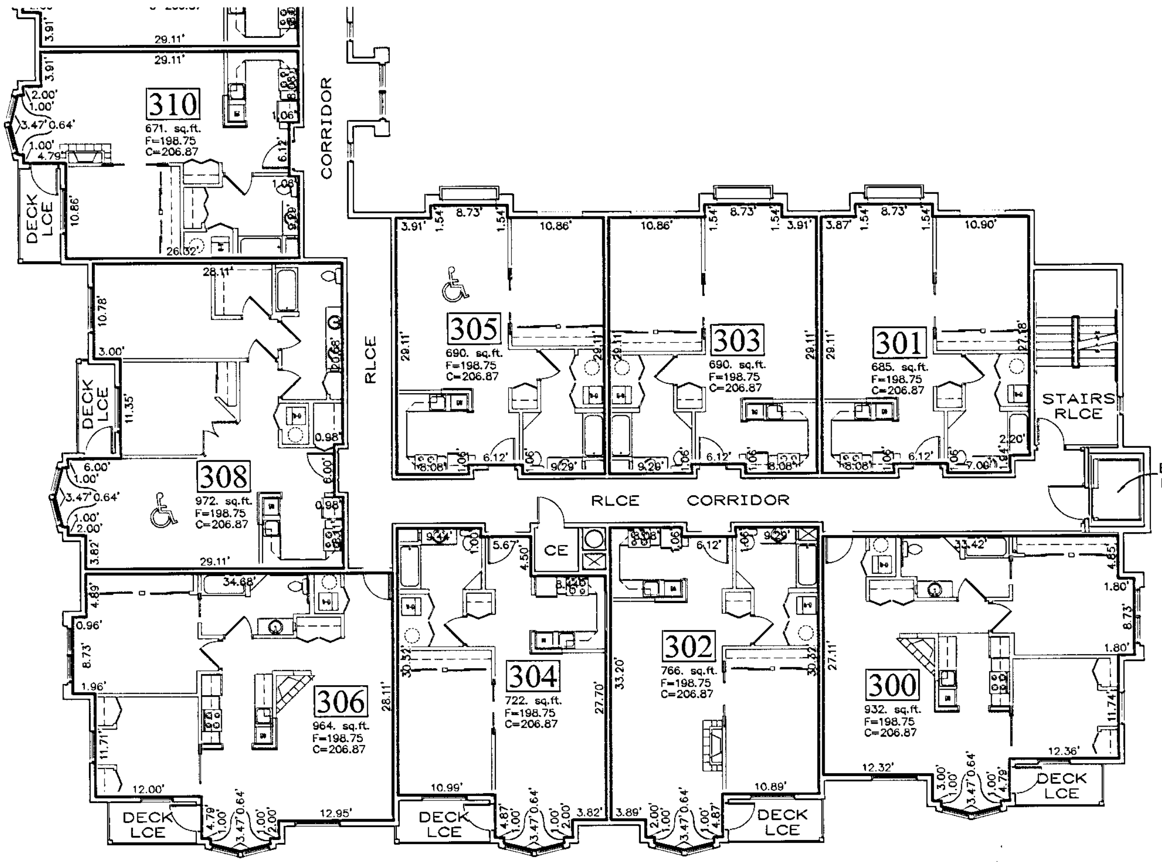
AES
CONSULTANTS, INC.
P.O. BOX 930 · SILVERDALE, WA 98383 · (360)692-6400

Drawn By:	R.L.J.
Date:	4/11/06
Checked By:	S.E.O.
Job No.	3930

200604200018 V 7 P139

ISLAND CROSSINGS

A condominium situate in
SW.1/4 SW.1/4 SEC. 23, TWP. 25N., RG. 2E., W.M.
City of Bainbridge Island, Washington



LEGEND

CE	COMMON ELEMENT
LCE	LIMITED COMMON ELEMENT
RLCE	RESIDENTIAL LIMITED COMMON ELEMENT
F	FLOOR ELEVATION
C	CEILING ELEVATION
☐	UNIT NUMBER

NORTH: per R.O.S. Vol. 56 Pg. 164

3RD. FLOOR SOUTH

GRAPHIC SCALE
(IN FEET)
1 inch = 10 ft.

STEVEN E. OTTMAR — STATE OF WASHINGTON — 20795 — REGISTERED PROFESSIONAL LAND SURVEYOR — EXPIRES 11/10/06

4-12-2006

AES CONSULTANTS, INC.
P.O. BOX 930 · SILVERDALE, WA 98383 · (360)692-6400

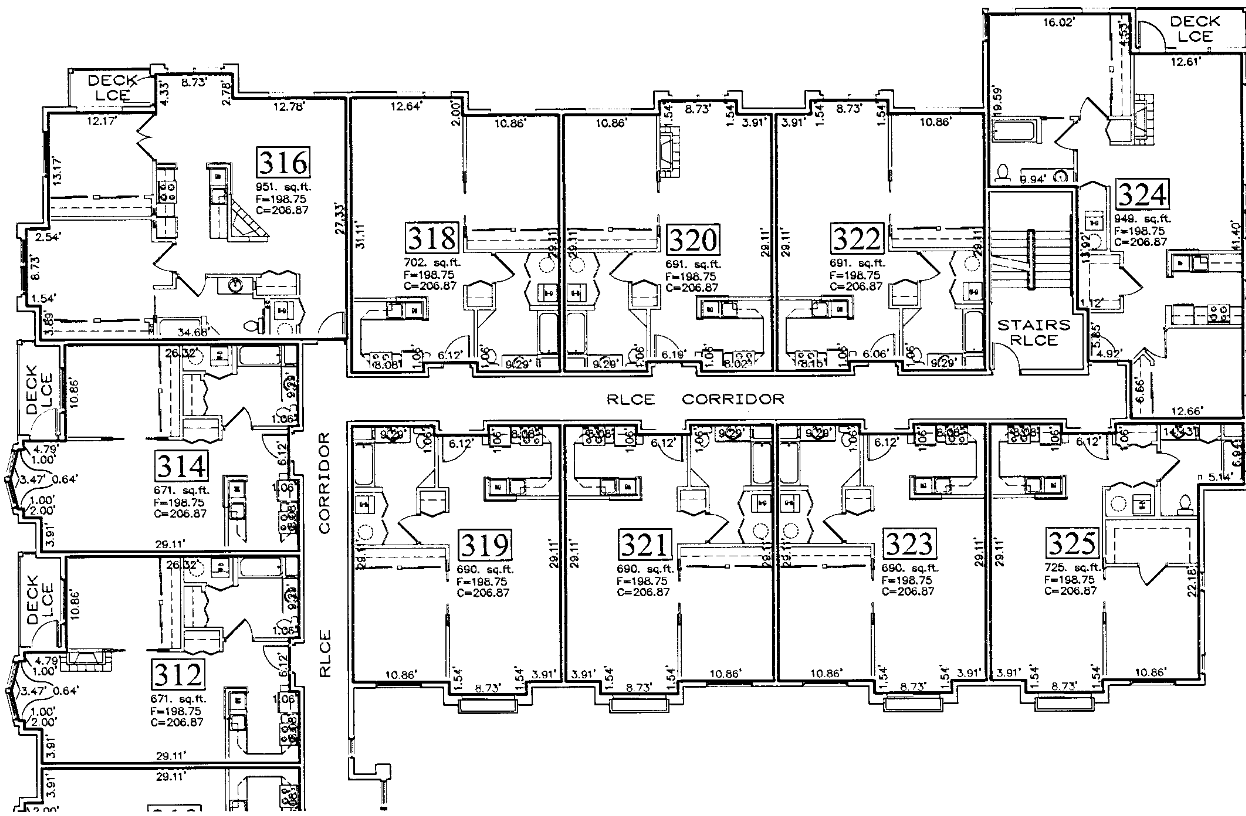
Drawn By:	R.L.J.
Date:	4/11/06
Checked By:	S.E.O.
Job No.	3930

Sheet 8 of 11

200604200018 V7 P140

ISLAND CROSSINGS

A condominium situate in
SW.1/4 SW.1/4 SEC. 23, TWP. 25N., RG. 2E., W.M.
City of Bainbridge Island, Washington



3RD. FLOOR NORTH

LEGEND

CE	COMMON ELEMENT
LCE	LIMITED COMMON ELEMENT
RLCE	RESIDENTIAL LIMITED COMMON ELEMENT
F	FLOOR ELEVATION
C	CEILING ELEVATION
☐	UNIT NUMBER

NORTH: per R.O.S. Vol. 56 Pg. 164

GRAPHIC SCALE
10 0 5 10 20 40
(IN FEET)
1 inch = 10 ft.

STEVEN E. OTTMAR, STATE OF WASHINGTON, 20795, PROFESSIONAL LAND SURVEYOR, EXPIRES 11/10/06
4-12-2006

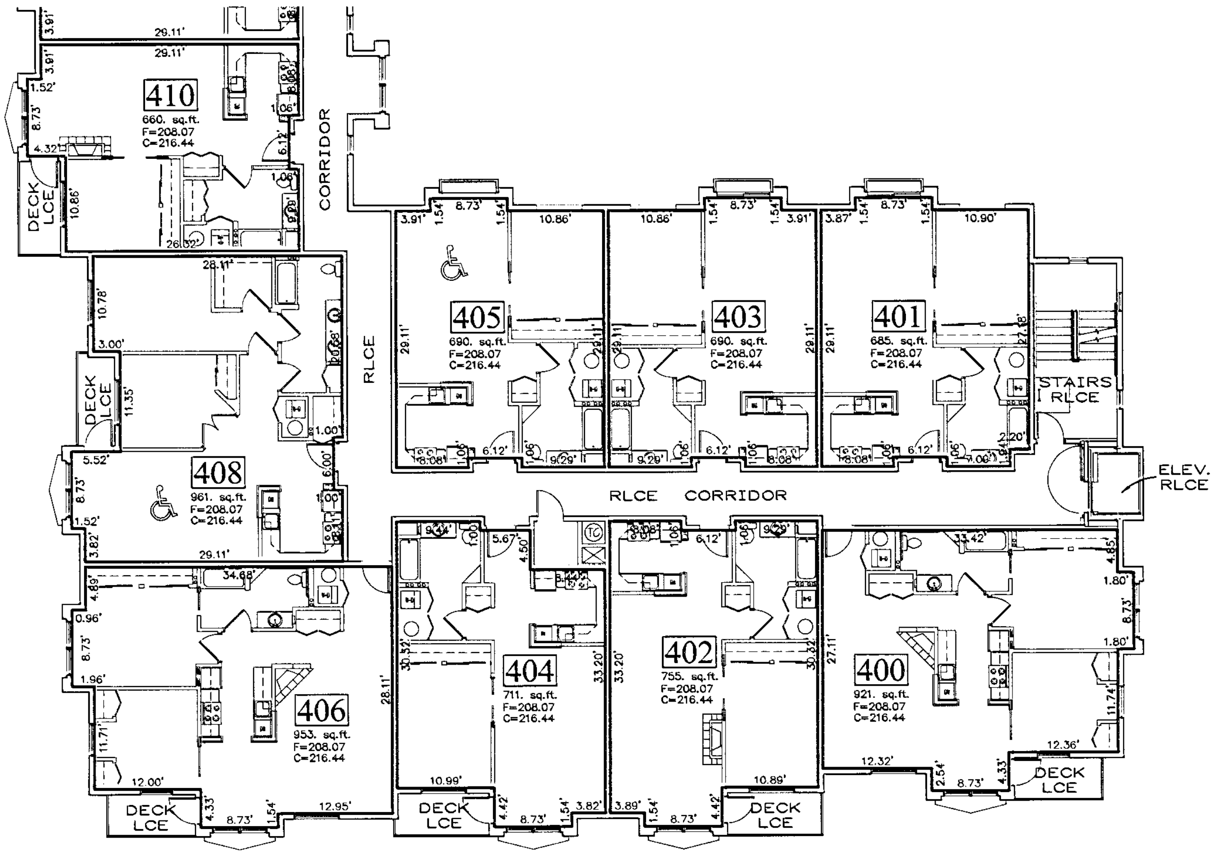
AES CONSULTANTS, INC.
P.O. BOX 930 · SILVERDALE WA 98383 · (360)692-6400

Drawn By:	R.L.J.
Date:	4/11/06
Checked By:	S.E.O.
Job No.	3930

200604200018 V7 P141

ISLAND CROSSINGS

A condominium situate in
SW.1/4 SW.1/4 SEC. 23, TWP. 25N., RG. 2E., W.M.
City of Bainbridge Island, Washington



LEGEND

CE	COMMON ELEMENT
LCE	LIMITED COMMON ELEMENT
RLCE	RESIDENTIAL LIMITED COMMON ELEMENT
F	FLOOR ELEVATION
C	CEILING ELEVATION
☐	UNIT NUMBER

NORTH: per R.O.S. Vol. 56 Pg. 164

4TH. FLOOR SOUTH

GRAPHIC SCALE

10 0 5 10 20 40

(IN FEET)
1 inch = 10 ft.

STEVEN E. OTTMAR — STATE OF WASHINGTON — PROFESSIONAL LAND SURVEYOR — 20798 — EXPIRES 11/10/06

4-12-2006

AES CONSULTANTS, INC.
P.O. BOX 930 · SILVERDALE, WA 98383 · (360)692-6400

Drawn By:	R.L.J.
Date:	4/11/06
Checked By:	S.E.O.
Job No.	3930

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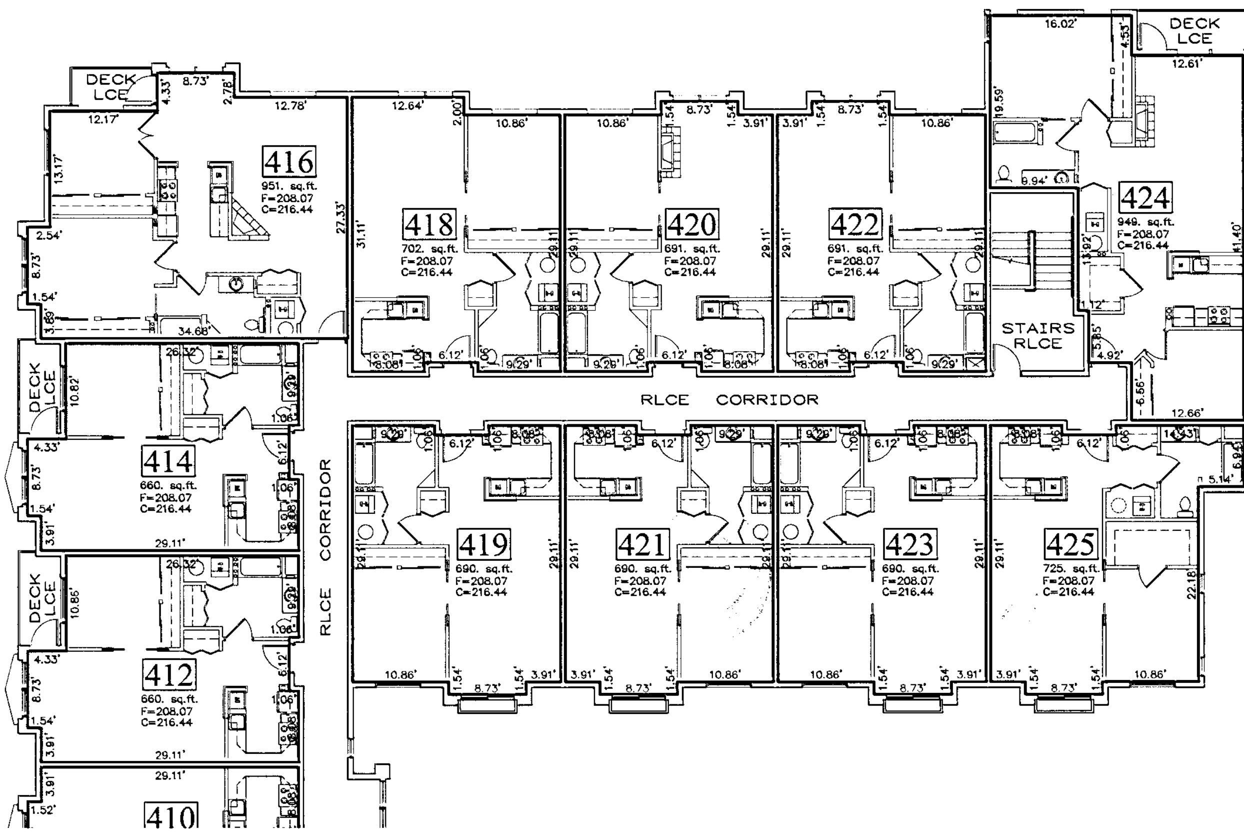
ISLAND CROSSINGS

A condominium situate in
SW.1/4 SW.1/4 SEC. 23, TWP. 25N., RG. 2E., W.M.
City of Bainbridge Island, Washington



LEGEND

CE	COMMON ELEMENT
LCE	LIMITED COMMON ELEMENT
RLCE	RESIDENTIAL LIMITED COMMON ELEMENT
F	FLOOR ELEVATION
C	CEILING ELEVATION
☐	UNIT NUMBER

NORTH: per R.O.S. Vol. 56 Pg. 164

4TH. FLOOR NORTH

AES CONSULTANTS, INC.
P.O. BOX 930 · SILVERDALE, WA 98383 · (360)692-6400

Drawn By:	R.L.J.
Date:	4/11/06
Checked By:	S.E.O.
Job No.	3930

STEVEN E. OTTMAR · STATE OF WASHINGTON · 20795 · REGISTERED PROFESSIONAL LAND SURVEYOR · EXPIRES 11/10/06

4-12-2006

GRAPHIC SCALE
10 0 5 10 20 40
(IN FEET)
1 inch = 10 ft.

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